

9. Details of performance and career development reviews of employees and worker:

We have a robust Performance Management process with an objective to establish utmost clarity in terms of the process to be followed at each step and what is expected from all the stakeholders involved. The process covers activities related to measuring performance of all employees as part of the year-end review, rating & promotion recommendation, moderation and individual feedback. We also have a performance review group (PRG) consisting of a group of people who discuss the performance and behavioral aspects of an individual.

All the employees undergo an annual performance appraisal process as determined by the Company.

Category	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	3294	3203	97.23%*	2733	2648	96.9%*
Female	19	17	89.47%	13	12	92.3%
Total	3313	3220	97.19%	2746	2660	96.9%
Workers						
Male	246	241	97.96%	230	226	98.2%
Female	0	0	0	0	0	0
Total	246	241	97.96%	230	226	98.2%

Note: The balance employees were not eligible for PMS, considering their tenure in the Company

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, The Company has adopted and implemented the Adani Group's Safety Management System framework by integrating all critical business activities and applying principles, processes in order to provide safe and healthy workplaces across all Company's establishments, prevent work related injury and ill health, minimize risks and continuously improve safety performance.

Our Company's leadership is committed to the development, implementation, and continual improvement of Occupational Health & Safety, Objectives, Policy and goals. We believe that all injuries, occupational illnesses as well as incidents are preventable. Over the past few years we have enhanced our efforts on safety through robust processes and governance to achieve excellence and benchmark in OHS performances.

Our health and safety priorities are articulated in our EHS Policy. With the overarching aim of 'Zero harm to life', our operations are certified with the ISO 45001 standard. Safety of our people is the utmost priority for Adani Power. We ensure several levels of checks and balances throughout the organisation, policies and management systems. Training and awareness raising sessions are in place with this regard

The site/location have also linked Group Safety Management System with their existing Integrated Management System (IMS), e.g., ISO 14001 (EMS), and ISO 45001 (OHSMS).

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Company has established and aligned globally recognized high level Safety Intervention and Risk Assessment programs such as Safety Interaction (SI), Vulnerability Safety Risks (VSR), Site Risk Field Audits (SRFA), Process Hazard Analysis (PHA), and Pre-Startup Safety Review (PSSR) with Business specific Integrated Management System based Hazard Identification and Risk Assessment Process, e.g., HIRA and Job Safety Analysis (JSA). The Company has adopted this framework and the reporting businesses have developed an ecosystem of participative and consultative approach for engaging concerned stakeholders, including, employees, associates, and contract workmen.

The Company recognizes that the dynamic risks need to be managed and mitigated as per Hierarchy of Control to protect its stakeholders and achieve objective of Zero Harm with enablement of Sustainable Growth.

These interventions bring together an understanding of the potential upside and downside of all job and personal factors which can impact the organization with an objective to prevent injury, protect assets and add maximum sustainable value to all the activities and processes of the organization.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes, The Company uses established Incident Management and Investigation System for fair and transparent reporting of work-related hazards and risks as unsafe Acts/ unsafe Conditions, near misses, injuries and illness and serious incidents. This is followed by a comprehensive Root Cause Failure Analysis (Investigation), formulation of corrective actions as per Hierarchy of Controls, its tracking and monitoring and subsequent closure. The outcome and learnings from these events and incidents are deployed horizontally across the Group through a systemic process of 'Critical Vulnerable Factor' (CVF) as a part of Group Safety Governance Process. The progress on CVF is reviewed during Adani Apex Group Safety Steering Council Meetings as well as during their Business Safety Council Meetings.

To facilitate this, an advanced digital platform on OH&S Reporting has been deployed by Adani Group. The Company access this platform through its machines as well as native and lite Mobile App version.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, the employees and workers have access to non-occupational medical and healthcare services.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2022-23	FY 2021-22
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.14	0
	Workers	0.02	0.02
Total recordable work-related injuries	Employees	1	0
	Workers	1*	1
No. of fatalities	Employees	0	0
	Workers	1*	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

Note: *FY22-23, 1 Loss Time Injury (Employee) & 1 Fatality (Worker) occurred. * One fatality occurred in employee category considered at recordable work related injuries & fatality both location.

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Health and Safety of our people is of utmost importance to us. To achieve this, we have adopted a shared responsibility approach, with increased engagements at all levels of workforce and strengthening the safety culture across all Company's site/locations. We are taking steps to reduce reportable incidents, minimize injuries and regularly monitor the safety performance of our sites.

Our occupational health and safety management system is also well aligned with Group's Safety framework and covers all employees, contractors, business associates, visitors and the community as well. In addition to that, a number of our sites across all Company's businesses are ISO 45001 (2018) certified.

As a part of our strategy to prevent health and safety related incidents, we have identified two focus areas which are contractor safety management (CSM) and operational discipline. CSM procedure provides support in manpower deployment whereas the operational discipline ensures that proper measures to eliminate hazards are taken at all our sites.

All our employees and contractors are provided with appropriate PPEs and it is ensured that they are not

negligent in using them. We are providing job related training to our employees to perform given task safely along with display of do's and don'ts at prominent locations of the sites. Beside this, we have stringent work permit system in place. Toolbox talks, task briefing, job specific training, job hazard analysis, Inspections, Survey, audits and mock drill help us in building safety culture within our sites/locations.

Mental and emotional health is a core part of our work culture. In view of this, an emotional wellness program was launched as part of Adani Care- Our integrated suite of health and well-being services and support platform. As an inclusive health service, the program offers professional and confidential counselling for our employees. Family member of our employee can also avail these services at any time of the day and in any location.

We also have various rewards and recognition programs in place to appraise the champions of safety working at Company's sites/locations.

13. Number of Complaints on the following made by employees and workers:

Category	Current FY (2022-23)			Previous FY (2021-22)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	NA	0	0	NA
Health & Safety	0	0	NA	0	0	NA

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

All incidents are investigated thoroughly as per Group Safety Guidelines on Incident Reporting & Investigation and learning is shared across sites to ensure non-occurrence of the similar incidents. Also, employees and workers are encouraged to report maximum number of unsafe acts and conditions to eliminate such incidents.

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

16. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

All incidents are investigated thoroughly as per Group Safety Guidelines on Incident Reporting & Investigation and learning is shared across sites to ensure non-occurrence of the similar incidents. Also, employees and workers are encouraged to report maximum number of unsafe acts and conditions to eliminate such incidents.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes, only employees are covered under Death benevolent policy & Group personal accident policy

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

The Company has adequate mechanisms to ensure that requisite statutory dues, as applicable to the transactions of the Company with its value chain partners, are deducted and deposited in accordance applicable regulations and reviewed as per regular audit processes. The Company also collects necessary certificates and proofs from its contractors with respect to payment of statutory dues relating to contractual employees and workers. The Company expects its value chain partners to behave ethically and with integrity in all its business transactions and uphold standards of fair business practices.

3. **Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment**

Category	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2022 -23 Current Financial Year	FY 2021 -22 Previous Financial Year	FY 2022 -23 Current Financial Year	FY 2021 -22 Previous Financial Year
Employees	1	0	0	0
Workers	1	1	0	0

4. **Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

Not Applicable.

5. **Details on assessment of value chain partners**

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	100%
Working Conditions	100%

6. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

As a part of our strategy to prevent health and safety related incidents, we have identified two focus areas which are contractor safety management (CSM) and operational discipline. CSM procedure provides support in manpower deployment whereas the operational discipline ensures that proper measures to eliminate hazards are taken at all our sites.

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders

1. **Describe the processes for identifying key stakeholder groups of the entity.**

We believe that engagement with stakeholders is key to understanding their needs, working with them to minimize risks, maintaining social legitimacy, improving credibility, and gaining their trust.

We identified our stakeholders as groups and individuals, who can influence or/ are impacted by our operations/ activities, change in technology, regulations, market, and societal trends either directly or indirectly which comprise of communities, employees, supply chain partners, customers, investors, regulators, and civil society organizations for all its operations. We commit to engage openly and authentically with our stakeholders to enhance cooperation and mutual support for a sustainable relationship.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Key identified stakeholders	Whether identified as Vulnerable and marginalized group (Yes/No)	Channel of communication	Frequency of engagement	Purpose and scope of engagement
Employees	No	HR interactions, Performance management, Townhalls, announcements	Continual	HR policies, Career progression, trainings
Shareholders/ Investors	No	Email, Annual General Meetings, Quarterly/Annual results, Website information, Official press release	Regular/Need based	Business sustainability, economic performance
Customers	No	Regular customer's meet, Business Visits, Sales visit, Customer satisfaction Survey	Frequent, Need based	Quality, timely Delivery, Order placements
Suppliers	No	Regular supplier's meet, Suppliers Assessments, Seminars, Conferences	Continual	Quality, Sustainability, Cost
Regulators	No	Compliance meetings, Industry associations, Events, Telephonic, Video conferences and email communication	Continual, Need based	Compliance, Policy advocacy
Community and NGOs	Yes	Community meetings	Frequent and Need based	CSR, Education, Welfare
Media	No	Press Conferences, Telephonic and email communication	Continual, Need based	Outlook, announcements
Peers and Key Partners	No	Industry association, Events, and conferences	Need based	Knowledge sharing
Academics	No	Meetings, Visits, Academics related tours	Need based	Knowledge sharing, recruitments

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The company endeavours to incorporate sustainability aspects into all its systems and processes. Respective functional heads engage with the stakeholders on various topics and the relevant feedback from such consultation is provided to the Board for any concern related to economic, environmental, and social topics. Our mailing portal aids in addressing the concerns of our vendors and customers. Our employees use the grievance management system for raising their concerns and grievances which are addressed.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No).

If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, our material issues are identified based on our engagement with our stakeholders. We have set bold aspirations towards our sustainable journey and our sustainability goals.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

APL has various plants in several locations all around India, therefore we understand our responsibility to help the residents around these locations as well as reach out to the marginalized and Vulnerable communities in the respective areas. We ensure to defend their rights, interests, natural and cultural resources as well as give them resources to participate and benefit from development. We recognize the importance of gaining access to robust and quality medical services especially for the economically marginalized and vulnerable populations. Acknowledging this need, has worked towards heavily improving access to essential healthcare infrastructure and services. Mobile Health Care Unit & Health Check-up Camp in Government Schools are some of highlights from initiatives taken by us.

Principle 5: Businesses should respect and promote human rights

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Total (A)	No. employees or workers covered (B)	% (B / A)	Total (C)	No. employees of workers covered (D)	% (D/C)
Employees						
Permanent	3295	2351	71%	2737	1686	62%
Other than permanent	18	5	27%	9	5	56%
Total Employees	3313	2356	71%	2746	1691	62%
Workers						
Permanent	Nil	Nil	Nil	Nil	Nil	Nil
Other than permanent (outsourced)	NIL	NIL	NIL	NIL	NIL	NIL

(workers include skilled semi-skilled & un-skilled out sourced contract labor)

Note: As a part of our learning and development strategy we ensure that all the employees have access to Human Rights training and there are e-modules on the relevant topics in the learning management tools. The onboarding exercise for all new employees includes Human Rights awareness as part of their induction session. This induction session is held on monthly basis and focuses on aspects of POSH, and Code of Conduct. While the training on different elements of human rights is covered under various awareness and training program organized by the company, we are further strengthening our existing approach to human rights training and engagement including setting up a digital platform for better tracking and recording of hours of trainings conducted on ESG including human rights for different category of employees including workers.

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2022-23 Current Financial Year					FY 2021-22 Previous Financial Year				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees & Workers										
Permanent										
Male	3541*	0	0	3541	100%	2733	0	0	2733	100%
Female	19	0	0	19	100%	13	0	0	13	100%
Other than Permanent										
Male	0	0	0	0	0	0	0	0	0	0
Female	0	0	0	0	0	0	0	0	0	0

(3541 includes 3295 Permanent employees & 246 permanent workers)

The wage rates in scheduled employments differ across states, sectors, skills, regions, and occupations owing to various factors. Hence, there is no single uniform minimum wage rate across the country and the revision cycle differs for each state. However Minimum wages are paid and adhered to by the Company as per the minimum wage notification issued by the respective Central and State bodies for different establishments under the Minimum Wages Act and Rules.

3. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	05	NA.	01	NA*
Key Managerial Personnel	04	₹ 4.93 crores	0	NA
Employees other than BoD and KMP	3291	₹ 0.11 crore	19	₹ 0.06 crore
Workers	NA	NA	NA	NA

* The Directors do not draw any salary/ commission, except for sitting fees, as disclosed in the Corporate Governance Report, which is part of this Annual Report.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Standing forums have been constituted, at the Group Level, Company Level and its subsidiary level, that aids and advises the management in its approach towards building sustainable Human Rights. Business HR is responsible to ensure that any issue or impact related to human rights is addressed in the defined manner withing the stipulated timeline.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	NIL	NIL	NIL	NIL	NIL	NIL
Discrimination at workplace	NIL	NIL	NIL	NIL	NIL	NIL
Child Labour	NIL	NIL	NIL	NIL	NIL	NIL
Forced Labour / Involuntary Labour	NIL	NIL	NIL	NIL	NIL	NIL
Wages	NIL	NIL	NIL	NIL	NIL	NIL
Other human rights related issues	NIL	NIL	NIL	NIL	NIL	NIL

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The POSH policy has the mechanism for addressing complaints pertaining to sexual harassment. All complaints related to sexual harassment are taken up by the Internal Complaint Committees (ICCs), which are governed under strict confidentiality and there are defined procedures to protect complainant from any retaliatory actions.

Any employee can grievances through the online grievance portal. The system is designed to redress the grievance within a defined timeline of 14 working days. The grievances are resolved in fair and time bound manner maintaining utmost confidentiality. However, no such cases of harassment and discrimination were reported during the FY 2022-23.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, The Human rights related requirements are covered as a part of the vendor onboarding process through ARIBA portal (ARIBA is IT enabled sourcing portal).

9. Assessments for the year:

We have defined systems for ensuring compliance with regulatory requirements. There is a Code of Conduct for employees and Suppliers' Code of Conduct to ensure conformity with business ethics and human rights requirements. Also, the human rights criteria are screened through online ARIBA portal during vendor onboarding process.

In addition, we review compliance with these requirements during contract execution. In all our business units, it is mandatory to check the age proof documents at the time of recruitment to prevent employment of child labour and during the induction session essential business ethics and human rights related aspects are covered for creating awareness among employees.

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%
Others – please specify	100%

10. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

Not Applicable.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

No - Not applicable

2. Details of the scope and coverage of any Human rights due diligence conducted.

APL have developed a code of conduct and every employee needs to adhere to it. Under employees' code of conduct, there are many human rights issues noted such as anti-bribery, anti-corruption, etc. We also have a dedicated Human Rights policy wherein we have shown our commitment towards Human Rights and its Due Diligence. We have committed to conduct continuous Human Rights Due Diligence (HRDD) in our process which means to identify and assess potential impacts of our activities on Human Rights before undertaking a new activity or business relationship, and when operational changes occur. We also take appropriate prevention and mitigation measures and monitor the effectiveness of the same. Based on internationally recognized standards of decent work, including the Universal Declaration of Human Rights and ILO conventions, SA8000 helps in applying a management-systems approach to social performance and emphasizes on continual improvement over checklist-style auditing

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, at all our offices, we have made special provisions for differently abled employees, workers and visitors in accordance with Rights of Persons with Disabilities Act, 2016. We strongly promote equal opportunities for everyone, and we acknowledge the importance of having diverse and equitable work environment. We have designed workplaces for providing assistance or making changes to a position or workplace to enable employees with disabilities for carrying out their jobs. At our corporate offices, we have ramps at entry locations and lobbies to facilitate wheelchairs. We have dedicated toilets for differently abled persons. We have elevators with Braille signs, designed for blind people or visually impaired people. Our other locations also comply with all the national/local requirements to accommodate differently abled person and their needs. All the Company's existing and new infrastructure has implemented comprehensive plan to address accessibility of workplaces for differently abled employees, work areas, rest rooms, common areas and areas for movement in and around facilities have been designed with all accessibility aspects in mind

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	100%
Discrimination at workplace	100%
Child Labour	100%
Forced Labour/ Involuntary Labour	100%
Wages	100%
Others - Please specify	100%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above

No significant risks identified during assessment.

Principle 6: Businesses should respect and make efforts to protect and restore the environment.**Essential Indicators****1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format**

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total electricity consumption (A)	GJ	204,465.37	69,666.84
Total fuel consumption (B) (Coal & Oil consumption)	GJ	550,319,626.17	526,920,996.89
Energy consumption through other sources (C)	GJ	--	--
Total energy consumption (A+B+C)	GJ	550,524,091.54	526,990,356.71
Energy intensity per rupee of turnover (Total energy consumption/ turnover in rupees)	GJ/₹	0.001279083	0.00166314
Energy intensity (optional) – the relevant metric may be selected by the entity	(GJ/MWh)	9.59	9.38

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Yes, Targets set under the PAT scheme have been achieved [Mundra TPP, Tiroda TPP, Kawai TPP, Raigarh TPP & Udipi TPP in FY2019-20 Year and Raipur TPP & Mahan TPP in FY2021-22].

3. Provide details of the following disclosures related to water, in the following format#

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	110,489,890	99,427,453
(ii) Groundwater	0	0
(iii) Third party water	190	445
(iv) Seawater / desalinated water	105,621,410	107,100,359
(v) Others (Rain water)	2,459,514	811,875
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	218,571,004	207,340,132
Total volume of water consumption (in kilolitres)	132,023,576	130,145,639
Water intensity per rupee of turnover (Water consumed, KL / turnover in Cr)	3,061.08	4,107.29
Water intensity (optional) – the relevant metric may be selected by the entity(m3/MWh)	2.31	2.32

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Water is a crucial resource required for the running our power plants. Therefore, acknowledging this resource's importance, we have established strict measures for water conservation at each of our power plants and have optimized our systems to reduce water consumption. Currently, we reuse 100% of the

treated Wastewater in hinterland plants. We ensure compliance with the applicable statutory conditions laid by Ministry of Environment, Forest & Climate Change / Central and State Pollution Control Board for locations, where zero discharge is mandated. In sea water based power plants, we have mechanism in place to treat the sewage/effluent as per the statutory limits before discharging back.

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
NOx	MT/Yr.	83,746.38	87,279.83
Sox	MT/Yr.	219,306.70	232,278.78
Particulate matter (PM)	MT/Yr.	10,718.60	9,824.37
Persistent organic pollutants (POP)	Not Applicable		
Volatile organic compounds (VOC)			
Hazardous air pollutants (HAP)			
Others – please Specify (Mercury – Hg)	mg/Nm3	0.017 *	0.016*

* Only APL Tiroda, APL Kawai have mercury emissions and all other plants are Below Detectable Limit (BDL).

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format#

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	49032768.27	47528068.41
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	46004.71	15,288
Total Scope 1 and Scope 2 emissions per rupee of Turnover	-	0.00011403	0.00015005
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity	tCO ₂ e/MWh	0.85	0.85

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

7. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

In line with Adani Group's target to meet India's Climate Change (NDC) commitments of emission reduction, the Company has taken various initiatives such as:

- Replacing low energy efficient equipment with high energy efficient equipment
- Installing solar roof tops and other green energy projects
- Replacing fossil fuel-based vehicles by electric vehicles
- Optimization of energy consumption in office buildings

- Using digitization to improve monitoring and reduce losses
- Awareness creation related to energy conservation and GHG reduction
- Replacing high Global Warming Potential (GWP) refrigerant with lower GWP refrigerant

APL aims to lead India's initiatives in achieving greenhouse gas reduction targets by evaluating the possibility of potential implementation of ammonia as a fuel in thermal power generation that will utilize Green Hydrogen-derived ammonia in the existing thermal power plant. Kowa supported APL by conducting a global survey of hydrogen and ammonia-related technologies being utilised for power generation. IHI Corporation has already successfully demonstrated its ammonia co-firing technology at a large-scale commercial coal-fired power plant in Japan and responded to many inquiries related to ammonia co-firing globally.

To achieve de-carbonization of APL's coal-fired assets, the parties, by considering the possibility of ammonia co-firing through the studies, aim to de-carbonize APL's coal fired assets with the objective to potentially implement the technology in other coal-fired units within India.

Outcome of initiative

- Successful implementation will significantly reduce greenhouse gas emissions.
- This modification targets achieving 20% liquid ammonia co-firing ratio and higher co-firing ratio up to 100% mono-firing at the Adani Power Mundra Coal Fired Power Plant

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-2022 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	832.82	885.13
E-waste (B)	24.226	22.43
Bio-medical waste (C)	0.31792	0.095
Construction and demolition waste (D)	0	0
Battery waste (E)	69.101	65.79
Radioactive waste (F)	0	0
Hazardous waste		
Discarded Containers / Barrels / liners	19.029	228.833
Chemical Sludge (ETP Sludge)	0.24	0.66
Oil-soaked Cotton Waste	10.43	7.21
Used / Spent Oil (MT)	214.68	156.24
Spent Ion Exchange Resin	6.98	1.59
Total Hazardous Waste (G)	251.36	395.17
Non-hazardous waste		
Metallic Scrap	4966.27	4575.94
Wooden Scrap	220.88	502.92
Rubber Scrap	118.13	208.63
RO membrane	2.96	270.00
Misc Waste	831.535	151.72
Organic Waste	119.51	424.98
Ash Generation	10526544.87	9747444.09
Paper Waste	5.028	
Total Non-Hazardous Waste (H)	10533637.16	9753578.28
Total (A+B + C + D + E + F + G+ H)	10533987.01	9754989.91

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-2022 (Previous Financial Year)
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	1118.13	686.3
(ii) Re-used	--	--
(iii) Other recovery operations	--	--
Total	1118.13	686.3
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	10.44	80.8967
(ii) Landfilling	--	--
(iii) Other disposal operations	--	--
Total	10.44	80.8967

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The Company has defined processes for managing waste at each of its sites/locations. We follow the basic principle of segregation of the waste at source & adopt the 3R concept of "reduce, reuse & recycle".

The hazardous wastes are handled, segregated, stored and transported in accordance with applicable regulatory requirements and best industry practices. The hazardous waste is disposed of in an environmentally sound manner through authorized vendors for recycling as required by regulation.

Apart from hazardous waste, the most significant types of non-hazardous waste streams include scrap metal, wood waste, glass, tires, e-waste, cardboard and paper. Our strategic intent is to eliminate or reduce the generation of waste to divert waste from disposal through reuse and recycling wherever possible. All our site/locations are working towards achieving Zero waste to landfill certification wherever feasible.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Sr. No.	Location of operations/ offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
1	Mundra TPP	Electric Power Generation by Coal Based Thermal Power Plants	Yes
2	Tiroda TPP		Yes
3	Udupi TPP		Yes

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Expansion of 1600MW (2x800MW) Bandhaura Ultra Super Critical Thermal Power Plant	S.O 1533 (E) 14th Sep'2006 & Subsequent Amendments	Feb 2023	Yes	Yes	https://environmentclearance.nic.in/proposal_status_new1.aspx

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format.

Sr. No.	Specify the law / regulation/ guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
1.	Nil	Nil	Not Applicable	Not Applicable

Leadership Indicators

1. Provide break-up of the total energy consumed (in Joules or multiples) from renewable and non-renewable sources, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
From Renewable sources (GJ)		
Total electricity consumption (A)	0	0
Total fuel consumption (B)	0	0
Energy consumption through other sources (C)	0	0
Total energy consumed from renewable sources (A+B+C)	0*	0*
From non-renewable sources (GJ)		
Total electricity consumption (D)	204465.37	69666.84
Total fuel consumption (E)	550,319,626.17	526,920,996.89
Energy consumption through other sources (F)	0	0
Total energy consumed from non-renewable sources (D+E+F) (GJ)	550524091.54	526,990,356.71

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

2. Provide the following details related to water discharged:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	Nil	Nil
No Treatment	-	-
With Treatment - Please specify level of treatment	-	-
(ii) To Ground water	Nil	Nil
No Treatment	-	-
With Treatment - Please specify level of treatment	-	-
(iii) To Sea water	82,135,614	74,619,761.12
No Treatment	0	0
With Treatment - Please specify level of treatment (Secondary Treatment)	82,135,614	74,619,761.12
(iv) Sent to third-parties	Nil	Nil
No Treatment	-	-
With Treatment - Please specify level of treatment	-	-
(v) Others	Nil	Nil
No Treatment	-	-
With Treatment - Please specify level of treatment	-	-
Total water discharged (in kilolitres)	82,135,614	74,619,761.12

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV').

3. Water withdrawal, consumption, and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area: Kawai, Atru Tehsil, Baran Dist, - APRL
- Nature of operations: Electric Power Generation by Coal Based Thermal Power Plant.
- Water withdrawal, consumption, and discharge in the following format

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	19,448,828	19,069,806
(ii) Groundwater	0	0
(iii) Third party water	0	0
(iv) Seawater / desalinated water	0	0
(v) Others (Rain Water)	2,006,505	0
Total volume of water withdrawal(in kilolitres)	21,455,333	19,069,806
Total volume of water consumption (in kilolitres)	21,455,333	19,069,806
Water Intensity per rupee of turnover (Water consumed / turnover)	-	-
Water intensity (optional)- the relevant metric may be selected by the entity.	-	-

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water	Nil	Nil
No Treatment		
With Treatment - Please specify level of treatment		
(ii) Into Ground water	Nil	Nil
No Treatment		
With Treatment - Please specify level of treatment		
(iii) Into Sea water	Nil	Nil
No Treatment		
With Treatment - Please specify level of treatment		
(iv) Sent to third-parties	Nil	Nil
No Treatment		
With Treatment - Please specify level of treatment		
(v) Others	Nil	Nil
No Treatment		
With Treatment - Please specify level of treatment		
Total water discharged (in kilolitres)	Nil	Nil

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV')

4. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	14,484,286.26	3,160,406
Total Scope 3 emissions per rupee of turnover	tCO ₂ e/ ₹	3.37	0.0000099741
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	-	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)

Yes, Independent assessment carried out by DNV Business Assurance India Private Limited ('DNV')

5. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

We, at APL, have a biodiversity policy in place to protect and enhance the biodiversity all around are plant locations. We ensure that areas of biodiversity significance, protected regions and any red list species based on reports of the International Union for Conservation of Nature (ICUN) are not affected by any of the plant operations within a 10km radius of our plant locations. Our policy supports us to comply, with and exceed local, regional, and national requirements on land management and biodiversity conservation. We have provided the link for our biodiversity policy below:

Our Biodiversity Policy supports a formal governance structure that allows for systematic biodiversity management across the organization. We are committed to the objectives of the Convention on

Biological Diversity (CBD) by being a signatory of the Indian Business & Biodiversity Initiative (IBBI). In alignment with this, we have set an ambitious target to create a net positive biodiversity impact across all operations and projects. Mapping biodiversity across our business operations and enhancing awareness on biodiversity for our stakeholders will be supported by our IMS. In alignment with this, we have set an ambitious target to create a net positive biodiversity impact across all operations and projects. Mapping biodiversity across our business operations and enhancing awareness on biodiversity for our stakeholders will be supported by our IMS.

6. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along with summary)	Outcome of the initiative
1	Ammonia co-firing Technology in 4.62GW coal-fired power plant in Mundra	https://www.adanipower.com/newsroom/media-releases/adani-power-sustainable-power-generation	• Successful implementation will significantly reduce greenhouse gas emissions. • This modification targets achieving 20% liquid ammonia co-firing ratio and higher co-firing ratio up to 100% mono-firing at the Adani Power Mundra Coal Fired Power Plant

7. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The Company has an enterprise risk management integrated framework, 2017, to effectively manage the business continuity and disaster management plan. Further, we are aligned with the international standards ISO-31000:2018 "Risk Management System" and COSO's (Committee of Sponsoring Organisation of the Treadway Commission).

8. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

No impact envisaged.

9. percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Not Applicable

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

1. **Number of affiliations with trade and industry chambers/ associations. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.**

Sr. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Association of Power Producers (APP)	National
2	Confederation of Indian Industry (CII)	National
3	Associated Chambers of Commerce and Industry of India (ASSOCHAM)	National
4	Gujarat Chamber of Commerce and Industry (GCCCI)	State
5	Ahmedabad Management Association (AMA)	State
6	Federation of Indian Chamber of Commerce and Industry (FICCI)	National
7	Quality Circle Forum of India (QCFI)	National
8	Indian Business and Biodiversity Initiative (IBBI)	National
9	Gujarat Safety Council	State
10	National Safety Council	National
11	Independent Power Producers Association of India (IPPAI)	National
12	United Nations Global Compact (UNGC)	International

2. **Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.**

Name of authority	Brief of the case	Corrective action taken
NIL	NIL	NIL

Leadership Indicator

1. **Details of public policy positions advocated by the entity:**

Sr. No.	Public Policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/Others- please specify)	Web link if available
Nil during FY 2022-23					

Principle 8: Businesses should promote inclusive growth and equitable development.

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Name and brief details of project	SIA Notification No	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Nil					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
Not Applicable					

3. Describe the mechanisms to receive and redress grievances of the community.

There is a designated person to report any complaints or grievances. The complaints can be submitted orally or in writing. Additionally, there is a robust community engagement mechanism, wherein the Program Officers working under the supervision of the CSR Head regularly interact with community stakeholders. Program Officers also serve as the first point of contact for the community to submit and redress grievances on a one-to-one basis.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Directly sourced from MSMEs/ small producers	60%	45%
Sourced directly from within the district and neighbouring districts	The Company shall start monitoring and reporting this data in future.	

Leadership Indicator

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Nil	Nil
Nil	Nil

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

Sl No	State	Aspirational District	Amount spent (In ₹ crore)
1	Rajasthan	Baran	3.10
2	Jharkhand	Godda	4.40
3	Madhya Pradesh	Singrauli	1.53

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

No, we do not have a policy on this as yet.

- (b) From which marginalized /vulnerable groups do you procure?

NA

- (c) What percentage of total procurement (by value) does it constitute?

NA

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Sr. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/ No)	Benefit shared (Yes / No)	Basis of calculating benefit share
NIL				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the case	Corrective action taken
NA		

6. Details of beneficiaries of CSR Projects:

SI No	CSR Project (Focused Area)	No. of persons benefitted from CSR Projects	% Of beneficiaries from vulnerable and marginalized groups
1	Education	318014	The Company shall start monitoring and reporting this data in future
2	Community Healthcare	313033	
3	Sustainable Livelihood	74462	
4	Community Infrastructure Development	175178	
5	Special Projects	5895	
Total		8,86,582	

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

We have well defined systems for receiving and responding to consumer complaints and feedback. Consumers can share their complaint and feedback via email. Timely and effective redressal of concerns/complaints raised by our stakeholders is a key priority for our businesses. To ensure this, all acknowledgements are sent to users within 24 hours of receipt of such issues and as a standard procedure, all grievances are closed in a specified time with a final resolution.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	Not Applicable considering the nature of Company's product and services offerings
Safe and responsible usage	
Recycling and/or safe disposal	

3. Number of consumer complaints in respect of the following:

	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Received during the year	Pending resolution at the end of year	Remarks	Received during the year	Pending resolution at the end of year	Remarks
Data privacy	0	0		0	0	--
Advertising	0	0		0	0	--
Cyber-security	0	0		0	0	--
Delivery of essential services	0	0		0	0	--
Restrictive Trade Practices	0	0		0	0	--
Unfair Trade Practices	0	0		0	0	--
Other	0	0		0	0	--

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	NA	NA
Forced recalls	NA	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, we have cyber security and data privacy policy in line with our commitment to establish and improve cyber security preparedness and minimizing exposure to associated risks.

Weblink: <https://www.adanipower.com/-/media/Project/Power/Investors/Corporate-Governance/Policies/Cyber-Security-and-Data-Privacy-Policy.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not Applicable considering the nature of Company's product and services offerings

Leadership Indicators**1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).**

Not Applicable as business nature is B2B.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Not Applicable as business nature is B2B.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Not Applicable as business nature is B2B.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Not Applicable

5. Provide the following information relating to data breaches:

a. Number of instances of data breaches along-with impact:

b. Percentage of data breaches involving personally identifiable information of customers:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Number of instances of data breaches	0	0
Percentage of data breaches involving personally identifiable information of customers	0	0

Independent Verification Statement

Introduction

DNV Business Assurance India Private Limited ('DNV') has been commissioned by the management of Adani Power Limited ('APL', Corporate Identity Number: L40100GJ1996PLC030533) to undertake an independent assurance of the company's Business Responsibility and Sustainability Reporting ('BRSR') disclosure "Principle 6", (Businesses should respect and make efforts to protect and restore the environment) which is part of APL's reporting on BRSR disclosures included in its Annual Report, it shall also be published in digital/online format. The disclosures in this Report have been prepared based on the requirements of SEBI Circular no. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 dated May 10, 2021, prescribing format of the BRSR and the guidance notes and the nine principles of the National Guidelines on Responsible Business Conduct, 2019 ('NGRBC') of the Ministry of Corporate Affairs, Government of India. The intended user of this assurance statement is the Management of APL ('the Management') and its stakeholders. Our assurance engagement was planned and carried out during May 2023 – June 2023 covering the Company's sustainability (Environmental) performance during 1 April 2022 to 31 March 2023. We performed

a limited level of assurance based on our assurance methodology, VeriSustainTM1.

Responsibilities of the Management of Adani Power Limited and of the Assurance Provider

The Management has the sole responsibility for the preparation of the Report and is responsible for all information disclosed in the Report as well as the processes for collecting, analyzing and reporting the information presented in the Report. APL is also responsible for ensuring the maintenance and integrity of its website and any referenced disclosures on environmental performance. In performing this assurance work, DNV's responsibility is to the Management of APL; however, this statement represents our independent opinion and is intended to inform the outcome of the assurance to the stakeholders of APL.

We do not provide any services to APL, which in our opinion constitutes a conflict of interest with this assurance work. Our assurance engagements are based on the assumption that the data and information provided by the Company to us as part of our review have been provided in good faith and are free from material misstatements.

Scope, Boundary and Limitations

The reporting scope and boundary encompasses sustainability (Environmental) performance of APL as brought out in Section A: General Disclosures of the BRSR.

The assurance engagement considers an uncertainty of $\pm 5\%$ based on materiality threshold for estimation/measurement errors and omissions. We did not engage with any external stakeholders as part of this assurance engagement.

During the assurance process, we did not come across limitations to the scope of the agreed assurance engagement.

Basis of our Opinion

During the verification, we adopted a risk-based approach, and a sample-based verification was carried out for a limited level of verification as per DNV VeriSustain and as agreed with APL.

We carried out the following activities:

- Reviewed the approach to stakeholder engagement and materiality determination process and its outcomes as brought out in the Report.
- Conducted interviews with selected representatives responsible for management of environmental issues and carried

¹ The VeriSustain protocol is based on the principles of various assurance standards including International Standard on Assurance Engagements 3000 (ISAE 3000) Revised (Assurance Engagements other than Audits or Reviews of Historical Financial Information) and the GRI Principles for Defining Report Content and Quality, international best practices in verification and our professional experience; and is available on request from www.dnv.com

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out reviews of selected evidence to support topics and claims disclosed in the Report. We were free to choose interviewees and interviewed those with overall responsibility to deliver APL's overall sustainability objectives.

- Carried out off-site verification of sustainability (Environmental) performance data and sample evidence related to the sampled sites of APL, to review the processes and systems for aggregating site-level sustainability (environment) information
- Reviewed the process of reporting on BRSR requirements including Section A: General Disclosures, Section B: Management and Process Disclosures, and Section C: Principle "6" Performance Disclosures.
- Verification of the data consolidation of reported performance disclosures in context to the Principle of Completeness as per VeriSustain for a limited level of verification.
- An independent assessment of the reports non-financial information against the requirements of BRSR "Principle 6" and the guidance notes

Opinion and Observations

Based on the verification undertaken, nothing has come to our attention to suggest that the Report together with referenced information does not adhere to the requirements of BRSR "Principle 6" including the General Disclosures, Management and Process Disclosures.

Without affecting our assurance opinion, we provide the following observations against the principles of VeriSustain:

Materiality

The process of determining the issues that is most relevant to an organization and its stakeholders.

The Report brings out the broad range of with the rationale for issues which the Company has identified as being material to its business which are mapped as risks and opportunities, along with the rationale for considering the issue as being material. Key environmental risks, stakeholder opinions and concerns, and peer issues were taken into account while arriving at overall topics which were further prioritized to arrive at the significant material issues. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Materiality.

Stakeholder Inclusiveness

The participation of stakeholders in developing and achieving an accountable and strategic response to Sustainability.

The Report brings out the formal and informal channels in place to engage with its various identified stakeholders, including descriptions of the methods, frequencies and basis of engagement with each stakeholder group, as well as opinions and concerns arising out of the engagement processes during the reporting period. Inputs from the stakeholder engagement are used towards identifying key environmental topics and refining

the Company's policies and strategies.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Stakeholder Inclusiveness.

Responsiveness

The extent to which an organization responds to stakeholder issues.

The Report brings out the approaches adopted by the Company to adapt and/or mitigate impacts related to its identified material issues, as well as responses to key stakeholder concerns. The disclosures bring out the descriptions of structures, policies and processes implemented by APL towards adopting and reviewing the NGRBC Principle 6, as well as performance data, and processes for governance.

Nothing has come to our attention to believe that the Report does not meet the requirements related to the Principle of Responsiveness.

Reliability

The accuracy and comparability of information presented in the report, as well as the quality of underlying data management systems.

The Report brings out the processes that APL has established towards capturing and reporting its sustainability performance related to Principle "6" of NGRBC. The majority of the data and information verified through our remote assessments with the Company's management teams and data owners at the sites, sampled by us as part of our assurance engagement

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were found to be fairly accurate and reliable. Some of the data inaccuracies identified during the verification process were found to be attributable to transcription, interpretation and aggregation errors. These data inaccuracies have been communicated for correction and the related disclosures were reviewed for correctness.

Nothing has come to our attention to believe that the Report does not meet the principle of Reliability.

Completeness

How much of all the information that has been identified as material to the organisation and its stakeholders is reported?

The Report brings out the Company's performance during FY2023 related to environmental aspects of the BRSR and covering the operations of APL, covering the performance related to NGRBC Principle "6". APL may further strengthen its processes towards capturing and reporting information and data related to Essential and certain Leadership Indicators of Principle-wise Performance Disclosures in future

reporting periods.

Nothing has come to our attention to suggest that the Report does not meet the Principle of Completeness with respect to scope, boundary and time.

Neutrality

The extent to which a report provides a balanced account of an organization's performance, delivered in a neutral tone.

The Report brings out APL's sustainability (Environmental) performance during the reporting period in a neutral tone in terms of content along with descriptions of key risks and opportunities during the reporting period.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Neutrality.

Statement of Competence and Independence

DNV applies its own management standards and compliance policies for quality control, in accordance with ISO IEC 17021:2015 - Conformity Assessment Requirements for bodies

providing audit and certification of management systems, and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have complied with the DNV Code of Conduct² during the verification engagement and maintain independence where required by relevant ethical requirements as detailed in DNV VeriSustain. This engagement work was carried out by an independent team of sustainability assurance professionals. DNV was not involved in the preparation of any statements or data except for this Assurance Statement, the GHG Verification Statement and Management Report. DNV maintains complete impartiality toward stakeholders interviewed during the verification process. We did not provide any services to APL in the scope of assurance during FY2023 that could compromise the independence or impartiality of our work.

For DNV Business Assurance India Private Limited

Karthik Ramaswamy
Lead Verifier,
Sustainability Services,
DNV Business Assurance India
Private Limited, India

Anjana Sharma
Head – Regional Sustainability
Operations,
DNV Business Assurance India
Private Limited, India

Venkata Raman Kakaraparthi
Assurance Reviewer,
Sustainability Services
DNV Business Assurance India
Private Limited, India

June 2023, Mumbai, India.

DNV Business Assurance India Private Limited is part of DNV – Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnv.com

Independent Auditor's Report

To the Members of **Adani Power Limited**

Report on the Audit of the Standalone Financial Statements

Qualified Opinion

We have audited the accompanying standalone financial statements of Adani Power Limited ("the Company"), which comprise the Balance sheet as at March 31, 2023 the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the standalone financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matters described in the 'Basis for Qualified Opinion' section of our report, the aforesaid standalone financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Qualified Opinion

We refer to Note 67 of the standalone financial statements. Pending completion of the ongoing investigations by Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023, in respect of the matter stated in the said note, we are unable to comment on the possible consequential effects thereof, if any, on these standalone financial statements.

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Standalone Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of

India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the standalone financial statements.

Emphasis of Matter

The comparative financial information of the Company as at and for the year ended March 31, 2022 included in these Standalone Financials Statements have been restated to give the effect of the adjustments arising from Amalgamation (the "Scheme") between the Company and its six wholly owned subsidiaries as fully described in the Note 64 to the standalone financial statements.

Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the 'Basis for Qualified Opinion' section we have determined the matters described below to be the key audit matters to be communicated in our report. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the standalone financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying standalone financial statements.

Key audit matters	How our audit addressed the key audit matter
<u>Revenue recognition and assessment of recoverability of receivables related to change in law claims</u> (Also refer Notes 3(vii), 11 and 33 to the standalone financial statements)	
The Company, having Power Purchase Agreements (PPA) are eligible for compensation claims against various Change in Law events having cost implications on generation and supply of power such as additional duties and taxes, increased cost of power generation, etc., due to purchase of alternative coal in terms of the framework of supply of power as per PPA entered by the respective Thermal Power Plant/ Units with the various Discoms. The compensation claims (invoices) are raised by the Company upon approval of change in law event by the relevant Regulatory Authorities. The invoices for change in law claims are raised considering operational / cost parameters based on qualitative parameters approved in terms of the relevant Regulatory Authorities Orders and are subject to partial / final acceptance of the claims by the respective Discoms. Considering that the methodology and the parameters of claims are subject to final acceptance by the respective Discoms, the revenue is recognised in the books of account based on the prudent parameters of claims and methodology, till the respective matters are accepted / settled with the Discoms. Thus, the revenue/ receivables from Discoms are subject to adjustments to the extent there may be adverse impact on account of appeals with the regulatory authorities. In certain cases where the regulatory order(s) are subject matter of appeal with higher appellate forums / authorities, and the amount of claims are not ascertainable, revenues for change in law claims are not recognised, pending outcome of the final decision. In view of the complexity and judgement involved in estimation of the amounts of such claims and recoverability thereof, the same is considered as a key audit matter.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers". - Obtained understanding of the key controls that management has in place to monitor change in law events and related claims, status of various pending claims including under appeals and orders passed by various regulatory authorities. - Inspected the relevant state regulatory commission, CERC, appellate tribunal and court rulings and examined management assumptions / judgement relating to various parameters in terms of regulatory orders, for measuring / estimating the amount of such claims. - Examined the underlying parameters and assumptions / judgement used for measuring / computing the amounts of compensation claims as per regulatory orders through verification of historical information and other available internal and external data. - Tested on sample basis, the accuracy of the underlying data used for computation of such claims. - Tested the joint reconciliations for trade receivables performed by the Company with the respective Discoms, wherever available with underlying records. - Tested the status of the outstanding receivables and recoverability of the overdue / aged receivables through inquiry with management, and collection trends in respect of receivables. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".
<u>Revenue recognition for regulated power generation business</u> (Also refer Note 33 to the standalone financial statements)	
In the regulated power generation business of Udupi Thermal Power Plant (Udupi TPP) (erstwhile known as Udupi Power Corporation Limited), the tariff is determined by the regulator based on cost plus return on equity basis wherein cost is subject to prudential norms. The Company invoices its customers on the basis of provisional approved tariff which is based on Tariff Regulation and is subject to true up adjustment. As the Company is entitled to tariff based on actual cost incurred for the year, at point of revenue recognition it recognises adjustments for the escalation/ de-escalation in the various parameters compared to the entitled parameters.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers". - Performed test of controls over revenue recognition and accruals through inspection of evidence of performance of these controls. - Performed the tests of details including the following key procedures:

Key audit matters	How our audit addressed the key audit matter
Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and the prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. Further certain matters for disallowance of claims has been litigated by the Company before higher authorities. Revenue recognition and accrual of regulatory claims is a key audit matter considering the significant judgements involved in the determination thereof.	- Evaluated the key assumptions used by the Company by comparing it with the assumptions in provisional approved tariff order. - For tariff orders (including updated tariff order) received by the Company, assessed the impact recognised by the Company and for matters litigated by the Company, also assessed the management's evaluation of the likely outcome of the dispute based on past precedents. - Tested the joint reconciliation for invoiced billed and approved tariff-based income performed by the Company with the Discoms, wherever available with underlying records and adjustments made in books of account as recoverable/ payable for the respective approved tariff periods. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".

Evaluation of impairment of property, plant and equipment

(Also refer Note 3(iv) and 47(c) to the standalone financial statements)

As at March 31, 2023, the carrying value of the Property, Plant and Equipment (PPE) of the Company (Mundra Thermal Power Plant (TPP) Cash Generating Unit (CGU)) is ₹13,706.48 crores (net of government grant). To assess if there is an impairment in the carrying value of PPE of Mundra TPP CGU, the management conducts CGU level impairment tests annually or whenever changes in circumstances or events indicate that, the carrying value of PPE may require evaluation to verify recoverability. An impairment loss is recognised if the recoverable amount of PPE is lower than the carrying value. The recoverable amount of the Mundra TPP CGU is evaluated by calculating the value in use of the CGU to which carrying value of PPE is attributable along with the revised SPPA entered with Gujarat Urja Vikas Nigam Limited ("GUVNL") in terms of Settlement Deed with the said Discom dated January 4, 2022, which has been approved by Hon'ble Supreme Court. Further, the unit has also entered into Supplementary Power Purchase Agreement (SPPA) with Haryana discom in February 2023 and long term PPA with MPSEZ Utilities Limited ("MUL") to supply power from Mundra TPP in April 2023. This is a key audit matter as the testing of impairment of carrying value of Mundra TPP PPE is complex and involves significant judgement. . The key assumptions involved in impairment test are projected revenue growth, tariff estimate, cost of coal, operating margins, estimated life of PPE and discount rates and terminal value.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - We have obtained an understanding the Management's internal controls over its annual impairment assessment and key assumptions applied such as revenue growth, operating margins, discount rates, estimated life of PPE and terminal growth rates; - We obtained CGU valuation model prepared by the management and engaged our valuation specialists to evaluate the appropriateness of valuation methodology applied in impairment testing and to test the key assumptions around expected long term growth parameters discount rates etc. - We discussed potential changes in key drivers with management in order to evaluate the suitability of inputs and assumptions used in the cash flow forecasts and performed sensitivity analysis around the key assumptions used by management. - We have obtained an understanding of impact of the revised agreement entered with GUVNL dated March 30, 2022, Haryana discom for supplying the power dated February 28, 2023 and long term PPA entered with MUL for supply of power dated April 14, 2023 having impact on the valuation model. - Assessed the disclosures in accordance with the requirements of Ind AS 36 "Impairment of Assets".
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Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going

concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the

Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information

and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

- (b) Except for the matter described in the Basis for Qualified Opinion paragraph, in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
- (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;
- (d) Except for the effects of the matter described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) The matter described in the Basis for Qualified Opinion paragraph above, in our opinion, may have an adverse effect on the functioning of the Company;
- (f) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- (g) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion paragraph above;
- (h) With respect to the adequacy of the internal financial controls with reference to standalone financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;
- (i) The Company has not paid any managerial remuneration to its directors and thus, the provisions of section 197 read with Schedule V of the Act are not applicable to the Company for the year ended March 31, 2023;
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note 41 to the standalone financial statements;
- ii. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts;
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. a) The management has represented that, to the best of its knowledge and belief, as disclosed in the note 66 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- b) The management has represented that, to the best of its knowledge and belief, as disclosed in the note 66 to the standalone financial statements, no funds have been received by the company from any person or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- c) Based on such audit procedures that were considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.
- v. The dividend on compulsory redeemable preference shares in respect of the same declared for the previous years and paid by the Company during the year, is in accordance with section 123 of the Companies Act 2013 to the extent it applies to payment of dividend.

As stated in note 62 of the standalone financial statements, the Board of Directors of the Company have proposed dividend on compulsory redeemable preference shares for the year which is subject to the approval of members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.
- vi. As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the company only w.e.f. April 1, 2023, reporting under this clause is not applicable.

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature: Ahmedabad

Date: May 5, 2023

Annexure 1 referred to in Paragraph 1 of Report

on Other Legal and Regulatory Requirements of our report of even date for the year ended March 31, 2023

In terms of the information and explanations sought by us and given by the company and the books of accounts and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment
- (B) The Company has maintained proper records showing full particulars of intangibles assets.
- (b) All Property, Plant and Equipment have not been physically verified by the Management during the year but there is a regular programme of verification which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No Material discrepancies were noticed on such verification.
- (c) The title deeds of immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in Note 4.1 to the financial statements are held in the name of the Company, except number of cases of immovable properties as disclosed in the table below as at March 31, 2023 for which title deeds were not held in the name of the Company.

Description of item of property	Gross carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter / director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Land - Freehold for Bitta Power Plant	1.91	Mrs. Jamnaben H Bhanushali	No	1st April, 2014	Under litigation at Civil Court, Kutch, Gujarat
Land (Leasehold and Freehold) and Building of Mundra TPP	641.27	Adani Power (Mundra) Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	Land and Building pending transfer to the Company on account of scheme of amalgamation, which are in the name of erstwhile subsidiaries, will be transferred in the name of the Company in due course.
Land (Leasehold and Freehold) and Building of Tiroda TPP	682.57	Adani Power Maharashtra Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Kawai TPP	342.21	Adani Power Rajasthan Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Udupi TPP	413.69	Udupi Power Corporation Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Raipur TPP	273.27	Raipur Energen Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Raigarh TPP	282.19	Raigarh Energy Generation Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	

- (d) The Company has not revalued its Property, Plant and Equipment (including Right of use assets) or intangible assets during the year ended March 31, 2023.
- (e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of verification by the management is reasonable and the coverage and procedure for such verification is appropriate and discrepancies of 10% or more in aggregate for each class of inventory were not noticed in respect of such verification.
- (b) The Company has been sanctioned working capital limits in excess of Rs. five crores in aggregate from banks during the year on the basis of security of current assets of the Company. The quarterly returns/statements filed by the Company with such banks in respect of gross value of primary security, are in agreement with the books of accounts of the Company.

- (iii) a. During the year, the Company has granted loans, stood guarantee and provided security to various Companies as summarised below:

(in ₹ crores)			
Particulars	Corporate guarantees	Security*	Loans
Aggregate amount granted/ provided during the year			
- Subsidiaries	-	868.20	1,490.80
Balance outstanding as at balance sheet date (including amount outstanding at beginning of the year)			
- Subsidiaries	11,975.42	4,417.77	1,251.78

*Company has offered its equity and debentures instruments to the subsidiaries lenders.

During the year, the Company has not granted loans, advance in nature of loans, stood guarantee or provided any security to firms and Limited Liability partnerships.

- b. The terms and conditions in respect of loans granted are not prejudicial to the Company's interest.
- c. The schedule of repayment in respect of loans granted for principal and interest payment has been stipulated and the repayment or receipts are regular, and interest get capitalised at year end with the amount of outstanding loans, as per the terms of the agreement.
- d. There are no amounts of loans and advances in the nature of loans granted to companies which are overdue for more than ninety days.
- e. There were no loans or advances in the nature of loans granted to companies which was fallen due during the year based on the tenure of respective loan agreements.
- f. The Company has not granted any loans or advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies. Accordingly, the requirement to report on clause 3(iii)(f) of the Order is not applicable to the Company.
- iv) Loans, investments, guarantees, and securities, in respect of which provision of Section 185 and Section 186 of the Companies Act, 2013 are applicable have been complied with by the Company.
- (v) The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.
- (vi) We have broadly reviewed the books of account maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost records under section 148(1) of the Act, related to the generation of power and are of the opinion that prima facie, the specified accounts and records have been made and maintained. We have not, however, made a detailed examination of the same.

- (vii) (a) The Company is regular in depositing with appropriate authorities undisputed statutory dues including goods and services tax, provident fund, income-tax, duty of customs, cess and other statutory dues applicable to it. The provision relating to employees' state insurance are not applicable to the Company. According to the information and explanations given to us and based on audit procedure performed by us, no undisputed amounts payable in respect of these statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.
- (b) According to the records of the Company, the dues outstanding of income tax on account of any dispute, are as follows:

Name of Statute	Nature of Dues	Amount due (Rs. In Crores)	Amount Paid under protest (Rs. in Crores)	Period to which amount relates	Forum where dispute is pending
Income Tax Act, 1961	Income Tax	-	5.08	Financial Year 2011-12, 2013-14	Income Tax Appellate Tribunal (ITAT)
Income Tax Act, 1961	Income Tax	16.32	-	Financial Year 2016-17, 2017-18	Commissioner of Income tax (Appeals)
Income Tax Act, 1961	Income Tax	4.11	2.23	Financial Year 2009-10 & 2010-11	High Court of Gujarat
Customs Act, 1962	Custom duty and interest	275.22	19.26	March 2012 to February 2013	Custom, Excise and Service Tax Appellate Tribunal
Customs Act, 1962	Interest on Custom duty	38.95	-	July 2015 to February 2016	Hon'ble Supreme Court
Customs Act, 1962	Custom Duty	963.94	-	2009-10 to 2014-15	Development Commissioner, Mundra
Finance Act, 1994	Service Tax	17.31	7.64	Apr 2017 to Jun 2017	Principal Commissioner of GST, Ahmedabad
Central Sales Tax Act, 1956	Central Sales Tax	11.83	1.27	Financial Year - 2017-18	Joint Commissioner of State Tax (Appeal), Ahmedabad
Finance Act, 1994	Service Tax	5.12	-	Financial Year- 2008-09	High Court of Gujarat
Chhattisgarh Entry Tax, 1976	Entry Tax	1.40	0.25	Financial Year -2015-16 & 2017-18	Additional Commissioner (Appeals), Raipur
Maharashtra Value Added Tax Act, 2002	VAT	1.51	-	Financial Year 2013-14	Jt. Commissioner of State Tax (Adm), Nagpur

- (viii) The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.
- (ix) (a) The Company has not defaulted in the repayment of loans or borrowings or in the payment of interest thereon to any lender as at the balance sheet date.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (c) Term loans were applied for the purpose for which the loans were obtained.
- (d) On an overall examination of the financial statements of the Company, no funds raised on short-term basis have been used for long-term purposes by the Company.
- (e) On an overall examination of the financial

statements of the Company, the Company has not specifically taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries. The Company does not have any associates or joint ventures.

- (f) The Company has not raised loans during the year on the pledge of securities held in its subsidiaries. The Company does not have any associates or joint ventures. Hence, the requirement to report on clause (ix)(f) of the Order is not applicable to the Company.
- (x) (a) The Company has not raised any money during the year by way of initial public offer / further public offer hence, the requirement to report on clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares / fully or partially or optionally convertible debentures during the year under audit and hence, the requirement to report on clause 3(x)(b) of the Order is not applicable to the Company.
- (xi) (a) No fraud by the Company or no material fraud on the Company has been noticed or reported during the year. We are unable to comment on the possible consequential effects, if any, arising out of the pending Hon'ble Supreme Court proceedings and regulatory investigations as stated in the 'Basis for Qualified Opinion' paragraph of our audit report.
- (b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by cost auditor/ secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- (c) As represented to us by the management, there are no whistle blower complaints received by the company during the year. We are unable to comment on the possible consequential effects, if any, arising out of the pending Hon'ble Supreme Court proceedings and regulatory investigations as stated in the 'Basis for Qualified Opinion' paragraph of our audit report.
- (xii) The Company is not a nidhi Company as per the provisions of the Companies Act, 2013. Therefore, the requirement to report on clause 3(xii)(a) to 3(xii)(c) of the Order are not applicable to the Company.
- (xiii) Transactions with the related parties are in compliance with sections 177 and 188 of

Companies Act, 2013 where applicable and the details have been disclosed in the notes to the standalone financial statements, as required by the applicable accounting standards, except for the effects of the matter referred to in the 'Basis of Qualified Opinion' paragraph of our Audit Report of even date.

- (xiv) (a) The Company has an internal audit system commensurate with the size and nature of its business.
- (b) The internal audit reports of the Company issued till the date of the audit report, for the period under audit have been considered by us.
- (xv) According to the information and explanations given by the management, the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence requirement to report on clause 3(xv) of the Order is not applicable to the Company.
- (xvi) (a) According to the information and explanations given to us the provisions of section 45-IA of the Reserve Bank of India Act, 1934 are not applicable to the Company. Accordingly, the requirement to report on clause (xvi)(a) of the Order is not applicable to the Company.
- (b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtained a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi) of the Order is not applicable to the Company.
- (d) There are no Core Investment Companies as a part of the Group, hence, the requirement to report on clause 3(xvi) of the Order is not applicable to the Company.
- (xvii) The Company has not incurred cash losses in the current financial year but it incurred cash losses of ₹282.12 crores in the immediately preceding financial year, as reported, without considering impact of amalgamation (Refer Note 64 of the standalone financial statements).
- (xviii) There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.
- (xix) On the basis of the financial ratios disclosed in note 69 to the financial statements, the ageing

and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Management / Board of Directors business plan and based on our examination of evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that Company is not capable of meeting its liabilities, existing at the date of balance sheet, as and when they fall due within a period of one year from the balance sheet date.

We further state that this is not an assurance as to the future viability of the Company and our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- (xx) (a) There are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act (the Act), in compliance with second proviso to sub section 5 of section 135 of the Act. This matter has been disclosed in note 59 to the financial statements.
- (b) There are no unspent amounts in respect

of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of Companies Act. This matter has been disclosed in note 59 to the financial statements.

- (xxi) The requirement of clause 3(xx) is not applicable in respect of Standalone Financial Statements.

For S R B C & CO. LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature : Ahmedabad

Date: May 5, 2023

Annexure 2 to the Independent Auditor's Report of even date on the Standalone Financial Statements of Adani Power Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls over financial reporting of Adani Power Limited ("the Company") as of March 31, 2023, in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting with reference to these standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing as specified under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

An audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls over financial reporting with reference to these standalone financial statements and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting with reference to these standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the internal financial controls over financial reporting with reference to these standalone financial statements.

Meaning of Internal Financial Controls Over Financial Reporting With Reference to these Standalone Financial Statements

A company's internal financial control over financial reporting with reference to these standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting with reference to these standalone financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3)

provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting With Reference to these Standalone Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting with reference to these standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these standalone financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, pending completion of the ongoing investigations of Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023 as stated in the 'Basis for Qualified Opinion' paragraph of our audit report, and the consequential impact it may have on Company's processes and internal controls including related party transactions and compliance with applicable laws and regulations, to that extent we are unable to comment on whether there is any material weakness in the Company's internal controls as at March 31, 2023.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis.

In our opinion, except for the possible effects of the material weakness described above on the

achievement of the objectives of the control criteria, the Company has maintained, in all material respects, adequate internal financial controls over financial reporting with reference to these standalone financial statements and such internal financial controls over financial reporting with reference to these standalone financial statements were operating effectively as of March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Explanatory paragraph

We also have audited, in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act, the standalone financial statements of Adani Power Limited, which comprise the Balance Sheet as at March 31, 2023, and the related Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information, and our report dated May 5, 2023, expressed a qualified opinion.

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature : Ahmedabad

Date: May 5, 2023

Balance Sheet as at 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	As at 31st March, 2023	As at 31st March, 2022 [Restated(Refer Note 64)]
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	4.1	46,380.45	49,139.79
(b) Capital Work-In-Progress	4.1	188.33	184.30
(c) Goodwill	4.2	190.61	190.61
(d) Other Intangible Assets	4.3	11.73	11.88
(e) Financial Assets			
(i) Investments	5	6,373.48	4,658.49
(ii) Loans	6	1,251.78	609.54
(iii) Other Financial Assets	7	546.39	782.09
(f) Other Non-current Assets	8	691.05	639.57
Total Non-current Assets		55,633.82	56,216.27
Current Assets			
(a) Inventories	9	2,324.07	2,208.07
(b) Financial Assets			
(i) Investments	10	-	175.01
(ii) Trade Receivables	11	11,380.93	9,490.01
(iii) Cash and Cash Equivalents	12	193.76	574.52
(iv) Bank balances other than (iii) above	13	1,498.58	1,440.43
(v) Loans	14	3.06	3.18
(vi) Other Financial Assets	15	244.12	302.11
(c) Other Current Assets	16	1,553.61	1,356.58
Total Current Assets		17,198.13	15,549.91
Total Assets		72,831.95	71,766.18
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	17	3,856.94	3,856.94
(b) Unsecured Perpetual Securities	18	13,215.00	13,215.00
(c) Other Equity	19	11,151.93	1,391.95
Total Equity		28,223.87	18,463.89
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	20	24,978.63	30,462.45
(ia) Lease Liabilities	21	87.76	93.49
(ii) Other Financial Liabilities	22	286.21	205.69
(b) Provisions	23	148.32	132.38
(c) Deferred Tax Liabilities (Net)	24	-	2,303.87
(d) Other Non-current Liabilities	25	4,183.15	4,487.21
Total Non-current Liabilities		29,684.07	37,685.09
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	26	7,827.72	9,932.80
(ia) Lease Liabilities	27	8.75	7.98
(ii) Trade Payables	28		
- total outstanding dues of micro enterprises and small enterprises		82.38	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises		2,305.00	3,395.63
(iii) Other Financial Liabilities	29	1,075.08	714.68
(b) Other Current Liabilities	30	3,611.69	854.92
(c) Provisions	31	13.39	12.94
(d) Current Tax Liabilities (Net)	32	-	645.32
Total Current Liabilities		14,924.01	15,617.20
Total Liabilities		44,608.08	53,302.29
Total Equity and Liabilities		72,831.95	71,766.18

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Statement of Profit and Loss for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
Income			
Revenue from Operations	33	36,681.21	27,711.18
Other Income	34	4,519.98	4,068.32
Total Income		41,201.19	31,779.50
Expense			
Fuel Cost		24,551.98	14,762.21
Purchase of Stock-in-trade / Power for resale	35	209.58	545.56
Transmission Charges		469.85	642.77
Employee benefits expense	36	530.36	470.21
Finance Costs	37	3,306.80	4,086.92
Depreciation and Amortisation Expense	4.1 and 4.3	3,142.79	3,116.21
Other Expenses	38	1,600.45	1,453.74
Total Expenses		33,811.81	25,077.62
Profit before tax and Deferred tax (adjustable) / recoverable from future tariff		7,389.38	6,701.88
Tax (Credit) / Expenses			
Current Tax	39	-	768.33
Tax (credit) adjusted relating to earlier years	39 and 65	(768.33)	(0.11)
Deferred Tax (credit) / charge (including ₹2,303.87 Crores adjustment relating to earlier periods (previous year ₹Nil))	39 and 65	(2,303.87)	976.57
Total Tax (Credit) / Expenses		(3,072.20)	1,744.79
Add : Deferred tax (adjustable) / recoverable future tariff (net of tax)	65	(215.43)	79.25
Profit for the year		10,246.15	5,036.34
Other Comprehensive Income			
Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plan		(4.17)	(10.72)
Income tax impact		-	0.78
Net Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")		-	26.94
Income tax impact		-	-
Other Comprehensive (Loss) / Income that will not be reclassified to profit or loss in subsequent periods, net of tax		(4.17)	17.00
Total Comprehensive Income for the year, net of tax		10,241.98	5,053.34
Earnings Per Equity Share (EPS)	40	23.32	9.95
Basic and Diluted (₹) (Face Value ₹ 10 Per Share)			

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Statement of changes in equity for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Equity Share Capital		Unsecured Perpetual Securities	Other Equity						Deemed Equity Contribution	Reserves and Surplus					Other Comprehensive Income (OCI)		Total other equity	Total Equity
	No. of Shares	Amount	Amount	Amount	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Equity instruments through OCI	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount
Balance as at 1st April, 2021	3,85,69,38,941	3,856.94	9,015.00	1,772.93	465.80	4,136.27	9.04	-	(2,170.63)	-	4,213.41	17,085.35	-	-	-	-	-	4,213.41	17,085.35
Add : Changes on account of amalgamation (Refer note 64)		-	3,600.00	-	923.60	3,273.56	-	-	(11,728.68)	-	(7,531.52)	(3,931.52)	-	-	-	-	-	(7,531.52)	(3,931.52)
Balance as at 1st April, 2021 (Restated)*	3,85,69,38,941	3,856.94	12,615.00	1,772.93	1,389.40	7,409.83	9.04	-	(13,899.31)	-	(3,318.11)	13,153.83	-	-	-	-	-	(3,318.11)	13,153.83
Profit for the year	-	-	-	-	-	-	-	-	5,036.34	-	5,036.34	5,036.34	-	-	-	-	-	5,036.34	5,036.34
Other Comprehensive Income for the year																			
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	-	(9.94)	-	(9.94)	(9.94)	-	-	-	-	-	(9.94)	(9.94)
Net Gain on sale of Investment classified at FVTOCI, net of tax	-	-	-	-	-	-	-	-	-	-	-	26.94	-	26.94	-	-	-	26.94	26.94
Total comprehensive Income for the year	-	-	-	-	-	-	-	-	5,026.40	26.94	5,053.34	5,053.34	26.94	26.94	-	-	-	5,053.34	5,053.34
Equity component of Non-cumulative Compulsory Redeemable Preference Shares issued during the year (Refer Note 63)	-	-	-	-	-	-	-	246.55	-	-	-	246.55	-	-	-	-	-	246.55	246.55
Gain on sale of Compulsory Convertible Preference Shares (CCPS) transferred to Retained Earnings	-	-	-	-	-	-	-	-	26.94	(26.94)	-	-	-	-	-	-	-	-	-
Unsecured Perpetual Securities (Refer note 18)																			
Issued during the year	-	-	600.00	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	600.00
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	(589.83)	-	(589.83)	(589.83)	-	-	-	-	-	(589.83)	(589.83)
Balance as at 31st March, 2022 (Restated)	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,389.40	7,409.83	9.04	246.55	(9,435.80)	-	1,391.95	18,463.89	-	-	-	-	-	1,391.95	18,463.89
Balance as at 1st April, 2022 (Restated)	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,389.40	7,409.83	9.04	246.55	(9,435.80)	-	1,391.95	18,463.89	-	-	-	-	-	1,391.95	18,463.89

Statement of changes in equity for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Other Equity												
	Equity Share Capital		Unsecured Perpetual Securities	Reserves and Surplus						Other Comprehensive Income (OCI)		Total other equity	Total Equity
				Deemed Equity Contribution	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Equity instruments through OCI			
	No. of Shares	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	
Profit for the year	-	-	-	-	-	-	-	-	10,246.15	-	10,246.15	10,246.15	
Other Comprehensive Income for the year													
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	-	(4.17)	-	(4.17)	(4.17)	
Total comprehensive Income for the year	-	-	-	-	-	-	-	-	10,241.98	-	10,241.98	10,241.98	
External Commercial Borrowing (ECB) liability written back (Refer note 20(4))	-	-	-	179.17	-	-	-	-	-	-	179.17	179.17	
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	(661.17)	-	(661.17)	(661.17)	
Balance as at 31st March, 2023	3,85,69,38,941	3,856.94	13,215.00	1,952.10	1,389.40	7,409.83	9.04	246.55	145.01	-	11,151.93	28,223.87	

*Restated (Refer note 64)

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Statement of Cash Flows for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
(A) Cash flow from operating activities		
Profit before tax	7,389.38	6,701.88
Adjustments to reconcile profit before tax to net cash flows:		
Depreciation and Amortisation Expense	3,142.79	3,116.21
Unrealised Foreign Exchange Fluctuation (gain) / loss (net)	(65.36)	36.70
Gain on sale of Investment	(654.44)	(0.01)
Income from Mutual Funds	(10.39)	(0.83)
Loss on Property, Plant and Equipment Sold / Retired (net)	41.18	67.25
Amortised Government Grant Income	(304.06)	(304.06)
Liabilities no Longer Required Written Back	(41.35)	(21.81)
Finance Costs	3,306.80	4,086.92
Interest income	(3,834.36)	(3,633.66)
Amortisation of Financial Guarantee Obligation	(33.74)	(17.64)
Provision for Mine retirement obligation	-	39.44
Stores and Spares provided for	2.88	79.33
Bad debts, capital expenditure / sundry balance written off / provided for	42.63	0.41
Operating profit before working capital adjustments	8,981.96	10,150.13
Changes in working capital:		
(Increase) in Inventories	(118.88)	(262.29)
(Increase) / Decrease in Trade Receivables	(2,917.72)	980.98
Decrease / (Increase) in Other Financial Assets	63.97	(214.94)
(Increase) in Other Assets	(163.91)	(316.93)
(Decrease) in Trade Payables	(983.31)	(362.24)
Increase in Other Financial Liabilities	379.66	140.91
Increase in Other Liabilities and Provisions	2,766.36	372.78
	(973.83)	338.27
Cash flows from operating activities	8,008.13	10,488.40
Less : Income tax (Paid) / Tax deducted at sources (net)	(75.06)	(224.72)
Net cash flows from operating activities (A)	7,933.07	10,263.68
(B) Cash flow from investing activities		
Capital expenditure on payment towards Property, Plant and Equipment, including capital advances and capital work-in-progress and intangible assets	(921.12)	(642.75)
Proceeds from Sale of Property, Plant and Equipment	0.83	1.24
Proceeds from / (Payment towards) Current investments (net)	185.40	(174.18)
Payment towards acquisition of / investment in subsidiaries	(727.17)	(2.73)
Payment towards cost of equity investment in subsidiaries	(0.02)	-
Payment towards investment in Optionally Convertible Debenture of Subsidiaries	(1,025.90)	(1,362.26)
Proceeds from redemption of Optionally Convertible Debenture by Subsidiary	2.10	-
Proceeds against disposal of subsidiary	988.90	-
Proceeds from sale of Investment in Compulsory Convertible Preference Shares	-	81.54
Proceed from sale of Non Current Investments	-	0.01
Bank / Margin Money Deposits withdrawn / (placed) (net)	85.93	(212.15)
Payment towards Non-current Loans given to related parties	(1,459.53)	-
Proceeds from Non-current Loans repaid by related parties	849.00	-
Proceeds from / (Payment towards) Current Loans given to related parties (net)	-	(604.50)
Interest received (including carrying cost)	4,845.57	4,301.87
Net cash flows from / (used in) investing activities (B)	2,823.99	1,386.09
(C) Cash flow from financing activities		
Payment of principal portion of lease liabilities	(5.52)	(5.58)
Proceeds from Non-current borrowings	17,895.22	11,628.73
Repayment of Non-current borrowings	(24,565.04)	(17,295.59)
(Repayments) of Current borrowings (net)	(1,080.24)	(1,951.39)
Proceeds from issue of Unsecured Perpetual Securities	-	600.00
Distribution to holders of Unsecured Perpetual Securities	(661.17)	(589.83)
Finance Costs Paid (Including interest on lease liabilities)	(2,721.07)	(3,568.61)
Net cash (used in) financing activities (C)	(11,137.82)	(11,182.27)
Net (Decrease) / Increase in cash and cash equivalents (A)+(B)+(C)	(380.76)	467.50
Cash and cash equivalents at the beginning of the year	574.52	107.02
Cash and cash equivalents at the end of the year	193.76	574.52

Statement of Cash Flows for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
Notes to Cash flow Statement :		
Cash and cash equivalents as per above comprise of the following :		
Cash and cash equivalents (Refer note 12)	193.76	574.52
Balances as per statement of cash flows	193.76	574.52

Notes:

- Interest accrued of ₹436.64 Crores (Previous year ₹453.14 Crores) on Inter Corporate Deposit ("ICD") taken from related parties and others and ₹31.27 Crores (Previous year ₹1.14 Crores) on Inter Corporate Deposit ("ICD") given to related parties, have been converted to the ICD balances as on reporting date in terms of the Contract.
- The Statement of Cash Flows has been prepared under the 'Indirect Method' set out in Ind AS 7 'Statement of Cash Flows'.
- Disclosure of changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, are given below:

Particulars	As at 1st April, 2022	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Others*	As at 31st March, 2023
Non-current borrowings (including current maturities)	33,274.69	(6,669.82)	67.00	(361.50)	-	824.40	27,134.77
Current borrowings	7,120.56	(1,080.24)	-	(11.90)	192.50	(549.34)	5,671.58
Derivative Liabilities	-	-	7.04	-	-	-	7.04
Interest accrued	17.23	(2,589.52)	3,058.81	-	-	(462.17)	24.35
Leases Liabilities	101.47	(14.28)	9.32	-	-	-	96.51
Total	40,513.95	(10,353.86)	3,142.17	(373.40)	192.50	(187.11)	32,934.25

Particulars	As at 1st April, 2021 [Restated (Refer note 64)]	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Others**	As at 31st March, 2022 [Restated (Refer note 64)]
Non-current borrowings (including current maturities)	38,943.00	(5,666.86)	31.50	(178.90)	-	145.95	33,274.69
Current borrowings	9,683.32	(1,951.39)	-	12.55	(663.50)	39.58	7,120.56
Interest accrued	58.39	(3,420.00)	3,852.62	-	-	(473.78)	17.23
Leases Liabilities	105.75	(14.74)	10.46	-	-	-	101.47
Total	48,790.46	(11,052.99)	3,894.58	(166.35)	(663.50)	(288.25)	40,513.95

* Others mainly include impact on loan waiver of ₹179.17 Crores (Refer note 20(4))

** Others mainly include non cash transaction of equity component of Non-cumulative Compulsory Redeemable Preference Shares of ₹246.55 Crores.

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

1 Corporate information

Adani Power Limited (the "Company" or "APL") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India having its registered office at "Adani Corporate House", Shantigram, Near Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad-382421, Gujarat, India. Its shares are listed on two recognised stock exchanges in India.

The Company has installed capacity of 12,450 MW (which includes 40 MW solar power project) at multiple locations i.e. Bitta, Mundra, Kawai, Tiroda, Udipi, Raipur, Raigarh. The Company sells power under long term Power Purchase Agreement (PPAs), medium term PPAs, short term PPAs, on merchant basis and also engaged in trading, investment and other business activities.

The Company, together with its subsidiaries currently has multiple power projects located at various locations with a combined installed and commissioned capacity of 14,450 MW and another 800 MW under commissioning as of year end. The Company, together with its subsidiaries sells power generated from these projects under a combination of long term Power Purchase Agreements (PPA), medium term PPAs, short term PPAs and on merchant basis.

As at 31st March, 2023, S. B. Adani Family Trust ("SBAFT") together with entities controlled by it, has the ability to control the Company. The Company gets synergetic benefit of the integrated value chain of Adani group.

The financial statements were approved for issue in accordance with a resolution of the directors on 5th May, 2023.

2 Significant accounting policies

2.1 Basis of preparation

The standalone financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) read with section 133 of Companies Act, 2013 and presentation requirements of Division II of schedule III to the Companies Act, 2013 (Ind AS compliant Schedule III), on the historical cost basis except for certain financial instruments that are measured at fair values, as explained in the accounting policies below.

The financial statements are presented in INR (₹) which is also the company's functional currency and all values are rounded to the nearest Crores, except when otherwise indicated.

2.2 Summary of significant accounting policies

a Property, plant and equipment

Property, plant and equipment are stated at original cost grossed up with the amount of tax / duty benefits availed, less accumulated depreciation and accumulated impairment losses, if any. Other Indirect expenses relating to the project activities, incurred during the project development period, net of income earned during the period till commercial operation date of the project, are recorded as indirect project expenses and disclosed as a part of Capital Work-in-Progress. Properties / projects in the course of construction are carried at cost, less any recognised impairment losses. All costs, including borrowing costs incurred up to the date the asset is ready for its intended use, is capitalised along with respective asset. Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives.

Items of stores and spares that meet the definition of property, plant and equipment are capitalised at cost and depreciated over their useful life.

In respect of Power Plants covered under part A of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) less their residual values over their useful lives, using the straight-line method in the statement of profit and loss unless such expenditure

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

forms part of carrying value of another asset. The useful life of property, plant and equipment is considered based on life prescribed in schedule II to the Companies Act, 2013 except in case of power plant assets, where the life has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the assets and the current operating condition of the assets. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Major inspection / overhauling including turnaround and maintenance cost are depreciated over the period of 5 years. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Assets class wise useful life of the assets are mentioned below :

Assets Class	For all power plants other than udupi thermal power plant ("Udupi TPP") (In years)
Land - Freehold	N.A
Right-of-Use Assets -Over the lease term	3 to 99
Buildings	1 to 60
Plant and Equipment	3 to 25
Furniture and Fixtures	1 to 10
Railway Sidings	5 to 15
Computer Hardware	3 to 6
Office Equipments	3 to 5
Vehicles	1 to 25

In respect of Power Plant covered under part B of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) at the rates as well as methodology notified by the Central Electricity Regulatory Commission ("CERC") (Terms and Conditions of Tariff) Regulations, 2019 in the statement of profit and loss unless such expenditure forms part of carrying value of another asset under construction. In case of assets with useful life lesser than the project life, the useful life of these assets has been considered for the purpose of calculation of depreciation as per the provisions of the Companies Act, 2013 and subsequent amendments thereto.

In case of Udupi TPP, assets class wise depreciation rates are mentioned below:

Assets Class	For Udupi TPP (In %)
Land - Freehold	N.A
Right-of-Use Assets - Over the lease term	5.00 to 20.00
Buildings	3.34 to 25.00
Plant and Equipment	5.28 to 20.00
Furniture and Fixtures	6.33 to 60.00
Railway Sidings	N.A
Computer Hardware	15.00
Office Equipments	6.33 to 60.00
Vehicles	9.50

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

is recognised in statement of profit and loss.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred. Subsequent costs are depreciated over the residual life of the respective assets. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

b Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and any accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The Company has intangible assets in the nature of Computer software having useful life of 5 years. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

c Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset is available for immediate sale in its present condition and the sale is highly probable. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Property, plant and equipment and intangible assets are not depreciated or amortised once classified as asset held for sale. Assets classified as held for sale are presented separately from other items in the balance sheet.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and their fair value less costs to sell.

d Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Company classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

e Financial Instruments

A Financial Instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in the statement of profit and loss.

f Financial assets

Initial recognition and measurement

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis i.e. the date that the Company commits to purchase or sell the assets. Purchases or sales of financial assets that require delivery of assets within a timeframe established by regulation or convention in the market place (regular way trades).

Subsequent measurement

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of Financial assets

Financial assets measured at amortised cost

Financial assets that meet the following conditions are subsequently measured at amortised cost using effective interest method ("EIR") (except for debt instruments that are designated as at fair value through profit or loss on initial recognition):

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The effective interest method is a method of calculating the amortised cost of financial assets and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and transaction costs and other premiums or discounts) through the expected life of the financial assets, or where appropriate, a shorter period, to the net carrying amount on initial recognition.

Interest is recognised on an effective interest basis for debt instruments other than those financial assets classified as at Fair Value through Profit and Loss (FVTPL).

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for the year ended 31st March, 2023

Financial assets at fair value through other comprehensive income (FVTOCI)

Financial assets that meet the following conditions are measured initially as well as at the end of each reporting date at fair value, recognised in other comprehensive income (OCI).

- a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The contractual terms of the asset that give rise on specified dates to cash flows that represent solely payment of principal and interest (SPPI).

Financial assets at fair value through profit or loss (FVTPL)

Financial assets that do not meet the amortised cost criteria or FVTOCI criteria are measured at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in statement of profit and loss. The net gain or loss recognised in statement of profit and loss incorporates any dividend or interest earned on the financial asset.

Reclassification of financial assets

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

Impairment of Financial assets:

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, trade receivables and other contractual rights to receive cash or other financial asset.

Expected credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

Derecognition of financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party or when it has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity, is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in the statement of profit and loss on disposal of that financial asset.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

g Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by the Company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

Unsecured Perpetual Securities

Unsecured perpetual securities ("securities") are the securities with no fixed maturity or redemption and the same are callable only at the option of issuer. These securities are ranked senior only to the equity share capital of the Company and the issuer does not have any redemption obligation hence these securities are recognised as equity as per Ind AS 32.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and in the case of financial liabilities at amortised cost, net of directly attributable transaction costs.

Subsequent Measurement

All financial liabilities are measured at amortised cost using the effective interest method or at FVTPL.

Classification of Financial liabilities

Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term.

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit and loss incorporates any interest paid on the financial liability.

Fair values are determined in the manner described in note 'o'.

Financial liabilities measured at amortised cost

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance costs' line item in the statement of profit and loss.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and costs paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Trade and other payables are recognised at the transaction cost, which is its fair value, and subsequently measured at amortised cost. Similarly, interest bearing loans, trade credits and borrowings are subsequently measured at amortised cost using effective interest rate method. Further, trade credits include Buyer's credit, Foreign Letter of Credit and Inland Letter of Credit.

Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit and loss. In case of derecognition of financial liabilities relating to promoters contribution, the difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in other equity.

Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value through profit or loss, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amortisation.

h Derivative financial instruments

The Company enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks on borrowings / purchases, including foreign exchange forward contracts, interest rate swaps and cross currency swaps, Principal only Swap, coupon only swap etc. Further details of derivatives financial instruments are disclosed in note 50.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in statement of profit and loss immediately, except for the effective portion of cash flow hedges, which is recognised in OCI and later reclassified to profit or loss.

Embedded derivatives

Derivatives embedded in non-derivative host contracts that are not financial assets within the scope of Ind AS 109 "Financial Instruments" except for the effective portion of cash flow hedges (refer note (i)) are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL. These embedded derivatives are measured at fair value with changes in fair value recognised in statement of profit and loss.

Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

i Hedge Accounting

The Company designates certain hedging instruments, which mainly includes derivatives in respect of foreign currency risk, as cash flow hedges. To qualify for hedge accounting, the hedging relationship must meet all of the following requirements :

- there is an economic relationship between the hedged items and the hedging instruments,
- the effect of credit risk does not dominate the value changes that result from that economic relationship,
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the entity actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

At the inception of the hedge relationship, the Company documents the relationship between the hedging instrument and hedged item, along with its risk management objectives and its strategy for

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Company documents whether the hedging instrument is highly effective in offsetting changes in fair value or cash flows of the hedged item attributable to the hedged risk.

Cash flow hedges

Changes in the fair value of derivatives / hedging instruments that are designated and qualify as cash flow hedges are deferred in the "Cash Flow Hedge Reserve".

The effective portion of the gain or loss on the hedging instrument is recognised in OCI while any ineffective portion is recognised immediately in the statement of profit and loss. The Effective portion of cash flow hedges is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The Company uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in finance costs.

The Company designates only the spot element of a forward contract as a hedging instrument. The forward element is recognised in OCI.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability.

For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

j Investments in subsidiaries, associates and joint ventures

Investments in subsidiaries, associates and joint ventures are accounted for at cost, net of impairment, if any. (Also refer note 3(v)).

k Inventories

Inventories are stated at the lower of cost or net realisable value after providing for obsolescence and other losses where considered necessary. Costs include all non-refundable duties and all charges incurred in bringing the goods to their present location and condition. Cost is determined on First in First out (FIFO) for coal inventory and on weighted average basis for other than coal inventory. Net realisable value represents the estimated selling price for inventories less all estimated costs necessary to make the sale.

l Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

m Business combinations and Goodwill

Acquisitions of business are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition date fair values of the assets transferred by the Company, liabilities incurred by the Company to the former owners of the acquiree and the equity interest issued by the Company in exchange of control of the acquiree. Acquisition related costs are recognised in profit and loss as incurred.

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Ind AS 103. Such transactions are

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

accounted for using the pooling-of-interest method. The assets and liabilities of the acquired entity are recognised at their carrying amounts of the Company's financial statements. No adjustments are made to reflect fair values or recognise any new assets or liabilities. The components of equity of the acquired companies are added to the same components within the Company's equity. The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves. The Company's shares issued in consideration for the acquired companies are recognized from the moment the acquired companies are included in these financial statements and the financial statements of the commonly controlled entities would be combined, retrospectively, as if the transaction had occurred at the beginning of the earliest reporting period presented.

Purchase consideration paid in excess / shortfall of the fair value of identifiable assets and liabilities including contingent liabilities and contingent assets, is recognised as goodwill / capital reserve respectively, except in case where different accounting treatment is specified in the court approved scheme.

Deferred tax assets or liabilities, and liabilities or assets related to employee benefits arrangements are recognized and measured in accordance with Ind AS 12 "Income Taxes" and Ind AS 19 "Employee Benefits" respectively.

Potential tax effects of temporary differences and carry forwards of an acquiree that exist at the acquisition date or arise as a result of the acquisition are accounted in accordance with Ind AS 12.

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or company's of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in statement of profit and loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

n Foreign currency translations

In preparing the financial statements of the Company, transactions in currencies other than the entity's functional currency are recognised at the rate of exchange prevailing at the date of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit and loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The Company has elected to continue the policy adopted for accounting for exchange differences arising from translation of long-term foreign currency monetary items outstanding and recognised in the financial statements for the period ending immediately before the beginning of the first Ind AS financial reporting period i.e. 31st March, 2016 as per the previous GAAP.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

o Fair value measurement

The Company measures financial instruments, such as, derivatives and mutual funds at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the financial asset or settle the financial liability takes place either:

- In the principal market, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company's management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

External valuers are involved for valuation of significant assets, such as unquoted financial assets and financial liabilities and derivatives.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

p Government grants

The Company recognises government grants only where there is reasonable assurance that the conditions attached to them will be complied with, and the grants will be received. Where Government grants relates to non-monetary assets, the cost of assets are presented at gross value and grant significantly complied thereon is recognised as income in the statement of profit and loss over the useful life of the related assets in proportion in which depreciation is charged.

Grants related to income are recognised in the statement of profit and loss in the same period as the related cost which they are intended to compensate are accounted for.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

q Contract Balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional. Contract assets are subject to impairment assessment.

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional i.e. only the passage of time is required before payment of consideration is due and the amount is billable. (Refer note 3(viii))

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration from the customer. Contract liabilities are recognised as revenue when the Company performs obligations under the contract.

r Revenue recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and other incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes or other amounts collected from customers.

The disclosure of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3 (vii).

The specific recognition criteria described below must also be met before revenue is recognised.

i) Revenue from Power Supply

The Company's contracts with customers for the sale of electricity generally include one performance obligation. The Company has concluded that revenue from sale of electricity should be recognised at the point in time when electricity is transferred to the customer.

Revenue from operations on account of Force Majeure / change in law events in terms of PPAs with customers (Power Distribution Utilities) is accounted for by the Company based on the orders / reports of Regulatory Authorities, best management estimates, wherever needed and reasonable certainty to expect ultimate collection.

In case of PPA under section 62 of Electricity Act, 2003, revenue from sale of power is recognised based on the most recent tariff order approved by the CERC, as modified by the orders of Appellate Tribunal for Electricity ("APTEL"), to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Where the tariff rates are yet to be approved, provisional rates are adopted considering the applicable CERC Tariff Regulations.

ii) Sale of traded goods

Revenue from the sale of traded goods is recognised at the point in time when control of the goods is transferred to the customers, which generally coincides with the delivery of goods.

iii) Carrying cost in respect of claims for change in law of taxes and duties, additional cost incurred on procurement of alternative coal and on other claims are recognised upon approval by relevant regulatory authorities, best management estimates and based on reasonable certainty to expect ultimate collection.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

- iv) Interest income is recognised on time proportion basis at the effective interest rate ("EIR") applicable.
- v) Dividend income from investments is recognised when the Company's right to receive payment is established.
- vi) Late payment surcharge on delayed payment for power supply is recognised based on receipt / collection from customers or on acceptance / acknowledgement by the customers whichever is earlier.

s Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, that necessarily take a substantial period of time to get ready for their intended use or sale, are capitalised as part of the cost of the asset, until such time as the assets are substantially ready for their intended use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in statement of profit and loss in the period in which they are incurred. Borrowing cost consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing cost.

t Employee benefits

i) Defined benefit plans:

The Company has an obligation towards gratuity, a defined benefit retirement plan covering eligible employees (in some cases funded through Group Gratuity Scheme of Life Insurance Corporation of India). The Company accounts for the liability for the gratuity benefits payable in future based on an independent actuarial valuation carried out using Projected Unit Credit Method.

Defined benefit costs in the nature of current and past service cost and net interest expense or income are recognized in the statement of profit and loss in the period in which they occur. Remeasurement, comprising of actuarial gains and losses, the effect of changes to the asset ceiling (excluding amounts included in net interest or the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability) are recognised immediately in the balance sheet with corresponding debit or credit to retained earnings through OCI in the period in which it occurs. Remeasurement are not classified to statement of profit and loss in subsequent periods. Past service cost is recognised in statement of profit and loss in the period of a plan amendment.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

ii) Defined contribution plan:

Retirement Benefits in the form of Provident Fund and Family Pension Fund which are defined contribution schemes are charged to the statement of profit and loss for the period in which the contributions to the respective funds accrue as per relevant statutes.

iii) Compensated Absences:

Provision for Compensated Absences and its classifications between current and non-current liabilities are based on independent actuarial valuation. The actuarial valuation is done as per the

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

projected unit credit method as at the reporting date.

iv) Short term employee benefits:

These are recognised at an undiscounted amount in the Statement of Profit and Loss for the year in which the related services are rendered.

u Leases

The Company as lessor

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is generally recognised on a straight-line basis over the term of the relevant lease. Where the rentals are structured solely to increase in line with expected general inflation to compensate for the Company's expected inflationary cost increases, such increases are recognised in the year in which such benefits accrue. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

The Company as lessee

The Company recognises right-of-use assets and lease liabilities for all leases except for short-term leases and leases of low-value assets. The Company records the lease liability at the present value of the lease payments discounted at the incremental borrowing rate at the date of initial application and right of use asset at an amount equal to the lease liability adjusted for any prepayments/accruals recognised in the balance sheet.

The Company also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months at the date of initial application
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contains options to extend or terminate the lease

v Taxes on Income

Tax on Income comprises current tax and deferred tax. These are recognised in statement of profit and loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

Current tax

Tax including Minimum Alternative Tax ("MAT") on income for the current period is determined on the basis of estimated taxable income and tax credits computed in accordance with the provisions of the relevant tax laws and based on the expected outcome of assessments / appeals. Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted, at the reporting date. Management periodically evaluates positions taken in the

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax for the year. The deferred tax asset is recognised for MAT credit available only to the extent that it is probable that the Company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Company recognizes MAT credit as an asset, it is created by way of credit to the statement of profit and loss and shown as part of deferred tax asset.

Deferred tax

Deferred tax is recognized for the future tax consequences of deductible temporary differences between the carrying values of assets and liabilities and their respective tax bases at the reporting date. Deferred tax liabilities are generally recognised for all taxable temporary differences except when the deferred tax liability arises at the time of transaction that affects neither the accounting profit or loss nor taxable profit or loss. Deferred tax assets are generally recognized for all deductible temporary differences, carry forward of unused tax credits and any unused tax losses, to the extent that it is probable that future taxable income will be available against which the deductible temporary differences and carry forward of unused tax credit and unused tax losses can be utilised, except when the deferred tax asset relating to temporary differences arising at the time of transaction affects neither the accounting profit or loss nor the taxable profit or loss. Deferred tax relating to items recognized outside the statement of profit and loss is recognized outside the statement of profit and loss, either in other comprehensive income or directly in equity. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantially enacted by the end of the reporting period.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable entity which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

w Earnings per share

Basic earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) as adjusted for the effects of dividend, interest and other charges relating to the dilutive potential equity shares by weighted average number of shares plus dilutive potential equity shares.

x Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of amount cannot be made.

Contingent liabilities may arise from litigation, taxation and other claims against the Company. Where it is management's assessment that the outcome is uncertain or cannot be reliably quantified, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote.

Contingent assets are not recognised but are disclosed in the notes where an inflow of economic benefits is probable.

A contingent liability recognised in a business combination is initially measured at its fair value. Subsequently, it is measured at the higher of the amount that would be recognised in accordance with the requirements for provisions above or the amount initially recognised less, when appropriate, cumulative amortisation recognised in accordance with the requirements for revenue recognition.

y Impairment of non-financial assets

At the end of each reporting period, the Company reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset or cash-generating unit ("CGU") is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

The Company bases its impairment calculation on detailed budget and forecast calculations, which are prepared separately for each of the Company's cash-generating unit to which the individual assets are allocated. For longer periods, a long term growth rate is calculated and applied to project future cash flows. To estimate cash flow projections beyond periods covered by the most recent budget / forecasts, the Company estimates cash flow projections based on estimated growth rate.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit and loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying

Notes to Standalone Financial Statements

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amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit and loss.

z Mine Development Expenditure :

- i) Expenditure incurred towards coal mines under construction are capitalised to 'Coal Mines under construction' as long as they meet the capitalisation criteria and is presented as capital work-in-progress. Upon commencement of production stage, the 'Coal Mines under construction' is capitalised and presented as 'Mining Rights' under Intangible Assets except in situation when the Company decide to surrender its rights in mine and amount is classified as recoverable from Nominated Authorities.
- ii) Mining Rights are amortised using unit-of-production method on the basis of proven and probable reserves on commencement of commercial production.

Mine Closure Obligations :

The liability for meeting the mine closure has been estimated based on the mine closure plan in the proportion of total area exploited to the total area of the mine as a whole. These costs are updated annually during the life of the mine to reflect the developments in mining activities. The mine closure obligations are included in Mining Rights under Intangible assets and amortised based on unit of production method.

3 Significant accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The estimates and assumptions are based on historical experience and other factors that are considered to be relevant. The estimates and underlying assumptions are reviewed on an ongoing basis and any revisions thereto are recognised in the period of revision and future periods if the revision affects both the current and future periods. Uncertainties about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Key Sources of estimation uncertainty :

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

i) Useful lives of property, plant and equipment

In case of the power plant assets, where the life of the assets has been estimated at 25 years based on technical assessment, taking into account the estimated usage of the asset and the current operating condition of the asset, depreciation on the same is provided based on the useful life of each component based on technical assessment, if materially different from that of the main asset.

ii) Fair value measurement of financial instruments

In estimating the fair value of financial assets and financial liabilities, the Company uses market observable data to the extent available. Where such Level 1 inputs are not available, the Company establishes appropriate valuation techniques and inputs to the model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

of financial instruments. Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in note 55.

iii) Defined benefit plans (gratuity benefits)

The cost of the defined benefit gratuity plan and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining the present value of defined benefit obligations are disclosed in note 58.

iv) Impairment of non financial assets

For determining whether property, plant and equipments and goodwill are impaired, it requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, change in law claims, operational performance of the Plants, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management. (Refer note 47).

v) Investments made / Loans given to subsidiaries

In case of investments made and Intercompany Deposits ("ICD") given by the Company to its subsidiaries, the Management assesses whether there is any indication of impairment in the value of investments and ICDs. The carrying amount is compared with the present value of future net cash flow of the subsidiaries, as applicable.

vi) Taxes

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits under the Income Tax Act, 1961. Deferred tax assets is recognised to the extent of the corresponding deferred tax liability. (Also refer note 24).

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

vii) Income / Revenue

Revenue from Operations on account of Force Majeure / Change in Law events or Other Income on account of carrying cost in terms of Power Purchase Agreements with various State Power Distribution Utilities is accounted for / recognised by the Company based on best management estimates following principles of prudence, as per the orders / reports of Regulatory Authorities, and the outstanding receivables thereof in the books of account may be subject to adjustments on account of final orders of the respective Regulatory Authorities, Hon'ble Supreme Court of India ("Hon'ble Supreme Court") and final closure of the matters with the respective Discoms. (Refer note 33 and 34).

In certain cases, the Company has claimed compensation from the Discoms based on management's interpretation of the regulatory orders and various technical parameters, which are subject to final verification and confirmation by the respective Discoms, and hence, in these cases, the revenues have been recognised during various financial years / periods, on a prudent basis with conservative attributable

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

parameters in the books. The necessary true-up adjustments for revenue claims (including carrying cost / delayed payment surcharge) are made in the books on final acknowledgement / regulatory orders / settlement of matters with respective Discoms or eventual recovery of the claims, whichever is earlier.

In case of Udupi Power Plant, Revenue from sale of power and other income is recognised upon judgement by the management for recoverability of the claims based on the relevant contractual terms / provisional tariff rates as provided by the regulator / governing tariff regulations, to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangement with the customers, which may be subject to adjustments in future years, on receipt of final orders of the respective Regulatory Authorities or final closure of the matter with the customers. (Refer note 33 and 34).

viii) Classification of Trade Receivables :

In cases of circumstances / matters where there are pending litigations on regulatory matters / change in law claims, the classification of disputed / undisputed trade receivables is a matter of judgement based on facts and circumstances. The Company has evaluated the fact pattern and circumstances, including ongoing discussions with the Discoms, for each such regulatory matter pending to be adjudicated by the relevant authority.

In cases, where rule of law and principles of economic restitution have already been established by APTEL / Supreme Court in similar matters, the revenues are recognised on prudent and conservative technical parameters, significant amounts have been recovered already and the management does not perceive any downside risks in future on final adjudication by Supreme Court and settlement of matter with Discoms, the related receivables are classified as undisputed.

In cases, where discussions with Discoms have not made reasonable progress and matters are sub-judice, the related receivables are classified as disputed, even though the management is reasonably confident of recovering the dues in full, backed by the regulatory orders in favour of the Company.

The management will continue to monitor the developments on regulatory claims.

ix) Mega Power Status :

One of the thermal power plant has availed exemption of customs / excise duty in pursuance to terms of the provisional mega power policy as notified by the Government of India. The Company has not recognised for the reduction in cost to property, plant and equipment as a grant, pending compliance of terms of Mega Power Status which needs to be attained within 156 months, from the date of import of plant and equipment as per approval by the Ministry of Power ("MoP"), Government of India vide amendment dated 7th April, 2022. The management is of the view that the Company will comply with the grant conditions within the specified time. The Company will recognise grant to the extent of the duty waiver availed in the year of receipt of final mega power status to said thermal power plant or corresponding liability if any on expiry of the time lines specified in the MoP approval.

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All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 47)

Description of Assets

Description of Assets										Capital Work-In-Progress (Refer note (ix) below)
	Land - Freehold	Right-of-Use Assets (Refer note (vi) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles	Total
I. Cost										
Balance as at 1st April, 2021	37.30	1.24	15.18	658.56	6.61		15.48	13.34	5.45	753.16
Add : Changes on account of amalgamation (Refer note 64)	317.83	541.39	1,861.21	65,598.19	26.31	334.60	23.94	42.41	16.80	68,762.68
Balance as at 1st April, 2021 (Restated)	355.13	542.63	1,876.39	66,256.75	32.92	334.60	39.42	55.75	22.25	69,515.84
Additions	0.99	8.48	37.98	185.81	3.47	-	8.18	14.22	1.77	260.90
Effect of foreign currency exchange differences loss (net)	-	-	-	148.83	-	-	-	-	-	148.83
Transfer (out) / In	-	-	(187.92)	187.94	-	-	-	-	(0.02)	-
Disposal / Discarded / Adjustments	-	-	(0.07)	(113.33)	(1.24)	(0.14)	(1.67)	(2.20)	(0.95)	(119.60)
Balance as at 31st March, 2022 (Restated)	356.12	551.11	1,726.38	66,666.00	35.15	334.46	45.93	67.77	23.05	69,805.97
Additions	9.28	1.20	57.19	202.39	3.94	1.56	15.63	20.00	2.36	313.55
Effect of foreign currency exchange differences Loss (net)	-	-	-	108.14	-	-	-	-	-	108.14
Transfer (out) / In	-	-	-	(0.50)	-	-	-	-	0.50	-
Disposal / Discarded / Adjustments	-	-	(1.42)	(64.59)	(1.07)	-	(1.11)	(1.38)	(0.36)	(69.93)
Balance as at 31st March, 2023	365.40	552.31	1,782.15	66,911.44	38.02	336.02	60.45	86.39	25.55	70,157.73
II. Accumulated depreciation and amortisation										
Balance as at 1st April, 2021	-	0.10	5.47	170.85	5.05	-	13.77	12.68	4.31	212.23
Add : Changes on account of amalgamation (Refer note 64)	-	41.38	418.70	16,814.27	13.54	115.24	11.81	28.70	8.00	17,451.64
Balance as at 1st April, 2021 (Restated)	-	41.48	424.17	16,985.12	18.59	115.24	25.58	41.38	12.31	17,663.87
Depreciation / Amortization charge for the year	-	21.06	54.58	2,951.41	2.78	23.40	5.07	2.97	2.06	3,063.33
Transfer (out) / In	-	-	(4.69)	4.69	-	-	-	-	-	-
Disposal / Adjustments	-	-	(0.07)	(55.47)	(1.10)	(0.07)	(1.55)	(1.90)	(0.86)	(61.02)
Balance as at 31st March, 2022 (Restated)	-	62.54	473.99	19,885.75	20.27	138.57	29.10	42.45	13.51	20,666.18
Depreciation / Amortization charge for the year	-	20.73	57.80	3,019.99	2.76	23.40	6.83	5.47	2.01	3,138.99
Transfer (out) / In	-	-	-	(0.23)	-	-	-	-	0.23	-
Disposal / Adjustments	-	-	(0.18)	(24.15)	(0.97)	-	(1.02)	(1.23)	(0.34)	(27.89)
Balance as at 31st March, 2023	-	83.27	531.61	22,881.36	22.06	161.97	34.91	46.69	15.41	23,777.28

Description of Assets		Tangible Assets								Capital Work-In-Progress (Refer note (ix) below)		
		Land - Freehold	Right-of-Use Assets (Refer note (vi) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments		Vehicles	Total
Carrying amount :												
	As at 31st March, 2022	356.12	488.57	1,252.39	46,780.25	14.88	195.89	16.83	25.32	9.54	49,139.79	184.30
	As at 31st March, 2023	365.40	469.04	1,250.54	44,030.08	15.96	174.05	25.54	39.70	10.14	46,380.45	188.33

i) For charge created on aforesaid assets, refer note 20 and 26.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- ii) In case of Mundra thermal power plants ("Mundra TPP"), the Company has availed tax and duty benefit in the nature of exemptions from Custom Duty, Excise Duty, Service Tax, VAT and CST on its project procurements. The said benefits were availed by virtue of SEZ approval granted to the Power Plant in December 2006, in terms of the provisions of the Special Economic Zones Act, 2005 (hereinafter referred to as the 'SEZ Act') and the Special Economic Zone Rules, 2006 which entitled the Power Plant to procure goods and services without payment of taxes and duties as referred above.

The Company in respect of Tiroda thermal power plants ("Tiroda TPP") and Kawai thermal power plants ("Kawai TPP") have availed tax and duty benefit in the nature of exemptions from Custom Duty and Excise Duty on its project procurements. The said benefits were availed by virtue of power plants being designated as Mega Power Project in accordance with the policy guidelines issued in this regard by the Ministry of Power, Government of India which entitled Tiroda TPP and Kawai TPP to procure goods and services without payment of taxes and duties as referred above.

Since, the procurement of goods and services during the project period were done by availing the exemption from payment of aforesaid taxes and duties, the amount capitalised for the said power plant as on the put to use date, is cost of property, plant and equipment (PPE) net off tax and duty benefit availed. In compliance with Ind AS 20 – "Government Grant", Mundra TPP, Kawai TPP and Tiroda TPP have opted to gross up the value of its PPE by the amount of tax and duty benefit / credit availed after considering the same as government grant. The amount of said government grant (net off accumulated depreciation) as on the transition date has been added to the value of PPE with corresponding credit made to the deferred government grant. The amount of grant is amortised over useful life of PPE along with depreciation on PPE. The amount of deferred liability is amortised over the useful life of the PPE with credit to statement of profit and loss classified under the head "Other Income".

The Company has Government grant balance (net) of ₹4,487.33 Crores till 31st March, 2023 (Previous year ₹4,791.40 Crores).

- iii) Cost of Property Plant and Equipment includes carrying value recognised as deemed cost as of 1st April, 2015, measured as per previous GAAP and cost of subsequent additions.
- iv) During the year, an amount of ₹33.97 Crores was expensed out of carrying amount of Capital Work in Progress towards impairment of project cost.
- v) During the previous year, an amount of ₹55.57 Crores was transferred from balance of Capital Work in Progress to Other non current financial assets - Others. (Refer Note 7)

vi) Right of use assets

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Cost :				
Balance as at 1st April, 2021	1.24	-	-	1.24
Add : Changes on account of amalgamation (Refer note 64)	533.51	0.13	7.75	541.39
Balance as at 1st April, 2021 (Restated)	534.75	0.13	7.75	542.63
Additions	7.73	0.36	0.39	8.48
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2022 (Restated)	542.48	0.49	8.14	551.11
Additions	1.20	-	-	1.20
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2023	543.68	0.49	8.14	552.31
Accumulated amortisation :				
Balance as at 1st April, 2021	0.10	-	-	0.10

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

vi) Right of use assets (Contd.)

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Add : Changes on account of amalgamation (Refer note 64)	38.35	0.05	2.98	41.38
Balance as at 1st April, 2021 (Restated)	38.45	0.05	2.98	41.48
Amortisation for the year	19.20	0.10	1.76	21.06
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2022 (Restated)	57.65	0.15	4.74	62.54
Amortisation for the year	19.25	0.14	1.34	20.73
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2023	76.90	0.29	6.08	83.27
Carrying amount :				
As at 31st March, 2022	484.83	0.34	3.40	488.57
As at 31st March, 2023	466.78	0.20	2.06	469.04

vii) The Company in case of Tiroda TPP, Kawai TPP, Mundra TPP, Raipur TPP, Raigarh Thermal Power Plant ("Raigarh TPP") and solar bitta plant has obtained Land under lease from various parties for a lease period of 5 to 99 years. The Company is restricted from assigning and subleasing the said leased assets.

viii) In November 2007, the Company obtained Land under lease from Karnataka Industrial Areas Development Board (Lessor) for its Udupi TPP for 11 years from the date of agreement whose validity period of Lease Agreement was further extended from Lessor till 11th September, 2022. As at year end, in terms of lease agreement, the Company is in the process to exercise its option to get the lease deed converted to sale deed as the terms and conditions of land allotment has been fulfilled. Since the entire amount of ₹76.64 Crores which was considered in Lease-cum-Sale Agreement is considered as a sale consideration on expected transfer, the Company has not provided amortization on said land.

ix) Capital Work-In-Progress Ageing schedule:

a. as at 31st March 2023

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	98.00	31.19	-	59.14	188.33
Total	98.00	31.19	-	59.14	188.33

b. as at 31st March 2022

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	87.69	1.11	0.27	95.23	184.30
Total	87.69	1.11	0.27	95.23	184.30

The Company do not have any capital-work-in progress whose completion is overdue or has exceeded its cost compared to its original plan except below.

c. Details of the project whose completion is overdue as at 31st March 23: -

Capital Work In Progress	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	59.16	-	-	59.16
Total	-	59.16	-	-	59.16

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

d. Details of the project whose completion is overdue as at 31st March 22: -

Capital Work In Progress	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	-	92.86	-	92.86
Total	-	-	92.86	-	92.86

Note :

- a) The capital assets in the nature of Railway Siding for Raigarh TPP forming part of Capital Work-In-Progress have become overdue compared to the original completion plan as the Company is in process of acquiring additional land for completing the asset under development. The Management expects to acquire additional land from the government authorities and has already obtained in principle approval from railway authorities for the said project. Post acquisition of the additional land, the management will update the estimate and assumption of the original completion plan of the assets. Further, given that demand of power is expected to be higher compared with generation capacity available in the industry, the development of asset forming part of Capital Work-In-Progress will have economic viability for the Company. Further, during the year, the Company has expensed cost of Capital Work in Progress of ₹33.97 Crores.

x) Title deeds of immovable properties (including Right to Use Assets) not held in name of the company as at 31st March, 2023:

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Property, Plant and Equipment	Land - Freehold for Bitta Power Plant	1.91	Mrs. Jamnaben H Bhanushali	No	1st April, 2014	Under litigation at Civil Court, Kutch, Gujarat
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Mundra TPP	641.27	Adani Power (Mundra) Limited (Erstwhile Subsidiary)	No	Since 7th March, 2023 till date (Refer Note 64).	Land and Building pending transfer to the Company on account of scheme of amalgamation, which are in the name of erstwhile subsidiaries, will be transferred in the name of the Company in due course.
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Tiroda TPP	682.57	Adani Power Maharashtra Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Kawai TPP	342.21	Adani Power Rajasthan Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Udupi TPP	413.69	Udupi Power Corporation Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Raipur TPP	273.27	Raipur Energen Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Raigarh TPP	282.19	Raigarh Energy Generation Limited (Erstwhile Subsidiary)	No		

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.2 Goodwill

Goodwill of ₹6.95 Crores arose on acquisition of Tiroda TPP during the FY 2012-13 on account of amalgamation of Growmore Trade and Investment Private Limited with erstwhile Adani Power Maharashtra Limited (Now amalgamated with the Company) and ₹183.66 Crores upon acquisition of erstwhile Udupi Power Corporation Limited (now amalgamated with the Company) during the FY 2015-16.

4.3 Intangible Assets

Particulars	Computer software	Mining Rights	Total
I. Cost			
Balance as at 1st April, 2021	11.28	-	11.28
Add : Changes on account of amalgamation (Refer note 64)	18.20	73.14	91.34
Balance as at 1st April, 2021 (Restated)	29.48	73.14	102.62
Additions	3.11	-	3.11
Transfer	-	-	-
Disposals / Other Adjustments (Refer note (ii) below)	(2.15)	(73.14)	(75.29)
Balance as at 31st March, 2022 (Restated)	30.44	-	30.44
Additions	3.65	-	3.65
Transfer	-	-	-
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	34.05	-	34.05
II. Accumulated amortisation			
Balance as at 1st April, 2021	11.22	-	11.22
Add : Changes on account of amalgamation (Refer note 64)	6.08	-	6.08
Balance as at 1st April, 2021 (Restated)	17.30	-	17.30
Amortisation for the year	3.41	-	3.41
Transfer	-	-	-
Disposals	(2.15)	-	(2.15)
Balance as at 31st March, 2022 (Restated)	18.56	-	18.56
Amortisation for the year	3.80	-	3.80
Transfer	-	-	-
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	22.32	-	22.32
Particulars	Computer software	Mining Rights	Total
Carrying amount :			
As at 31st March, 2022	11.88	-	11.88
As at 31st March, 2023	11.73	-	11.73

i) For charge created on aforesaid assets, refer note 20 and 26.

ii) The Company, in case of its Raipur TPP has surrendered mining rights for Talabira Mine and thus decapitalised the mining rights during the previous year and amount recoverable from nominated authority has been shown under Other Financial Assets.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Unquoted Investments (fully paid)		
Investments in subsidiary companies (Valued at cost)		
a) In Equity Instruments (Face value of ₹ 10 each)		
Adani Power (Jharkhand) Limited ("AP(J)L") 243,65,00,000 Shares (Previous year - 243,65,00,000 Shares) (Refer note (i), (iii) and (viii) below)	3,204.19	2,868.92
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited) 10,00,000 Shares (Previous year - 10,00,000 shares) (Refer note 69, (ii) and (viii) below)	101.15	101.15
Pench Thermal Energy (MP) Limited ("PTE(MP)L") 50,000 Shares (Previous year - 50,000 Shares)	0.02	0.02
Adani Power Dahej Limited ("APDL") 50,000 Shares (Previous year - 50,000 Shares)	0.01	0.01
Adani Power Resources Limited ("APReL") 25,494 Shares (Previous year - 25,494 Shares)	0.03	0.03
Mahan Fuel Management Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Alcedo Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Chandenville Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Emberiza Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) 740,10,000 Shares (Previous year - Nil shares) (Refer note (vi) below)	392.71	-
Resurgent Fuel Management Limited 10,000 Shares (Previous year - Nil shares)	0.01	-
Aviceda Infra Park Limited 10,000 Shares (Previous year - Nil shares)	0.01	-
b) Investment in Compulsory Convertible Debentures (unquoted) (Refer note (vii) below)		
Pench Thermal Energy (MP) Limited 2,81,53,939 (Previous year - 2,81,53,939) 0% Compulsory Convertible Debentures of ₹100 each	109.33	109.33
Adani Power Dahej Limited 9,62,43,245 (Previous year - 9,62,43,245) 0% Compulsory Convertible Debentures of ₹100 each	398.75	398.75
Kutchh Power Generation Limited 1,19,38,380 (Previous year - 1,19,38,380) 0% Compulsory Convertible Debentures of ₹100 each	13.86	13.86

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments (Contd.)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
c) Investment in Optionally Convertible Debenture ("OCD") (Unquoted) (Valued at amortised cost)		
Adani Power (Jharkhand) Limited 19,80,75,900 (Previous year - 12,43,55,900) Optionally Convertible Debenture of ₹100 each (Refer note (iii) and (viii) below)	1,816.61	1,120.36
Mahan Energen Limited (Formerly known as Essar Power MP Limited) 11,87,00,000 (Previous year - 11,87,00,000) 0% Optionally Convertible Debenture of ₹10 each (Refer note (iv) and (viii) below)	50.16	46.02
Chandenville Infra Park Limited 8,06,55,000 (Previous year - Nil) - 0% Optionally Convertible Debenture of ₹10 each (Refer note (v) below)	80.66	-
Alcedo Infra Park Limited 4,18,13,360 (Previous year - Nil) - 0% Optionally Convertible Debenture of ₹10 each (Refer note (v) below)	41.81	-
Aviceda Infra Park Limited 1,64,13,000 (Previous year - Nil) 0% Optionally Convertible Debentures of ₹100 each (Refer note (v) below)	164.13	-
Investments In Equity Instruments (at fair value through OCI)		
Adani Naval Defence Systems and Technologies Limited - 4,500 Shares (Previous year - 4500 Shares) (Refer note (ix) below)	*	*
Investment in Government Securities (unquoted) (Valued at cost)		
* 1 National savings certificate (lying with government authority) ₹42,699 (Previous year - ₹42,699)	*	*
Total	6,373.48	4,658.49

(Figures below ₹50,000 are denominated with *)

Note :

- Of the above shares 243,65,00,000 Equity shares (Previous year - 243,65,00,000 Equity shares) have been pledged by the Company as additional security for secured term loans availed by AP(J)L.
- Of the above shares 5,10,000 Equity shares (Previous year - 5,10,000 Equity shares) have been pledged by the Company as additional security for secured term loans availed by MEL.
- During the year, the Company has invested ₹737.20 Crores (Previous year ₹1,243.56 Crores) into Optionally Convertible Debentures ("OCDs") of its wholly owned subsidiary, AP(J)L for the purpose of development of power plant. These OCDs shall be optionally converted into equity share capital at fair value at the discretion of issuer or will be redeemed in full or part after 31st December, 2037. These OCDs have 0% coupon rate till the completion of construction period and thereafter will carry coupon 100 basis points less than interest coupon rate payable to lenders. Out of the above 19,80,75,900 OCDs (Previous year - 11,12,55,900) have been pledged by the Company as additional security for secured term loans availed by AP(J)L. The fair value

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments (Contd.)

as at 31st March, 2023 is ₹1,816.61 Crores (Previous year ₹1,120.36 Crores).

- iv) During the previous year, the Company had invested ₹118.70 Crores into OCDs of its wholly owned subsidiary MEL. These OCDs shall be optionally converted into equity share capital at fair value at the discretion of issuer or will be redeemed in full on completion of 10 years from the date of allotment. The fair value as at 31st March, 2023 is ₹50.16 Crores (Previous year ₹46.02 Crores).
- v) During the year, the Company has invested ₹80.66 Crores (Previous year ₹ Nil), ₹43.91 Crores (out of which ₹2.10 Crores redeemed during the year) (Previous year ₹Nil) and ₹164.13 crores (Previous year ₹ Nil) into Optionally Convertible Debentures ("OCDs") of its wholly owned subsidiaries, Chandenvale Infra Park Limited, Alcedo Infra Park Limited and Aviceda Infra Park Limited respectively for the purpose of acquiring land on lease. These OCDs shall be optionally converted into equity shares in the ratio of 1 : 1 or will be redeemed at the discretion of issuer at any time within 10 years from the date of issue.
- vi) On 7th June, 2022, the Company has acquired 100% equity shares of Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) ("IBPL") for a consideration of ₹329.30 Crores and it also settled the liability of ₹320.70 Crores respectively towards the existing debt of IBPL. Hence, IBPL become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. IBPL hold land parcel at Navi Mumbai which the Company propose to develop for Infrastructure facilities as part of its trading, investment and other business activities. Further, transaction cost of ₹63.34 Crores is added to investment in IBPL.
- vii) The Compulsory Convertible Debentures shall be mandatorily converted in to equity shares at par in the ratio of 10:1 at any time after the expiry of 5 years but before 20 years from the date of issue i.e. during financial year 2016-17 to 2018-19.
- viii) Fair value of OCD and Financial guarantee obligation accounted as deemed investment.

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
In terms of fair valuation of Financial guarantee		
Adani Power (Jharkhand) Limited	356.10	235.57
Mahan Energen Limited (Formerly known as Essar Power MP Limited)	25.76	25.76
In terms of fair valuation of OCD		
Adani Power (Jharkhand) Limited	411.59	196.85
Mahan Energen Limited (Formerly known as Essar Power MP Limited)	72.70	72.70

- ix) Investments at Fair Value Through Other Comprehensive Income (FVTOCI) reflect investment in unquoted equity instruments. These equity shares are designated as FVTOCI as they are not held for trading purpose, thus disclosing their fair value change in profit and loss will not reflect the purpose of holding.

6 Non-current Loans

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
(Unsecured, considered good)		
Loan to subsidiary companies (Refer Note 68)	1,251.78	609.54
Total	1,251.78	609.54

Note:

- i) The fair value of Loans are approximately the carrying value presented (Also refer note 54).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

7 Other Non-current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Bank balances held as Margin money (security against borrowings and others) (Refer note 20 and 26)	276.74	418.62
Fixed deposits with banks	-	2.20
Interest accrued but not due	9.51	5.37
Security deposits	70.08	165.84
Others (Refer note 44 & 45)	190.06	190.06
Total	546.39	782.09

Note:

- i) The fair value of Other Non-current Financial Assets are approximately the carrying value presented (Also refer note 54).

8 Other Non-current Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Capital advances (including towards land acquisition)	127.77	49.45
Advances for goods and services	243.04	273.56
Advance tax including tax deducted at source (Net of provision)	304.59	36.02
Deposit with government authorities	2.04	2.55
Advance to employee	1.80	1.37
Contract assets (Unbilled receivable Including Deferred tax recoverable)	-	262.29
Prepaid expenses	11.81	14.33
Total	691.05	639.57

9 Inventories

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
(At lower of cost and net realisable value)		
Fuel [in transit ₹656.07 Crores (Previous year: ₹518.42 Crores)]	1,824.34	1,772.48
Stores and spares	499.73	435.59
Total	2,324.07	2,208.07

Notes:

- i) For charges created on inventories, refer note 20 and 26.
ii) Net off ₹82.21 Crores (Previous year - ₹79.33 Crores) towards write-down of inventory.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

10 Current Investments

Unquoted Investments (Fully Paid) (At FVTPL)

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Nil Units (Previous year 5,05,609.73 units of SBI Overnight Fund Direct Growth)	-	175.01
Total	-	175.01
Aggregate amount of unquoted investments	-	175.01

Note:

- i) For charges created on investments, Refer note 20 and 26.

11 Trade Receivables

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Secured, considered good	1,820.40	1,385.98
Unsecured, considered good (refer notes below)	9,560.53	8,104.03
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables - Credit impaired	-	-
Total	11,380.93	9,490.01

Notes:

- i) For charges created on Trade Receivables, (Refer note 20 and 26).

ii) **Credit concentration**

As at 31st March, 2023, out of the total trade receivables 93.53% (Previous year - 97.90%) pertains to dues from State Electricity Distribution Companies under contractual agreement through Power Purchase Agreements ("PPAs") including receivables on account of claims under Force Majeure / Change in Law matters, carrying cost thereof etc. and remaining receivables from related parties (Refer note 68) and others.

iii) **Expected Credit Loss (ECL)**

The Company is having majority of receivables against power supply from State Electricity Distribution Companies ("Discoms") which are Government undertakings.

The Company is regularly receiving its normal power sale dues from Discom and in case of regulatory revenue claims, the same is recognised on conservative basis based on best management estimates following principles of prudence, as per the binding regulatory orders. In case of delayed payments apart from carrying cost on settlement of claims, the Company is entitled to receive interest as per the terms of PPAs. Hence they are secured from credit losses in the future.

- iv) Trade receivables includes Customers' bills discounted of ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores).

- v) Also refer note 33 and 52.

- vi) The fair value of Trade receivables are approximately the carrying value presented (Also refer note 54).

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

12 Cash and Cash equivalents

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Balances with banks		
In current accounts	193.76	384.52
Fixed deposits (with original maturity for three months or less) (Refer note (ii) below)	-	190.00
Total	193.76	574.52

Notes :

- i) For charges created on Cash and Cash equivalents, refer note 20 and 26.
- ii) The fair value of Fixed deposits are approximately the carrying value presented (Also refer note 54)

13 Bank balances (Other than cash and cash equivalents)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Bank balances held as Margin money (With original maturity for more than three months)	1,498.58	1,435.99
Fixed deposits (With original maturity for more than three months)	-	4.44
Total	1,498.58	1,440.43

Notes:

- i) For charges created on Bank balances (Other than cash and cash equivalents), refer note 20 and 26.
- ii) The fair value of Bank balances (Other than cash and cash equivalents) are approximately the carrying value presented (Also refer note 54).

14 Current Loans

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
(Unsecured, considered good)		
Loans to subsidiary company (Refer Note 68)	-	0.44
Loans to employees	3.06	2.74
Total	3.06	3.18

Note :

- i) The fair value of Loans are approximately the carrying value presented (Also refer note 54).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

15 Other Current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Interest accrued but not due	38.94	44.13
Contract Assets (Unbilled Revenue)	0.18	2.34
Security deposits	187.73	160.17
Fair value of derivatives not designated as hedges (Refer note (i) below)	-	84.27
Other receivables	17.27	11.20
Total	244.12	302.11

Note:

- Includes Option contracts of ₹ Nil (Previous year ₹84.27 Crores).
- The fair value of Other Current Financial Assets are approximately the carrying value presented (Also refer note 54).

16 Other Current Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Advances for goods and services	1,380.22	1,185.39
Prepaid expenses	91.26	101.60
Advance to Employees	0.76	0.69
Others (Recoverable from Government authorities)	81.37	68.90
Total	1,553.61	1,356.58

17 Share Capital

	As at 31st March, 2023	As at 31st March, 2022
Authorised Share Capital (Refer note 64)		
2480,00,00,000 (Previous Year - 4,50,00,00,000) equity shares of ₹10 each	24,800.00	4,500.00
50,00,00,000 (Previous Year - 50,00,00,000) Cumulative Compulsory Convertible Participatory Preference shares of ₹10 each	500.00	500.00
75,00,00,000 (Previous Year - Nil) Compulsory Convertible Preference shares of ₹10 each	750.00	-
10,00,00,000 (Previous Year - Nil) Redeemable Preference shares of ₹100 each	1,000.00	-
9,50,00,000 (Previous Year - Nil) Preference shares of ₹100 each	950.00	-
Total	28,000.00	5,000.00
Issued, Subscribed and Fully paid-up equity shares		
3,85,69,38,941 (Previous year - 3,85,69,38,941) fully paid up equity shares of ₹10 each	3,856.94	3,856.94

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

17 Share Capital (Contd.)

	As at 31st March, 2023	As at 31st March, 2022
Issued, Subscribed and Fully paid-up Preference shares		
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	415.86	415.86
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 19 & 20)	(415.86)	(415.86)
Issued, Subscribed and Partly paid-up Preference shares		
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each and ₹60/- each paid up	300.00	300.00
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 19 & 20)	(300.00)	(300.00)
Total	3,856.94	3,856.94

a. (i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Equity Shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94
Issued during the year	-	-	-	-
Outstanding at the end of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94

a. (ii) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Preference shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	9,15,86,207	715.86	-	-
Add : Changes on account of amalgamation (Refer note 62 and 64)	-	-	4,15,86,207	415.86
At the beginning of the year (Restated)	-	-	4,15,86,207	415.86
Issued during the year (Refer note 63)	-	-	5,00,00,000	300.00
Outstanding at the end of the year	9,15,86,207	715.86	9,15,86,207	715.86

b. Terms / rights attached to equity shares

- The Company has only one class of equity shares having par value of ₹10 per share. Each holder of equity shares is entitled to one vote per share.
- In the event of liquidation of the Company the holders of the equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders."

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

17 Share Capital (Contd.)

c. Terms/rights attached to preference shares

- The preference shares rank ahead of the equity shares in the event of a liquidation.
- The terms of the preference shares and segregation into liability and equity portions of these shares are explained in note 62 and 63.

d. Details of shareholders holding more than 5% shares in the Company

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	No. of Shares	% holding in the class	No. of Shares	% holding in the class
Equity shares of ₹10 each fully paid				
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	140,51,79,633	36.43%
Adani Tradeline Private Limited*	37,71,80,885	9.78%	-	-
Adani Tradeline LLP*	-	-	37,71,80,885	9.78%
OPAL Investment Private Limited	#	#	21,32,36,910	5.53%
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	19,28,46,900	5.00%
Afro Asia Trade and Investments Limited	26,54,85,675	6.88%	26,54,85,675	6.88%
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	44,21,86,652	11.46%
	269,93,12,565	69.98%	289,61,16,655	75.08%

During the year, shares held by OPAL Investment Private Limited has been reduced to 4.69% and hence the disclosure is not applicable in the current year.

e. Details of shares held by promoters

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	1.17%
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	-	-	(100.00%)
Adani Tradeline Private Limited*	37,71,80,885	9.78%	100.00%
Adani Tradeline LLP*	-	-	(100.00%)
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

17 Share Capital (Contd.)

As at 31st March, 2022

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	140,51,79,633	36.43%	-
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	1,64,32,820	0.43%	-
Adani Tradeline LLP*	37,71,80,885	9.78%	-
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

* During the year, Adani Tradeline LLP has been converted into Private Limited Company with the name Adani Tradeline Private Limited w.e.f. 6th July, 2022.

18 Unsecured Perpetual Securities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
At the beginning of the year	13,215.00	9,015.00
Add : Changes on account of amalgamation (Refer note 64)	-	3,600.00
At the beginning of the year (Restated)	13,215.00	12,615.00
Add: Issued during the year	-	600.00
Outstanding at the end of the year	13,215.00	13,215.00

Notes:

- (i) The Company has issued Unsecured Perpetual Securities ("Securities"), which are perpetual in nature with no maturity or redemption and are callable only at the option of the issuer. The distribution on these Securities are cumulative at 9% to 10.67% (Previous year 9% to 11%) p.a. and at the discretion of the issuer. As these securities are perpetual in nature and ranked senior only to the Equity Share Capital of the Company and the issuer does not have any redemption obligation, these are considered to be in the nature of equity instruments.

19 Other Equity

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Capital Reserve	1,389.40	1,389.40
Securities Premium	7,409.83	7,409.83
General Reserve	9.04	9.04
Deemed Equity Contribution	1,952.10	1,772.93
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	246.55	246.55

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

19 Other Equity (Contd.)

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Equity instruments through OCI	-	-
Retained earnings	145.01	(9,435.80)
Total	11,151.93	1,391.95

Particulars	As at 31st March, 2023	As at 31st March, 2022
a. Capital Reserve		
Opening Balance	1,389.40	465.80
Add : Changes on account of amalgamation (Refer note 64)	-	923.60
Opening Balance (Restated)	1,389.40	1,389.40
Addition during the year	-	-
Closing Balance	1,389.40	1,389.40
b. Securities Premium		
Opening Balance	7,409.83	4,136.27
Add : Changes on account of amalgamation (Refer note 64)	-	3,273.56
Opening Balance (Restated)	7,409.83	7,409.83
Addition during the year	-	-
Closing Balance	7,409.83	7,409.83
c. Deemed Equity Contribution (Refer Note (v) below)		
Opening balance	1,772.93	1,772.93
Add : Changes during the year (Refer note 20(4))	179.17	-
Closing Balance	1,952.10	1,772.93
d. Equity Component of Non-cumulative Compulsory Redeemable Preference Shares		
Opening Balance	246.55	-
Add : Changes on account of amalgamation (Refer note 63 and 64)	-	246.55
Closing Balance	246.55	246.55
e. Equity instruments through OCI		
Opening Balance	-	-
Add : Net gain on sale of Investment classified at FVTOCI, net of tax	-	26.94
Less : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Closing Balance	-	-
f. Retained earnings		
Opening Balance	(9,435.80)	(2,170.63)
Add : Changes on account of amalgamation (Refer note 64)	-	(11,728.68)
Opening Balance (Restated)	(9,435.80)	(13,899.31)
Add : Distribution to holders of unsecured perpetual securities	(661.17)	(589.83)
Add : Profit for the year	10,246.15	5,036.34
Add : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Add: Remeasurement (loss) on defined benefit plans, net of tax	(4.17)	(9.94)
Closing Balance	145.01	(9,435.80)

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

19 Other Equity (Contd.)

Notes :

- i) (a) Capital Reserve includes ₹359.80 Crores created due to amalgamation of Growmore Trade and Investment Private Limited with the Company in the financial year 2012-13. As per the order of the Hon'ble High Court of Gujarat, the capital reserve created on amalgamation shall be treated as free reserve of the Company.
- (b) Capital reserve of ₹1,029.60 Crores was created on acquisition of Raipur TPP and Raigarh TPP during the financial year 2019-20.
- ii) Securities premium represents the premium received on issue of shares over and above the face value of equity shares. The reserve is available for utilisation in accordance with the provisions of the Companies Act, 2013.
- iii) General reserve of ₹9.04 Crores was created in the FY 2015-16 due to merger of solar power undertaking acquired from Adani Enterprises Limited, as per the scheme of arrangement approved by order of the Hon'ble High Court of Gujarat.
- iv) Equity instruments through Other Comprehensive Income : The Company has elected to recognise changes in the fair value of certain investments in equity instruments in other comprehensive income. These changes in equity instruments are accumulated through Other Comprehensive Income within equity. The Company transfers amounts from this reserve to retained earnings when the relevant equity instruments are derecognised.
- v) Deemed equity contribution represents the difference between the fair value of financial instruments and consideration paid / payable as promoters' contribution.
- vi) Retained earnings represent the amount that can be distributed as dividend considering the requirements of the Companies Act, 2013. During the year, no dividends are distributed to the equity shareholders by the Company.

20 Non-current Borrowings

	As at 31st March, 2023		As at 31st March, 2022 (Refer Note 64)	
	Non-Current	Current	Non-Current	Current
Secured Borrowings - at amortised cost				
Term Loans				
From Banks	14,493.79	1,787.94	19,786.52	2,328.04
From Financial Institutions and Assets Reconstruction Companies ("ARCs")	3,525.77	368.20	4,639.85	484.20
	18,019.56	2,156.14	24,426.37	2,812.24
Unsecured Borrowings - at amortised cost				
Loans From Related Parties (Refer Note 68)	6,790.12	-	5,160.06	-
Loans From Others	-	-	721.59	-
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	106.89	-	97.18	-
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each (Refer note 63)	62.06	-	57.25	-
	6,959.07	-	6,036.08	-
	24,978.63	2,156.14	30,462.45	2,812.24
Amount disclosed under the head Current Borrowings	-	(2,156.14)	-	(2,812.24)
Total	24,978.63	-	30,462.45	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

20 Non-current Borrowings (Contd.)

Notes:

1. The security details for the borrowing balances:

- a. Rupee Term Loans from Banks aggregating to ₹15,584.15 Crores (Previous year ₹20,726.08 Crores), Rupee Term Loans from Financial Institutions and ARCs aggregating to ₹3,391.23 Crores (Previous year ₹3,617.94 Crores), Foreign Currency Loans from Banks aggregating to ₹763.04 Crores (Previous year ₹1,516.93 Crores), Foreign Currency Loans from Financial Institutions aggregating to ₹506.04 Crores (Previous year ₹1,513.46 Crores) carry annual weighted average interest rate of 9.14% p.a. and are secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udupi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects

- b. Rupee Term Loan from Banks and Trade credits (current borrowing) aggregating to ₹5,491.57 Crores (Previous year - ₹6,772.03 Crores) are further secured by pledge of 764,426,421 equity shares of the Company held by S.B. Adani Family Trust (Previous year 764,426,421) as a First charge.

Further, for related party transactions Refer Note 68.

2. Repayment schedule for the Secured borrowing balances:

- a. The secured term loans from Banks aggregating to ₹13,791.10 Crores (Previous year ₹19,634.88 Crores) and from Financial Institutions aggregating to ₹2,869.65 Crores (Previous year ₹4,114.12 Crores) respectively are repayable over a period of next 12 years in quarterly / half yearly / yearly from Financial year 2023-24 to Financial year 2034-35. During the year, the Company has also made prepayments of ₹4,755.45 Crores.
- b. In case of Raipur TPP, Rupee Term Loans and Foreign Currency Loans from Banks and Financial Institution aggregating to ₹2,767.75 Crores (Previous year ₹2,746.53 Crores) are repayable in 3 equal annual installments starting from 30th June, 2026.
- c. In case of Raigarh TPP, the secured term loans from Banks aggregating to ₹674.87 Crores (Previous year ₹726.92 Crores) and from Financial Institutions aggregating to ₹141.09 Crores, including ₹71.92 Crores from ARCs (Previous year ₹151.95 Crores, including ₹77.46 Crores from ARCs) respectively are repayable in structured quarterly instalments from Financial year 2023-24 to Financial year 2026-27.

3. Repayment schedule for the Unsecured borrowing balances:

- a. Unsecured loans from related parties of ₹6,790.12 Crores (Previous year ₹5,160.06 Crores) and from others of ₹Nil (Previous year ₹721.59 Crores) are repayable on agreed dates over a period of 2 to 4 years starting from Financial year 2024-25 to Financial year 2026-27.
- b. Up to 5% Non-cumulative Compulsory Redeemable Preference Shares aggregating to ₹300 Crores (Previous year - ₹300 Crores) recognised at discounted value of ₹62.06 Crores (Previous year - ₹57.25 Crores) are redeemable in Financial year 2041-42.
- c. 0.01% Compulsory Redeemable Preference shares aggregating to ₹415.86 Crores (Previous year ₹415.86 Crores) recognised at discounted value of ₹106.89 Crores (previous year ₹97.18 Crores) are redeemable in structured 3 equal annual instalments from Financial year 2036-37 to Financial year 2038-39.

4. During the year, the Company in case of Raipur TPP, has written back the outstanding amount of assigned ECB based on a consent letter received from Adani Global DMCC, a related party of the Company for waiver of the same. As the ECB was accounted at fair value on initial recognition, the outstanding portion of debt component of ₹179.17 Crores has been accounted as deemed equity contribution.

5. The amount disclosed in security details in note 1 above and repayment schedule in note 2 above are gross amount excluding adjustments towards upfront fees.

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

21 Non-Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Lease liabilities	87.76	93.49
Total	87.76	93.49

Note:

The fair value of Lease Liabilities are approximately the carrying value presented (Also refer note 54).

22 Other Non-current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Financial Guarantee Obligation	286.21	205.69
Total	286.21	205.69

Notes:

- The fair value of Other Non-current Financial Liabilities are approximately the carrying value presented (Also refer note 54).
- Financial guarantees are issued by the Company in respect of borrowings taken by subsidiaries. (Refer note 68).

23 Non-current Provisions

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Provision for Mine Closure Obligations (Refer note 43)	42.07	39.44
Provision for Employee Benefits		
Provision for Gratuity (Refer note 58)	72.00	60.82
Provision for Leave Encashment	34.25	32.12
Total	148.32	132.38

24 (a) Deferred Tax Liabilities (Net) (Refer note 65)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Deferred Tax Liabilities		
Property, Plant and Equipment	4,409.07	5,243.33
Others	-	0.18
Gross Deferred Tax Liabilities	4,409.07	5,243.51
Deferred Tax Assets		
Provision for employee benefits	33.13	27.85
Expenses disallowed claimable in future years	804.37	91.76
On unabsorbed depreciation / carried forward losses	3,571.57	2,820.03
Gross Deferred Tax Assets	4,409.07	2,939.64
Net Deferred Tax Liabilities	-	2,303.87

At the current year end, the Company has recognised Deferred Tax Assets on unabsorbed depreciation / carried forward losses to the extent of Deferred Tax Liability. (Also refer note 65).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

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24 (Contd.)

(b) Movement in deferred tax liabilities (net) for the year ended 31st March, 2023

	Opening Balance as at 1st April, 2022	Recognised in statement of profit and Loss (Refer note 65)	Recognised in other comprehensive income	Closing balance as at 31st March, 2023
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	5,243.33	(834.26)	-	4,409.07
Others	0.18	(0.18)	-	-
Total - (a)	5,243.51	(834.44)	-	4,409.07
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	27.85	5.28	-	33.13
Expenses disallowed claimable in future years	91.76	712.61	-	804.37
Unabsorbed depreciation	2,820.03	751.54	-	3,571.57
Total - (b)	2,939.64	1,469.43	-	4,409.07
Deferred Tax Liabilities (Net) Total - (a-b)	2,303.87	(2,303.87)	-	-

(c) Movement deferred tax liabilities (net) for the year ended 31st March, 2022

	Opening Balance as at 1st April, 2021 (Refer Note 64)	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Closing balance as at 31st March, 2022
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	5,169.13	74.20	-	5,243.33
Others	0.18	-	-	0.18
Total - (a)	5,169.31	74.20	-	5,243.51
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	24.94	2.13	0.78	27.85
Expenses disallowed claimable in future years	23.68	68.08	-	91.76
Unabsorbed depreciation	3,792.61	(972.58)	-	2,820.03
Total - (b)	3,841.23	(902.36)	0.78	2,939.64
Deferred Tax Liabilities (Net) Total - (a-b)	1,328.08	976.56	(0.78)	2,303.87

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

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24 (Contd.)

24.1 Unrecognised deductible temporary differences and unused tax losses.

Deductible temporary differences, unused tax losses and unused tax credits for which no Deferred Tax Assets have been recognised are attributable to the following :

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Unrecognised tax losses and unused tax credit (revenue in nature)	-	12,964.55
Unabsorbed depreciation (Refer note (i) below)	18,826.95	20,281.66
Property, Plant and Equipment	-	167.09
Provision for Employee benefits	-	3.29
Total	18,826.95	33,416.59

Notes:

- Unabsorbed depreciation of ₹18,826.95 Crores do not have expiry in respect of the Company.
- No Deferred Tax Asset has been recognised on the above unutilised tax losses, depreciation and tax credits as there is no reasonable certainty as of year end that sufficient taxable profit will be available in the near future years against which such credits can be utilised by the Company.

25 Other Non-current Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Deferred Government Grant (Refer note 4.1(ii))	4,183.15	4,487.21
Total	4,183.15	4,487.21

26 Current Borrowings

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Secured Borrowings - at amortised cost		
Working Capital Demand Loans From Banks	2,036.27	1,978.36
Trade Credits From Banks (Refer note 20(1)(b))	1,951.85	2,931.32
Cash Credit From Banks	490.96	661.55
Customers' Bills Discounted (recourse basis)	1,192.50	1,000.00
Current maturities of Non-Current borrowings (Refer note 20)	2,156.14	2,812.24
	7,827.72	9,383.47
Unsecured Borrowings - at amortised cost		
Loans From Related Parties (Refer note 68)	-	549.33
Total	7,827.72	9,932.80

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

26 Current Borrowings (Contd.)

Notes:

- i) Working Capital Demand Loans, Trade Credits, Cash Credits and Customers' Bills Discounted provided by Bank (Working Capital Facilities) aggregating to ₹5,671.58 Crores (Previous year ₹6,571.23 Crores) carry annual weighted average interest rate of 5.75% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udipi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of NCLT order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

27 Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Lease liabilities	8.75	7.98
Total	8.75	7.98

Note:

The fair value of Lease Liabilities are approximately the carrying value presented (Also refer note 54).

28 Trade Payables

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Acceptances	192.26	195.86
Other than acceptances		
- total outstanding dues of micro enterprises and small enterprises	82.38	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises (Refer note 68 for related party dues)	2,112.74	3,199.77
Total	2,387.38	3,448.56

Notes:

- i) Trade payables mainly include amount payable to coal suppliers and operation and maintenance vendors in whose case credit period allowed is 0-180 days. The Company usually opens usance letter of credit in favour of the coal suppliers.
- ii) The fair value of trade payables are approximately the carrying value presented (Also refer note 54).
- iii) **Details of due to micro and small enterprises :**

On the basis of the information and records available with management, details of dues to micro and small enterprises as defined under the MSMED Act, 2006 are as below:

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

28 Trade Payables (Contd.)

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Principal amount remaining unpaid to any supplier as at the year end.	82.38	52.93
Interest due thereon	-	-
Amount of interest paid in terms of section 16 of the MSMED, along with the amount of the payment made to the supplier beyond the appointed day during the accounting year.	-	-
Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the period) but without adding the interest specified under the MSMED.	-	-
Amount of interest accrued and remaining unpaid at the end of the accounting year.	-	-
Amount of further interest remaining due and payable even in succeeding years.	-	-

iv) Ageing schedule:

a. As at 31st March, 2023

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	82.38	-	-	-	-	82.38
2	Others	321.02	72.34	1,698.18	70.10	38.55	79.72	2,279.91
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.68	4.60	3.25	12.56	25.09
	Total	321.02	154.72	1,702.86	74.70	41.80	92.28	2,387.38

b. As at 31st March, 2022

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	52.93	-	-	-	-	52.93
2	Others	225.21	1,062.62	1,323.47	540.06	64.80	159.06	3,375.22
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.60	3.25	3.59	8.97	20.41
	Total	225.21	1,115.55	1,328.07	543.31	68.39	168.03	3,448.56

* Where due dates not provided, date of transaction is considered.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

29 Other Current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Interest accrued but not due (Refer note (i) of cash flow statement)	24.35	17.23
Payable towards purchase of Property, Plant and Equipment (including retention money)	206.14	215.38
Financial guarantee obligation (Refer note 68).	39.73	33.46
Derivatives not designated as hedges (Refer note (i) below)	7.04	15.45
Truing Up / Tariff revenue adjustment (Refund Liability)	547.16	418.14
Other financial liabilities (Refer note (iii) below)	250.66	15.02
Total	1,075.08	714.68

Notes :

- Includes Forward contracts of ₹7.04 Crores (Previous year ₹11.27 Crores), interest rate swap of ₹ Nil (Previous year ₹4.18 Crores).
- The fair value of Other Current Financial Liabilities are approximately the carrying value presented (Also refer note 54).
- Includes refundable amount as per the agreement.

30 Other Current Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Statutory liabilities	130.27	129.33
Advance from Customers	32.51	53.15
Deferred Government Grant (Refer note 4.1(ii))	304.18	304.19
Others (Refer note (i) below)	3,144.73	368.25
Total	3,611.69	854.92

Note :

- Includes ₹50.87 Crores (Previous year ₹50.87 Crores) on account of Fair Valuation of contingent liabilities on acquisition of Raipur TPP and ₹3,046.98 Crores (Previous year ₹315.87 Crores) as liability towards additional cost of procurement of coal based on future power supply, as may be required.

31 Current Provisions

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Provision for Employee Benefits		
Provision for Leave Encashment	13.39	12.94
Total	13.39	12.94

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Current Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Income-tax payable (Net of advance tax)	-	645.32
Total	-	645.32

33 Revenue from Operations

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue from Power Supply (Refer notes below)	35,420.63	27,165.50
Revenue from trading goods (including coal)	521.80	487.90
Sale of services	28.60	1.50
Other Operating Revenue		
Sale of Fly Ash and Others	55.74	56.28
Gain on Sale of Investments (Refer note (vi) below)	654.44	-
Total revenue from contracts with customers	36,681.21	27,711.18

Notes:

(i) In respect of Tiroda TPP

- (a) Maharashtra Electricity Regulatory Commission ("MERC") vide its order dated 6th September, 2019 had allowed relief on account of use of alternative coal for non-availability of coal due to cancellation of Lohara coal block for the Company's 800 MW power generation capacity at Tiroda TPP. The relief was upheld by the Appellate Tribunal for Electricity ("APTEL") vide its order dated 5th October, 2020, although the Maharashtra State Electricity Distribution Company Limited ("MSEDCL") had filed an appeal in the Hon'ble Supreme Court against the APTEL order. The Hon'ble Supreme Court after issuing interim relief order dated 31st January, 2022 passed the final order dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order. Pursuant to said Hon'ble Supreme Court order, the Company has reassessed the compensation claims recognised till date and recognised an additional revenue of ₹321.71 Crores (net off reversal of Carrying Cost of ₹10.98 Crores) at the year end (including ₹201.21 Crores pertaining to earlier period).

The total tariff compensation claim recognised for year ended 31st March, 2023 is ₹3,916.48 Crores (including carrying cost ₹487.15 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (b) In a matter relating to tariff compensation claim (including carrying costs thereon) for additional costs incurred by the Company for 2500 MW power generation capacity at Tiroda TPP, due to shortfall in availability of domestic coal under New Coal Distribution Policy ("NCDP") and Scheme of Harnessing and Allocating Koyala (Coal) Transparently in India ("SHAKTI") policy of the government, the Company had earlier received favorable orders from MERC, based on which the Company has recognised claims and carrying cost thereon in earlier years, on best estimate basis. Subsequently, APTEL vide its orders dated 14th and 28th September, 2020 provided further clarity on the various claim parameters to be considered in computing tariff compensation claims. However, MSEDCL had filed an appeal with the Hon'ble Supreme Court against the aforesaid orders of APTEL. The Hon'ble Supreme court after issuing interim relief order dated 31st January, 2022 passed its final order dated 3rd March 2023 and 20th April, 2023 upheld all the matters which were concluded in the APTEL orders towards compensation claims relating to NCDP and SHAKTI policy respectively. Pursuant to said Hon'ble Supreme Court orders

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

33 Revenue from Operations (Contd.)

the Company has derecognised claim of ₹90.26 Crores (net off recognition of carrying cost of ₹178.38 Crores) at the year end (including claim reversal of ₹90.26 Crores pertaining to prior period).

The tariff compensation claim recognised for the year ended 31st March, 2023 is ₹5,063.12 Crores (including carrying cost of ₹1,131.94 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (c) Apart from above, in one of the matters relating to cost factor for computation of tariff compensatory claim based on claim amount billed by the Company, MSEDCL is also in appeal with APTEL although the Company has favorable order from MERC in the matter. The management does not expect any adverse impact of the matter. Currently, the Company has recognised the compensation claim on the best estimate basis pending settlement of appeal.

(ii) In respect of Kawai TPP

The Company, for recognition of tariff compensation claims for additional coal costs incurred for power generation due to shortfall in availability of domestic linkage coal under Shakti Policy of the Government, the Company has relied on the favourable order of Hon'ble Supreme Court dated 31st August, 2020 in which Hon'ble Supreme Court has admitted all tariff compensation claims and the Company continues to realise the claim amount towards compensation. The Company has recognised tariff compensation claims on best estimate basis which management expects to fully realise such claims from the discoms.

(iii) In respect of Udupi TPP

The Company raises invoices on its customers ("Karnataka Discoms") based on the most recent tariff order / provisional tariff approved by the Central Electricity Regulatory Commission ("CERC"), as modified by the orders of Appellate Tribunal for Electricity ("APTEL") / CERC to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Such tariff orders are subject to conclusion of final tariff order in terms of Multiyear Tariff ("MYT") Regulations at end of tariff period of every 5 years.

- (iv) Revenue from operations for the year ended 31st March, 2023, (including the amounts disclosed separately elsewhere in other notes) includes ₹2,377.24 Crores (net) recognised pertaining to prior years upto 31st March, 2022 (Previous year - ₹465.40 Crores pertaining to period upto 31st March, 2021), based on the orders received from various regulatory authorities such as MERC / CERC, APTEL, Hon'ble Supreme Court and reconciliation with discoms relating to various claims towards change in law events, carrying cost thereon and delayed payment interest.
- (v) For regulatory claims / change in law claims, the management recognises income on conservative parameters, since the same are under litigation / pending final settlement with Discoms. The differential adjustments on account of such claims are recognised on resolution of the litigation / final settlement of matter with Discoms, including carrying cost / late payment surcharge.
- (vi) On 7th June, 2022, the Company has acquired 100% equity shares of Support Properties Private Limited ("SPPL") for a consideration of ₹280.10 Crores and it also settled the liability of ₹485.24 Crores towards the existing debt of SPPL. Hence, SPPL become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. SPPL hold land parcel at Navi Mumbai which the Company proposed to develop for Infrastructure facilities as part of its trading, investment and other business activities (a company's business segment). Further, transaction cost of ₹54.43 Crores is added to investment in SPPL. On 22nd March, 2023, the Company has disposed off its investment held in SPPL by execution of share purchase agreement with Adani Connex Private Limited and received a consideration of ₹988.97 Crores (excluding debt component of ₹485.24 Crores) which has been arrived at on arm's length basis. The net income on such sale of investment amounting to ₹654.44 Crores is accounted as other operating revenue.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

34 Other Income

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest income (Refer note (i) below)	3,834.36	3,633.66
Income from Mutual Funds	10.39	0.83
Profit on Sale of Investment	-	0.01
Sale of Scrap	18.87	20.46
Amortised Government Grant Income	304.06	304.06
Financial Guarantee Commission (amortised)	33.74	17.64
Liability no longer required written back	41.35	21.81
Miscellaneous Income (Refer note (ii) below)	277.21	69.85
Total	4,519.98	4,068.32

Notes:

- Interest income of ₹3,834.36 Crores (Previous year - ₹3,633.66 Crores) mainly includes Interest income in nature of Late payment surcharge / carrying cost of ₹3,499.93 Crores (Previous year - ₹3,475.88 Crores) from DISCOMs towards change in law claims and overdue receivables and interest income on fixed deposit ₹82.64 Crores (Previous year - ₹40.69 Crores).
- Miscellaneous income mainly includes ₹61.84 Crores (Previous year - ₹Nil) towards GST refund and ₹150.08 Crores (Previous year - ₹Nil) towards credit of transmission charges which were expensed off in earlier years.

35 Purchase of Stock in trade / Power for resale

It includes purchase of traded goods of ₹110.14 Crores (Previous year ₹483.34 Crores) and purchase of Power for resale of ₹99.44 Crores (Previous year ₹62.22 Crores).

36 Employee benefits expense

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Salaries, Wages and Allowances	471.09	417.54
Contribution to Provident and Other Funds	25.00	21.68
Staff Welfare Expenses	34.27	30.99
Total	530.36	470.21

37 Finance Costs

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(a) Interest Expense on :		
Loans and Debentures	2,812.75	3,612.31
Working Capital, Trade Credits and Others (Refer note (i) below)	255.38	250.02
Total (a)	3,068.13	3,862.33

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

37 Finance Costs (Contd.)

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(b) Other borrowing costs :		
(Gain) on Derivative Contracts	(142.03)	(6.17)
Bank Charges and Other Borrowing Costs	178.11	147.70
Total (b)	36.08	141.53
(c) Net loss on foreign currency transactions and translation (to the extent considered as finance cost)	202.59	83.06
Total (c)	202.59	83.06
Total (a+b+c)	3,306.80	4,086.92

Note :

- i) Includes interest on lease liabilities of ₹9.32 Crores (Previous year ₹9.71 Crores) and unwinding of interest on preference shares of ₹14.63 Crores (Previous year ₹12.64 Crores).

38 Other Expenses

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Consumption of Stores and Spares	305.63	345.14
Repairs and Maintenance Expenses	536.85	527.34
Expenses related to short term leases	5.55	5.69
Rates and Taxes	157.99	68.66
Legal and Professional Expenses	114.30	70.86
Payment to Auditors (Refer Note 56)	3.61	3.27
Directors' Sitting Fees	0.47	0.41
Insurance Expenses	113.75	88.63
Bad debts / sundry balances written off	8.66	0.39
Provision for Capital work in progress	33.97	0.02
Provision of Mine closure obligation	-	39.44
Foreign Exchange Fluctuation Loss (Net)	24.79	24.49
Miscellaneous Expenses	234.86	183.32
Loss on Sale / Retirement of Property, Plant and Equipment and capital asset written off (Net)	41.18	67.25
Donations	2.11	1.00
Corporate Social Responsibility Expenses (Refer note 59)	16.73	27.83
Total	1,600.45	1,453.74

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

39 Income Tax

The major components of income tax expense are:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit and Loss section		
Current Tax:		
Current Income Tax Charge	-	768.33
Reversal of tax provision relating to earlier years	(768.33)	(0.11)
Total (A)	(768.33)	768.22
Deferred Tax		
Deferred Tax (credit) / charge relating to earlier years, reversed during the year (Refer Note 65)	(2,303.87)	976.57
Total (B)	(2,303.87)	976.57
Current tax netted off with Deferred tax recoverable from future tariff	(46.86)	16.78
Total (C)	(46.86)	16.78
OCI section		
Deferred tax related to items recognised in OCI during the year (D)	-	(0.78)
Total (A+B+C+D)	(3,119.06)	1,760.79

The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit before tax as per Statement of Profit and Loss	7,389.38	6,701.88
Income tax using the company's domestic tax rate @ 25.168% (Previous year rate 25.168%)	1,859.76	1,686.73
Tax Effect of :		
i) Deferred Tax asset not created on temporary differences / unabsorbed depreciation	-	190.75
ii) Unabsorbed Depreciation / brought forward losses utilised	(1,673.93)	(0.76)
iii) Deferred tax asset not recognised for MAT on Deferred Tax Recoverable	-	47.47
iv) (Reversal) of / Recognition of MAT on Deferred Tax Recoverable on which deferred tax asset not recognised	(46.86)	16.78
v) Income-taxes related to prior years, reversal of provision	(768.33)	(0.11)
vi) Tax Impact on Distribution to holders of Unsecured Perpetual Securities	(166.40)	(148.45)
vii) Non Deductible Expenses	33.85	3.25
viii) Non Taxable Income	(53.28)	(44.66)
ix) Profit taxable at different tax rates and impact of tax rate differences	-	20.58
x) Change in estimate of taxability of certain items pertaining to earlier years	-	(10.01)
xi) Reversal of Deferred tax liabilities created in earlier years, refer note 65	(2,303.87)	-
xii) Others	-	(0.78)
Income tax recognised in Statement of Profit and Loss Total	(3,119.06)	1,760.79

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

40 Earnings per share

		For the year ended 31st March, 2023	For the year ended 31st March, 2022
Basic and Diluted EPS			
Profit after tax for the year	₹ in Crores	10,246.15	5,036.34
Less : Distribution on Unsecured Perpetual Securities (including paid - ₹661.17 Crores (Previous year - ₹589.83 Crores))	₹ in Crores	1,251.65	1,197.65
Profit attributable to equity shareholders after distribution on Unsecured Perpetual Securities	₹ in Crores	8,994.50	3,838.69
Weighted average number of equity shares outstanding during the year	No.	3,85,69,38,941	3,85,69,38,941
Nominal Value of equity share	₹	10	10
Basic and Diluted EPS	₹	23.32	9.95

41 Contingent Liabilities and Commitments (to the extent not provided for) :

	As at 31st March, 2023	As at 31st March, 2022
(a) Contingent Liabilities :		
i) Claims against the Company not acknowledged as debts in respect of:		
a. Income Tax demands (under appeal)	27.74	69.04
b. Entry Tax (under appeal)	1.65	1.51
c. Custom Duty (Refer note 1(a) and 2 below)	1,220.51	1,220.51
d. Transmission Line Relinquishment (Refer note 1(b) below)	154.50	154.50
e. Electricity Duty (Refer note 3 below)	-	25.19
f. Central Sales Tax (under appeal)	13.10	-
g. Value Added Tax (Refer note 4 below)	1.51	-
Total	1,419.01	1,470.75

Notes:

- (a) In Case of Raipur TPP, The Ministry of Power, Government of India vide letter dated 8th September, 2011 had granted Provisional Mega Power Status Certificate under the Mega Power Policy for construction of its 1,370 MW Thermal based Power Plant. In terms of the same, the Company has availed exemptions of duty of customs and excise duty upon submission of bank guarantees worth ₹960.01 Crores and pledge of margin money deposits of ₹59.67 Crores. The grant of final Mega power status of Raipur TPP is dependent upon plant achieving tie up for supply of power for 70% of its installed capacity through long term Power Purchase Agreements by way of competitive bidding and the balance through regulated market within stipulated time. The time period to achieve tie up for supply of power as prescribed in Mega Power Policy has been further extended to 156 months from the date of Import, till 12th September, 2024, by the Ministry of Power, Government of India vide amendment dated 7th April, 2022. The Management expects to comply the conditions and hence no adjustments are made.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

41 Contingent Liabilities and Commitments (to the extent not provided for) : (Contd.)

- (b) In case of Raipur TPP, the Company had entered into a bulk power transmission agreement ('BPTA') with Power Grid Corporation of India Limited ('PGCIL') dated 31st March, 2010 as per which the Company was granted Long term Access ('LTA') of 816 MW. However, owing to non-availability of PPA, which as per management is beyond the control of the Company, Raipur TPP was not in a position to utilise the LTA and has accordingly sought for surrender of the LTA, for which PGCIL has raised demand of ₹154.50 Crores towards relinquishment charges on the Company. However, the said claim will be subject to the outcome of the petition dated 7th September, 2020 filed by the Company before the APTEL.
- 2) For the Company's Udupi TPP and Tiroda TPP, matter on Custom Duty relating to March 2012 to February 2013 is contested at Customs, Excise and Service Tax Appellate Tribunal ("CESTAT").
- 3) In case of Raigarh TPP, Chief Electrical Inspector, Government of Chhattisgarh ('CEIG'), has raised demand for electricity duty on auxiliary power consumption @15% of tariff instead of @ 10% as per the circular dated 12th August, 2016 from January 2015 to December 2021 along with interest. During the current year, the Company has received favourable order from Chief Electrical Inspector, Raipur Office in the matter dated 1st June, 2022.
- 4) For company's Tiroda TPP, Joint Commissioner of State Tax (Adm), Nagpur Division, has raised demand of Value added tax relating to FY 13-14 along with interest.
- ii) Apart from above, the Development Commissioner, Mundra has issued a show cause notice to the Company in case of Mundra TPP for the period FY 2009-10 to FY 2014-15 in relation to custom duty on raw materials used for generation of electricity supplied from SEZ to DTA, which amounts to ₹963.94 Crores. The Company has contested the said show cause notice. Further, the management is of the view that such duties on raw material are eligible to be made good to Mundra TPP under the PPA with Discoms or are refundable from the Authorities. Hence, the Company has not considered this as contingent liabilities.
- iii) The Company has assessed that it is only possible, but not probable, that outflow of economic resources will be required in respect of above matters.

	As at 31st March, 2023	As at 31st March, 2022
(b) Commitments :		
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	7,809.65	174.93
Total	7,809.65	174.93

Note:

As at 31st March, 2023, capital commitment mainly includes commitment relating to Flue Gas Desulphurisation project.

Others:

- (i) The Company has given a commitment to lenders of Mahan Energen Limited (MEL) that it will not transfer its 49% equity holding in MEL outside the Adani Power Group, except with the prior approval of lenders.

42 Leases

The Company has lease contracts for land, Building and computer hardware used in its operations. Leases of these items have lease terms between 2 to 99 years. The Company is restricted from assigning and subleasing the leased assets.

The weighted average incremental borrowing rate applied to lease liabilities is 8.50%.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

42 Leases (Contd.)

(i) The following is the movement in Lease liabilities.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	101.47	-
Add : Addition on account of amalgamation (Refer note 64)	-	105.75
Add : Addition on account of new lease arrangements during the year	-	0.74
Add : Finance cost incurred for the year	9.32	9.71
Less : Payment of Lease Liabilities	(14.28)	(14.73)
Closing Balance	96.51	101.47

(ii) Classification of Lease Liabilities:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Current Lease Liabilities	8.75	7.98
Non-current Lease Liabilities	87.76	93.49

(iii) Disclosure of expenses related to Lease:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest on lease liabilities	9.32	9.71
Depreciation expense on Right-of-use assets	20.73	21.06
Expense Related to Short Term Leases and Leases of Low Value	5.55	5.69

(iv) Amount recognised in statement of Cash Flows:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Payment of lease liability (including interest paid ₹9.32 Crores (previous year - ₹9.71 Crores))	14.28	14.73

(v) The additions to the Rights-of-use asset during the year and its carrying value - Refer note 4.1 (vi)

(vi) The undiscounted maturity analysis of lease liabilities over the remaining lease term is as follows:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Less than 1 year	15.06	14.09
1 to 5 years	47.28	50.40
More than 5 year	308.94	319.65

43 Provision for Mine Closure Obligation

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	39.44	-
Add : Addition on account of amalgamation (Refer note 64)	-	45.72
Add: Interest on account of unwinding of Provision	2.63	-
Less: Remeasurement impact (net)	-	(6.28)
Closing Balance (Refer note 23)	42.07	39.44

Note :

In case of Raipur TPP, the mine closure obligation has been remeasured based on the management estimate for the cost likely to be incurred on mine closure.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 44** The Company has incurred cost of ₹103.75 Crores for the development of Jitpur Coal Block mine in the earlier years and had also given performance bank guarantee of ₹92.90 Crores to the government authorities.

Considering the long pendency of the matter relating to development of mine, the Company applied for surrender of the coal block to Nominated Authority and requested for refund of the costs incurred and release of the performance bank guarantee. The Nominated Authority vide its letter dated 17th September, 2021, accepted the surrender petition by the Company and ordered for invocation of bank guarantee along with obligation to fulfil antecedent liability. On 29th September 2021, the Hon'ble Delhi High Court, in response to petition filed by the Company, has stayed the invocation of the said performance bank guarantee and restrained the Nominated Authority from taking any coercive steps in the matter. Further the Hon'ble Delhi High Court vide its order dated 3rd March, 2022, instructed the Nominated authority that the said performance bank guarantee shall be returned within one week from the date of execution of "Letter of Intent of Coal Mines Production and Development Agreement" with a new bidder. The Nominated Authority has concluded the fresh e-auction of Jitpur Coal Block on 13th September, 2022 and allotted mine to new bidder on 13th September, 2022.

Earlier, the Company has submitted the details of costs / expenditure incurred towards development of mine with Nominated Authority, however based on allotment of mine to a new bidder, the Company expects a favourable resolution relating to cost realisation of Jitpur mine with Nominated Authority. The Company has also obtained legal opinion basis which it is reasonably confident to get compensation realised of the entire costs incurred towards the development of the coal mine in the subsequent period.

- 45** The Company through erstwhile subsidiary, Raipur Energen Limited ("REL") has incurred cost of ₹55.57 Crores and ₹30.75 Crores towards development of Talabira Coal mine and Ganeshpura Coal mine, respectively in the earlier years.

In the above matter, earlier the Company had filed two writ petitions with Hon'ble Delhi High Court requesting surrender of the said mines in view of Union of India's ("Uoi") notification dated 16th April, 2015 stating capping of the fixed / capacity charges and also requested to refund the costs incurred along with the release of bid security. The Hon'ble Delhi High Court vide its single order dated 15th April, 2019 dismissed the petitions on the ground of delay in filing of writ petitions. Consequently, the Company filed petitions before Hon'ble Supreme Court to set aside the order of the Hon'ble Delhi High Court. Pending adjudication of the petitions, Hon'ble Supreme Court directed Uoi and others vide its order dated 30th May, 2019 that no coercive action to be taken in these matters.

The management expects favourable resolution of these matters and is reasonably confident to realise the entire cost spent towards these coal mines as compensation in the subsequent periods.

- 46** The National Green Tribunal ("NGT") in a matter relating to non-compliance of environmental norms relating to Udupi TPP directed the Company vide its order dated 14th March, 2019, to make payment of ₹5.00 Crores as an interim environmental compensation to Central Pollution Control Board ("CPCB"), which was deposited by the Company with CPCB under protest, in April 2019 and expensed the same in the books.

NGT vide its order dated 31st May, 2022 settled the matter and directed the Company to deposit an additional amount of ₹47.02 Crores with CPCB within 3 months from the date of order. The Company has recognised expense provision in the books of ₹47.02 Crores on conservative basis. The Company has filed petition with the Hon'ble Supreme Court dated 26th August, 2022 against the above referred NGT order. The Udupi TPP continues to operate in compliance with all the conditions under Environment Clearance as at reporting date.

- 47** (a) In respect of Power Purchase Agreement ("PPA / SPPA") for Bid 2 with Gujarat Urja Vikas Nigam Limited ("GUVNL"), for supply of 1,234 MW power through Mundra TPP (as amended), the Hon'ble Supreme Court, vide its order dated 2nd July, 2019, had allowed appeal filed by the Company, for termination of long term PPA / SPPA with retrospective effect from the date of PPA i.e. 2nd February, 2007 and allowed the Company to claim compensatory tariff. Till reporting period ended 31st December, 2021, GUVNL was in appeal in the matter with Hon'ble Supreme Court and had filed the curative petition.

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All amounts are in ₹ Crores, unless otherwise stated

47 (Contd.)

On 3rd January 2022, a settlement deed was entered between the Company and GUVNL to resolve all pending matters / disputes relating to Bid 1 & Bid 2 and as per the Settlement deed followed by Supplemental Power Purchase Agreement dated 30th March, 2022, GUVNL approached CERC to determine the base energy tariff rates for power sales under Bid 1 & Bid 2 SPPAs, with retrospective effect from 15th October, 2018, for submission to the Government of Gujarat ("GoG"). CERC vide its order dated 13th June 2022 recommended the base energy tariff rates for final approval of GoG which is pending as on reporting date. CERC order allows the Company and GUVNL to mutually agree on adoption of six monthly or monthly escalation index to apply over base energy tariff rate as on October 2018 for determination of subsequent period energy rates. Pending approval of the base energy tariff rate by GoG and the mutual agreement between the Company and GUVNL on methodology for escalation index, the Company has made adjustments in the revenue of ₹269.09 Crores based on prudent principles with conservative parameters. Presently, revenue in this matter has been recognised based on pass through of coal cost in a prudent and consistent basis as concluded through Supplemental Agreement dated 30th March, 2022.

- (b) On 28th February 2023, a Supplemental Power Purchase Agreements ("SPPA") has been signed with Dakshin Haryana Bijli Vitaran Nigam Limited and Uttar Haryana Bijli Vitaran Nigam Limited (collectively "Haryana DISCOMs") in respect of its two existing Power Purchase Agreements ("PPA") of net contracted capacity of 712 MW each (1424 MW in aggregate at Generation end). Under the terms of the SPPAs, the net capacity contracted with Haryana DISCOMs has been reduced to 600 MW each, or 1200 MW in aggregate, as delivered. This development allowed the Company to schedule power supply to Haryana DISCOMs using two dedicated Units of 660 MW each instead of all three units of Phase IV of Mundra TPP. This will also allow efficient recovery of alternate fuel costs in case of demand from Haryana DISCOMs exceeds domestic coal availability under the FSA. Further on 14th April, 2023, the Company has entered into long term PPA of 360 MW with MPSEZ Utilities Limited ("MUL") to be supplied from third unit of Mundra TPP Phase-IV.

The management believes that with majority of the tariff compensation claim issues relating to GUVNL and Haryana Discoms have been resolved, over a foreseeable future Mundra TPP of the Company would be able to establish profitable operations and meet its performance and financial obligations. Hence, based on the assessment of value in use of Mundra TPP, no provision / adjustment is considered necessary to the carrying value of its Mundra TPP related property, plant and equipment aggregating to ₹16,200.47 Crores as at 31st March, 2023.

- (c) The Company has determined the recoverable amounts of the Power Plants (including goodwill allocated to respective Power Plants) over their useful lives based on the Cash Generating Units ("CGUs") identified, as required under Ind AS 36, Impairment of Assets on the basis of their Value in Use by estimating the future cash inflows over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, operational performance of the Plants, availability of domestic coal under fuel supply agreement / coal linkage as per the directives of Competent Authority, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management.

On a careful evaluation of the aforesaid factors, the Management of the Company has concluded that the recoverable value of such CGUs individually is higher than their respective carrying amounts as at 31st March 2023. However, if these estimates and assumptions were to change in future, there could be corresponding impact on the recoverable amounts of the Plants.

- 48 In respect of Mundra TPP, the Company has claimed tariff compensation claim (including carrying cost thereon) for additional cost incurred related to power generation against 1424 MW of Power Purchase Agreement due to shortfall in domestic coal based on supplies under Fuel Supply Agreements with Collieries of Coal India Limited's subsidiaries, against power supplied to Haryana Discoms based on favourable CERC Order dated 31st May, 2018 and 13th June, 2019 duly upheld by APTEL order dated 3rd November, 2020 and 30th June, 2021. However, Haryana Discom had filed an appeal with the Hon'ble Supreme Court against the

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48 (Contd.)

aforesaid order of APTEL although the Company had recognised revenue supported by favourable order in respect of similar other matters. The Hon'ble Supreme Court after issuing interim relief order dated 16th February, 2021 passed its final orders dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order towards tariff compensation claims relating to NCDP and SHAKTI policy respectively.

Based on final order of Hon'ble Supreme Court, there is no significant change in tariff compensation claims recognised on best estimate as per the orders of CERC / APTEL and management expects to fully realise outstanding balances of such claims from the discom.

49 GUVNL vide its letter dated 21st May, 2021 has raised certain claims on the Company for excess energy injected during the period 1st April, 2017 to 31st October, 2020 from the 40 MW solar power plant at Bitta in terms of the power purchase agreement and has withheld ₹72.10 Crores against power supply dues in the previous year. GERC vide its order dated 3rd November, 2022 in the matter accepting the petition of the Company in the said matter and directed GUVNL to make payment of the amount withheld within three months from the date of order along with late payment surcharge as per PPA. However, GUVNL has filed an appeal with APTEL against the said order of GERC and the matter is pending adjudication. The management, based on GERC order, expects favourable outcome in the matter. As per interim order of APTEL, the Company has already received ₹51.75 Crores being 75% of the withheld amount subject to outcome of appeal with APTEL. The Management expects favourable resolution of this matter and is reasonably confident to realise the outstanding dues.

50 The Company has taken various derivatives to hedge its risks associated with foreign currency fluctuations on items including principal loan amount and interest thereof along with interest rate changes. The outstanding position of derivative instruments is as under :

Nature	Purpose	As at 31st March, 2023		As at 31st March, 2022	
		Amount	USD (in Millions)	Amount	USD (in Millions)
Forward covers	Hedging of Trade Credits, Acceptances, Creditors and future coal contracts	1,782.89	216.98	3,083.61	406.85
	Hedging of ECB and interest	503.37	61.26	764.43	100.86
Options	Hedging of ECB and interest	-	-	565.36	74.59
Interest rate swaps	Hedging of interest rate on ECB	-	-	467.70	61.71
		2,286.26		4,881.10	

The details of foreign currency exposures not hedged by derivative instruments are as under :

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Amount	Foreign Currency (In Millions)	Amount	Foreign Currency (In Millions)
1. Import Creditors and Acceptances	625.95	USD 76.18	419.67	USD 55.37
	0.84	GBP 0.08	-	-
	0.52	EUR 0.06	-	-
2. Foreign currency borrowings	847.51	USD 103.14	1,972.70	USD 260.28
3. Interest accrued but not due	16.04	USD 1.95	1.18	USD 0.16
4. Other Receivables	-	-	(3.49)	USD (0.46)
	1,490.86		2,390.06	

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51 Financial Risk Management Objective and Policies :

The Company's risk management activities are subject to the management direction and control under the framework of Risk Management Policy as approved by the Board of Directors of the Company. The Management ensures appropriate risk governance framework for the Company through appropriate policies and procedures and the risks are identified, measured and managed in accordance with the Company's policies and risk objectives. In the ordinary course of business, the Company is exposed to Market risk, Credit risk and Liquidity risk.

(i) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and commodity risk.

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the part of Company's debt obligations with floating interest rates.

The Company manages its interest rate risk by having a mixed portfolio of fixed and variable rate loans and borrowings. To manage this, the Company enters into interest rate swaps, in which it agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed upon notional principal amount.

The sensitivity analysis have been carried out based on the exposure to interest rates for instruments not hedged against interest rate fluctuation at the end of the reporting period. The said analysis has been carried out on the amount of floating rate liabilities outstanding at the end of the reporting period. The year end balances are not necessarily representative of the average debt outstanding during the year. A 50 basis point increase or decrease represents management's assessment of the reasonably possible change in interest rates.

In case of fluctuation in interest rates by 50 basis points on the exposure of borrowings (having fluctuating rates i.e. exposed to changes in rates) of ₹20,735.47 Crores as on 31st March, 2023 and ₹23,494.30 Crores as on 31st March, 2022 respectively and if all other variables were held constant, the Company's profit or loss for the year would increase or decrease as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year	103.68	117.48
Impact on Equity	103.68	97.69

b) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities and borrowings. The Company manages its foreign currency risk by hedging transactions that are expected to realise in future. The Company also enters into various foreign exchange hedging contracts such as forward covers, swaps, options etc. to mitigate the risk arising out of foreign exchange rate movement on foreign currency borrowings or trade payables.

Every one percentage point depreciation / appreciation in the exchange rate between the Indian rupee and U.S.dollar on the unhedged exposure of \$ 56.53 million as on 31st March, 2023 and \$ 87.48 million as on 31st March, 2022 would have affected the Company's profit or loss for the year as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year (net of amounts capitalised under Property, Plant and Equipment)	4.65	6.63
Impact on Equity	4.65	6.62

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All amounts are in ₹ Crores, unless otherwise stated

51 Financial Risk Management Objective and Policies : (Contd.)

c) Commodity price risk

The Company is affected by the price volatility of coal prices, including imported coal, which is moderated by optimising the procurement under fuel supply agreement and getting compensated under long term power purchase agreements. Its operating / trading activities require the on-going purchase for continuous supply of coal and other commodities. Therefore the Company monitors its purchases closely to optimise the procurement cost.

(ii) Credit risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Company is having majority of receivables from State Electricity Boards which are Government undertakings and have interest clause on delayed payments and hence they are secured from credit losses in the future.

The Company has issued financial guarantees to banks on behalf of and in respect of loan facilities availed by its subsidiaries. In accordance with the policy of the Company, the Company has recognised these financial guarantees as liability at fair value (Refer note 22 and 29). Outstanding loans in the subsidiaries against the financial guarantee contracts given by the Company as at 31st March, 2023 is ₹9,477.45 Crores (Previous year ₹7,522.52 Crores).

(iii) Liquidity risk

The Company monitors its risk of shortage of funds using cash flow forecasting models. These models consider the maturity of its financial investments, committed funding and projected cash flows from operations. The Company's objective is to provide financial resources to meet its business objectives in a timely, cost effective and reliable manner and to manage its capital structure. A balance between continuity of funding and flexibility is maintained through internal accruals as well as adequately adjusting the working capital cycle and additional support from promoter Companies on need basis.

Maturity profile of financial liabilities :

The table below has been drawn up based on the undiscounted contractual maturities of the financial liabilities including interest that will be paid on those liabilities upto the maturity of the instruments.

As at 31st March, 2023	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 20 and 26)	32,806.35	10,405.88	22,459.49	13,833.80	46,699.17
Trade Payables	2,387.38	2,387.38	-	-	2,387.38
Derivative Instruments	7.04	7.04	-	-	7.04
Lease liabilities	96.51	15.06	47.28	308.94	371.28
Other Financial Liabilities	1,354.25	1,068.04	121.92	164.29	1,354.25

As at 31st March, 2022	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 20 and 26)	40,395.25	12,426.75	24,847.31	21,593.52	58,867.58
Trade Payables	3,448.56	3,448.56	-	-	3,448.56
Derivative Instruments	15.45	15.45	-	-	15.45
Lease liabilities	101.47	14.09	50.40	319.65	384.14
Other Financial Liabilities	904.92	699.23	60.64	145.05	904.92

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52 Contract balances and Trade Receivables Ageing

(i) Contract balances:

The following table provides information about trade receivables, contract assets and contract liabilities from the contracts with customers.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Trade Receivables (Also refer note 33)	11,380.93	9,490.01
Contract assets relate to the invoices pending to be raised	0.18	264.63
Contract liabilities relate to advance received from customers	32.51	53.15

Set out below is the amount of revenue recognised from:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Amount included in contract liabilities at the beginning of the year	53.15	41.44

Reconciliation of the amount of revenue recognised in the statement of profit and loss with the contracted price:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue as per contracted price (excluding other operating revenue)	36,082.69	27,787.56
Adjustments		
Discount on prompt payment	(78.12)	(102.88)
Discount under Shakti Scheme	(33.54)	(29.78)
Revenue from contract with customers	35,971.03	27,654.90

(ii) Trade Receivable Ageing:

a. Balance as at 31st March, 2023

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,506.75	3,821.67	4,253.37	736.56	115.79	207.69	718.75	11,360.58
Disputed Trade receivable - Considered Good (Refer note 49)	-	-	-	-	20.35	-	-	20.35
Total	1,506.75	3,821.67	4,253.37	736.56	136.14	207.69	718.75	11,380.93

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52 Contract balances and Trade Receivables Ageing (Contd.)

b. Balance as at 31st March, 2022

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,253.40	3,104.91	1,865.69	293.18	1,150.25	614.75	270.42	8,552.60
Disputed Trade receivable - Considered Good (Refer note 48 & 49)	-	85.03	41.62	30.84	34.91	525.74	219.27	937.41
Total	1,253.40	3,189.94	1,907.31	324.02	1,185.16	1,140.49	489.69	9,490.01

- The above ageing has been calculated based on due date as per terms of agreement. In case where due date is not provided, date of transaction is considered.
- Includes ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores) of Customers' bills discounted considered as not due.
- Trade receivable includes certain balances which are under reconciliation / settlement with Discoms for payment / closure.
- Also refer note 3(viii).

53 Capital management :

The Company's objectives when managing capital is to safeguard continuity, maintain a strong credit rating and healthy capital ratios in order to support its business and provide adequate return to shareholders through continuing growth. The Company's overall strategy remains unchanged from previous year.

The Company sets the amount of capital required on the basis of annual business and long-term operating plans which include capital and other strategic investments.

The funding requirements are met through a mixture of equity, unsecured perpetual securities, internal fund generation and other long term borrowings. The Company monitors capital and long term debt on the basis of debt to equity ratio.

The debt equity ratio at the end of the reporting period is as follows :

Particulars	As at 31st March, 2023	As at 31st March, 2022
Debt (Refer note (i) below)	27,231.28	33,376.16
Total Capital (Refer note (ii) below)	28,223.87	18,463.89
Debt Equity Ratio (In times)	0.96	1.81

Notes:

- Debt is defined as Non-current borrowings (including current maturities) and lease liabilities.
- Capital is defined as Equity share capital, Unsecured perpetual securities and other equity including reserves and surplus.

The Company believes that it will be able to meet all its current liabilities and interest obligations in timely manner.

The Company's capital management ensure that it meets financial covenants attached to the interest bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to levy penal interest as per terms of sanction. There have been no breaches in the financial covenants of any interest bearing loans and borrowings in the current year. No changes were made in the objectives, policies or processes for managing capital by the Company.

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for the year ended 31st March, 2023

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54 Fair Value Measurement :

a) The carrying value of financial instruments by categories as of 31st March, 2023 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	193.76	193.76
Bank balances other than cash and cash equivalents	-	-	1,775.32	1,775.32
Investments	-	-	6,373.48	6,373.48
Trade Receivables	-	-	11,380.93	11,380.93
Loans	-	-	1,254.84	1,254.84
Other Financial assets	-	-	513.77	513.77
Total	-	-	21,492.10	21,492.10
Financial Liabilities				
Borrowings	-	-	32,806.35	32,806.35
Trade Payables	-	-	2,387.38	2,387.38
Derivative Instruments	-	7.04	-	7.04
Lease liabilities	-	-	96.51	96.51
Other Financial Liabilities	-	-	1,354.25	1,354.25
Total	-	7.04	36,644.49	36,651.53

b) The carrying value of financial instruments by categories as of 31st March, 2022 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	574.52	574.52
Bank balances other than cash and cash equivalents	-	-	1,859.05	1,859.05
Investments	-	175.01	4,658.49	4,833.50
Trade Receivables	-	-	9,490.01	9,490.01
Loans	-	-	612.72	612.72
Derivative Instruments	-	84.27	-	84.27
Other Financial assets	-	-	581.31	581.31
Total	-	259.28	17,776.10	18,035.38
Financial Liabilities				
Borrowings	-	-	40,395.25	40,395.25
Trade Payables	-	-	3,448.56	3,448.56
Derivative Instruments	-	15.45	-	15.45
Lease liabilities	-	-	101.47	101.47
Other Financial Liabilities	-	-	904.92	904.92
Total	-	15.45	44,850.20	44,865.65

The fair value of financial assets and financial liabilities are reasonably approximate the carrying value, since the Company does not anticipate that the carrying amount would be significantly different from the values that would eventually be received or settled.

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55 Level wise disclosure of fair value for financial instruments requiring fair value measurement/ disclosure :

Particulars	As at 31st March, 2023			
	Level 1	Level 2	Level 3	Total
Assets				
Investment	-	-	-	-
Derivative Instruments	-	-	-	-
Total	-	-	-	-
Liabilities				
Derivative Instruments	-	7.04	-	7.04
Total	-	7.04	-	7.04

Particulars	As at 31st March, 2022			
	Level 1	Level 2	Level 3	Total
Assets				
Investment	-	175.01	-	175.01
Derivative Instruments	-	84.27	-	84.27
Total	-	259.28	-	259.28
Liabilities				
Derivative Instruments	-	15.45	-	15.45
Total	-	15.45	-	15.45

The fair value of the financial assets and financial liabilities included in the level 2 categories above have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties. The most frequently applied valuation techniques include forward pricing and swap models, using present value calculations. The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates, yield curves of the respective currencies, currency basis spreads between the respective currencies, interest rate curves and forward rates curves of the underlying derivative.

There have been no transfers between Level 1 and Level 2 during the year.

56 Payment to auditors (including GST)

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Audit fees (including Audit fees for limited reviews)	3.10	2.84
Fees for certificates and other services	0.43	0.39
Out of Pocket Expenses	0.08	0.04
Total	3.61	3.27

57 As per para 4 of Ind AS 108 "Operating Segments", if a single financial report contains both consolidated financial statements and the separate financial statements of the Parent Company, segment information may be presented on the basis of the consolidated financial statements. Thus, the information related to disclosure of operating segments required under Ind AS 108 "Operating Segments", is given in Consolidated Financial Statements.

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58 (a) Defined Benefit Plan

The Company operates a defined benefit plan (the Gratuity plan) covering eligible employees, which provides a lump sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment.

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
i. Reconciliation of Opening and Closing Balances of Define Benefit Obligation		
Liability at the beginning of the year	81.78	3.78
Add : Changes on account of amalgamation (Refer note 64)		61.48
Current Service Cost	9.77	7.87
Interest Cost	5.45	4.37
Liability Transferred in / out	(3.82)	(1.41)
Benefits paid	(5.60)	(4.73)
Re-measurement (or Actuarial) (gain) / loss arising from:		
change in demographic assumptions	1.76	(5.23)
change in financial assumptions	(4.51)	14.09
experience variance (i.e. Actual experience vs assumptions)	6.30	1.56
Present Value of Defined Benefits Obligation at the end of the year	91.13	81.78
ii. Reconciliation of Opening and Closing Balances of the Fair value of Plan Assets		
Fair Value of Plan assets at the beginning of the year	20.96	17.16
Add : Changes on account of amalgamation (Refer note 64)		4.85
Investment Income	1.44	1.47
Benefits paid	(2.58)	(2.22)
Return on plan assets , excluding amount recognised in net interest expense	(0.62)	(0.30)
Actuarial gain / (loss) on plan assets	-	-
Fair Value of Plan assets at the end of the year	19.20	20.96
iii. Reconciliation of the Present value of defined benefit obligation and Fair value of plan assets		
Present Value of Defined Benefit Obligations at the end of the year	91.13	81.78
Fair Value of Plan assets at the end of the year	19.20	20.96
Net (Liability) / Asset recognized in balance sheet as at the end of the year	(71.93)	(60.82)
iv. Composition of Plan Assets		
Plan assets for the Company are administered by Life Insurance Corporation of India.		
v. Gratuity Cost for the year		
Current service cost	9.77	7.87
Interest cost	5.45	4.37
Expected return on plan assets	(1.44)	(1.47)
Net Gratuity cost recognised in the statement of Profit and Loss	13.78	10.77

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58 (Contd.)

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
vi. Other Comprehensive Income		
Actuarial (gains) / losses		
Change in demographic assumptions	1.76	(5.23)
Change in financial assumptions	(4.51)	14.09
Experience variance (i.e. Actual experience vs assumptions)	6.30	1.56
Return on plan assets, excluding amount recognised in net interest expense	0.62	0.30
Re-measurement loss arising for change in effect of asset ceiling	-	-
Less: capitalised		-
Components of defined benefit costs recognised in other comprehensive income	4.17	10.72

vii. Actuarial Assumptions

	As at 31st March, 2023	As at 31st March, 2022
Discount Rate (per annum)	7.50%	6.90%
Expected annual Increase in Salary Cost	10.00%	10.00%
Attrition / Withdrawal rate (per annum)	7.49%	7.87%
Mortality Rates as given under Indian Assured Lives Mortality (2012-14) Ultimate Retirement Age 58 Years.		

viii. Sensitivity Analysis

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate, expected salary increase and mortality. The sensitivity analysis below have been determined based on reasonably possible changes of the assumptions occurring at the end of the reporting period, while holding all other assumptions constant. The results of sensitivity analysis is given below:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Defined Benefit Obligation (Base)	91.13	81.78

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Decrease	Increase	Decrease	Increase
Discount Rate (- / + 1%)	8.71	7.54	7.35	6.38
Salary Growth Rate (- / + 1%)	7.44	8.41	6.26	7.06
Attrition Rate (- / + 50%)	5.25	3.59	6.62	4.15
Mortality Rate (- / + 10%)	0.03	0.04	0.03	0.04

ix. Asset Liability Matching Strategies

The Company has funded benefit plan and have purchased insurance policy, which is basically a year-on-year cash accumulation plan in which the interest rate is declared on yearly basis and is guaranteed for a period of one year. The insurance Company, as part of the policy rules, makes payment of all gratuity

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

58 (Contd.)

outgoes happening during the year (subject to sufficiency of funds under the policy). The policy thus, mitigates the liquidity risk. However, being a cash accumulation plan, the duration of assets is shorter compared to the duration of liabilities. Thus, the Company is exposed to movement in interest rate, which can result in a increase in liability without corresponding increase in the funded asset wherever applicable.

x. Effect of Plan on Entity's Future Cash Flows

a) Funding arrangements and Funding Policy

The Company have purchased an insurance policies to provide for payment of gratuity to the employees. Every year, the insurance company carries out a funding valuation based on the latest employee data provided by these Companies. Any deficit in the assets arising as a result of such valuation is funded by these Companies.

b) Expected Contribution during the next annual reporting period

The best estimate of contribution during the next year is ₹9.55 Crores..

c) Maturity Profile of Defined Benefit Obligation

Weighted average duration (based on discounted cash flows) - 9 years

Expected cash flows in future (valued on undiscounted basis):	Amount
1 year	11.36
2 to 5 years	28.09
6 to 10 years	40.26
More than 10 years	129.18

xi. The Company has defined benefit plans for Gratuity to eligible employees. The contributions for which are made to Life Insurance Corporation of India who invests the funds as per Insurance Regulatory Development Authority guidelines.

The discount rate is based on the prevailing market yields of Government of India securities as at the balance sheet date for the estimated term of the obligations.

The expected contributions for Defined Benefit Plan for the next financial year will be in line with FY 2022-23.

The actuarial liability for compensated absences as at the year ended 31st March, 2023 is ₹47.64 Crores (As at 31st March, 2022 ₹45.06 Crores).

(b) Defined Contribution Plan

Contribution to Defined Contribution Plans, recognised in Statement of Profit and Loss, for the year is as under :

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Employer's Contribution to Provident Fund	22.04	19.61
Employer's Contribution to Superannuation Fund	0.14	0.16
Total	22.18	19.77

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

59 Corporate Social Responsibility

As per section 135 of the Companies Act, 2013, a Corporate Social Responsibility (CSR) committee has been formed by the Company. The funds are utilized on the activities which are specified in Schedule VII of the Companies Act, 2013. The utilisation is done by way of contribution towards various activities.

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(i) Amount required to be spent by the company during the year	14.73	27.48
(ii) Amount of expenditure incurred	16.73	27.83
(iii) Shortfall / (Excess) at the end of the year	(3.62)	(1.62)
(iv) Total of previous years' shortfall / (Surplus)	(1.62)	(1.27)
(v) Nature of CSR activities - During the current year, the Company has spent ₹16.70 Crores (Previous year - ₹26.56 Crores) to Adani Foundation for various CSR activities and balance amount was spent on construction, Medical care and development of local area.		

60 The details of loans and advances of the Company outstanding at the end of the year, in terms of regulation 53 (F) read together with para A of Schedule V of SEBI (Listing Obligation and Disclosure Regulation, 2015).

Name of the Company and Relationship	Outstanding amount		Maximum amount outstanding during the year	
	As at 31st March, 2023	As at 31st March, 2022	As at 31st March, 2023	As at 31st March, 2022
Pench Thermal Energy (MP) Limited (Subsidiary)	13.91	8.89	13.91	8.89
Mahan Energen Limited (Subsidiary) (Formerly known as Essar Power MP Limited)	715.20	600.57	876.07	600.57
Adani Power Dahej Limited (Subsidiary)	2.82	0.44	2.82	0.44
Adani Power Resources Limited (Subsidiary)	0.01	0.01	0.01	0.01
Kutchh Power Generation Limited (Subsidiary)	0.65	0.08	125.08	31.11
Adani Infra (India) Limited (Entities on which Ultimate controlling entity or one or more Key Management Personnel ("KMP") have a significant influence / control)	-	-	-	42.76
Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) (Subsidiary)	355.56	-	355.56	-
Mahan Fuel Management Limited (Subsidiary)	0.51	-	0.51	-
Resurgent Fuel Management Limited (Subsidiary)	163.12	-	163.12	-
Support Properties Private Limited (Subsidiary)*	-	-	485.53	-
	1,251.78	609.99	2,022.61	683.78

* Ceased to be subsidiary w.e.f 22nd March, 2023

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 61** Based on the information available with the Company, there is no transaction with struck off companies except as follows :

Name of the struck off company	Nature of transaction	As at 31st March, 2023	As at 31st March, 2022
Pyrotech Electronics Private Limited	Payables	0.01	0.01
Advance Valves Private Limited	Payables	0.02	0.02
Agaria Fabritech And Engg Private Limited	Payables	0.09	-

Further, there are certain companies as follow who are holding equity shares of the company. Total shares held by these companies are 39,855 numbers (Previous year - 537 numbers).

Name of struck off companies as at 31st March, 2023	Name of struck off companies as at 31st March, 2022
1. Dreams Broking Private Limited	1. Om Buildmart Private Limited
2. Unique Consulting and Trading Private Limited	2. Hardik Realmart Private Limited
3. Azure Finance Private Limited	
4. New Wave Consultancy Services Private Limited	
5. Shankar Suitings Private Limited	
6. Microtronics Tech Solutions Private Limited	
7. Fairtrade Securities Limited	
8. Allied Commodities Private Limited	
9. Arvind Securities Private Limited	
10. Kothari Intergroup Limited	
11. Growth Consolidated Investment Services Private Limited	
12. Salasar Securities Private Limited	
13. Zenith Insurance Services Private Limited	
14. Advait Finstock Private Limited	
15. Jagat Trading Enterprises Limited	
16. Vitalink Wealth Advisory Services Private Limited	
17. Shiv Products Private Limited	
18. Om Buildmart Private Limited	

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 62** During the financial year 2019-20, the erstwhile wholly owned subsidiary of the Company, Raipur Energen Limited (now amalgamated with the Company), had issued 4,15,86,207 nos. of 0.01% Compulsory Redeemable Preference shares (CRPS) of ₹100/- each amounting to ₹415.86 Crores. On account of amalgamation, the Company cancelled the CRPS and issued fresh CRPS on the same terms. The instrument is redeemable in 3 equal installments by 30th June, 2038. During the current year, dividend of ₹0.11 Crores for the period upto 31st March, 2022 has been paid. Further, the Board of Directors of the Company has proposed dividend of ₹0.04 Crores for the Financial Year 2022-23 which is subject to approval of the shareholders.

Considering CRPS as compound financial instrument, these are accounted for as liability of ₹71.37 Crores and other equity (under capital reserve) of ₹344.49 Crores on initial recognition. Interest on liability component is accounted for as interest expense, using the effective interest method.

- 63** During the financial year 2021-22, the erstwhile wholly owned subsidiary of the Company, Adani Power (Mundra) Limited (now amalgamated with the Company), had issued 5,00,00,000 nos. of upto 5% Non-cumulative Compulsory Redeemable Preference Shares ("NCRPS") of ₹100 each amounting to ₹500 Crores and called ₹60 per share till the reporting date amounting to ₹300 Crores and balance to be called at discretion of the issuer. On account of amalgamation, the Company cancelled the NCRPS and issued fresh NCRPS on the same terms.

The instrument is redeemable at any time at the option of the Issuer but not later than 20 years from the date of issue. These NCRPS are separated into liability of ₹53.45 Crores and equity components of ₹246.55 Crores considering the instrument as compound financial instrument. Interest on liability component is recognised as interest expense using the effective interest method.

- 64** **Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company:**

The Ahmedabad Bench of the National Company Law Tribunal ('NCLT') vide its order dated 8th February, 2023, have approved the Scheme of Amalgamation (the "Scheme") of wholly owned subsidiaries of the Company, viz, APML ("Tiroda TPP"), APRL ("Kawai TPP"), APMuL ("Mundra TPP"), UPCL ("Udupi TPP"), REL ("Raipur TPP") and REGL ("Raigarh TPP") with the Company with appointed date of 1st October, 2021, under section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the rules framed thereunder. The said Scheme has been effective from 7th March, 2023, on compliance of all the conditions precedent mentioned therein. Consequently, above mentioned wholly owned subsidiaries of the Company got amalgamated with the Company w.e.f. 1st October, 2021. Since the amalgamated entities are under common control, the accounting of the said amalgamation has been done applying Pooling of Interest method as prescribed in Appendix C of Ind AS 103 'Business Combinations' w.e.f the first day of the earliest period presented i.e. 1st April, 2021. While applying Pooling of Interest method, the Company has recorded all assets, liabilities and reserves attributable to the wholly owned subsidiary (ies) at their carrying values as appearing in the consolidated financial statements of the Company as per guidance given in ITFG Bulletin 9.

Further, pursuant to the Scheme of Amalgamation, the authorised share capital of the Company has been increased to ₹28,000.00 Crores (Previous Year - ₹5,000.00 Crores).

The previous year figures of Balance Sheet, Statement of Profit and Loss (including Other Comprehensive Income) and Statement of Cash Flows have been restated considering that the amalgamation has taken place from the first day of the earliest period presented i.e., 1st April, 2021 as required under Appendix C of Ind AS 103. Below is the summary of restatement of previous year figures:

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated balance sheet as at 31st March, 2022

Particulars	As at 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	As at 31st March, 2022 (Restated)
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	511.78	48,628.01	49,139.79
(b) Capital Work-In-Progress	-	184.30	184.30
(c) Goodwill	-	190.61	190.61
(d) Other Intangible Assets	-	11.88	11.88
(e) Financial Assets			
(i) Investments	20,901.00	(16,242.51)	4,658.49
(ii) Loans	7,679.68	(7,070.14)	609.54
(iii) Other Financial Assets	150.00	632.09	782.09
(f) Other Non-current Assets	24.17	615.40	639.57
Total Non-current Assets	29,266.63	26,949.64	56,216.27
Current Assets			
(a) Inventories	1.33	2,206.74	2,208.07
(b) Financial Assets			
(i) Investments	-	175.01	175.01
(ii) Trade Receivables	103.26	9,386.75	9,490.01
(iii) Cash and Cash Equivalents	11.27	563.25	574.52
(iv) Bank balances other than (iii) above	242.82	1,197.61	1,440.43
(v) Loans	4.36	(1.18)	3.18
(vi) Other Financial Assets	121.34	180.77	302.11
(c) Other Current Assets	15.79	1,340.79	1,356.58
Total Current Assets	500.17	15,049.74	15,549.91
Total Assets	29,766.80	41,999.38	71,766.18
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	3,856.94	-	3,856.94
(b) Unsecured Perpetual Securities	9,615.00	3,600.00	13,215.00
(c) Other Equity	3,465.35	(2,073.40)	1,391.95
Total Equity	16,937.29	1,526.60	18,463.89
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	389.62	30,072.83	30,462.45
(ia) Lease Liabilities	-	93.49	93.49
(ii) Other Financial Liabilities	414.83	(209.14)	205.69
(b) Provisions	2.04	130.34	132.38
(c) Deferred Tax Liabilities (Net)	-	2,303.87	2,303.87
(d) Other Non-current Liabilities	-	4,487.21	4,487.21
Total Non-current Liabilities	806.49	36,878.60	37,685.09
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	11,759.66	(1,826.86)	9,932.80
(ia) Lease Liabilities	-	7.98	7.98
(ii) Trade Payables			
- total outstanding dues of micro enterprises and small enterprises	2.47	50.46	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises	17.50	3,378.13	3,395.63
(iii) Other Financial Liabilities	179.61	535.07	714.68
(b) Other Current Liabilities	62.53	792.39	854.92
(c) Provisions	1.25	11.69	12.94
(d) Current Tax Liabilities (Net)	-	645.32	645.32
Total Current Liabilities	12,023.02	3,594.18	15,617.20
Total Liabilities	12,829.51	40,472.78	53,302.29
Total Equity and Liabilities	29,766.80	41,999.38	71,766.18

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated statement of profit and loss for the year ended 31 March 2022

Particulars	For the year ended 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	For the year ended 31st March, 2022 (Restated)
Income			
Revenue from Operations	581.32	27,129.86	27,711.18
Other Income	487.21	3,581.11	4,068.32
Total Income	1,068.53	30,710.97	31,779.50
Expenses			
Fuel Cost	1.08	14,761.13	14,762.21
Purchase of Stock-in-trade / Power for resale	479.73	65.83	545.56
Transmission Charges	-	642.77	642.77
Employee Benefits Expense	33.94	436.27	470.21
Finance Costs	684.44	3,402.48	4,086.92
Depreciation and Amortisation Expense	30.27	3,085.94	3,116.21
Other Expenses	21.28	1,432.46	1,453.74
Total Expenses	1,250.74	23,826.88	25,077.62
Profit before tax and Deferred tax recoverable from future tariff	(182.21)	6,884.09	6,701.88
Tax Expense			
Current Tax	-	768.33	768.33
Tax (credit) adjusted relating to earlier years	0.02	(0.13)	(0.11)
Deferred Tax charge	-	976.57	976.57
Total Tax Expense	0.02	1,744.77	1,744.79
Add : Deferred tax recoverable from future tariff (net of tax)	-	79.25	79.25
Profit for the year	(182.23)	5,218.57	5,036.34
Other Comprehensive Income			
Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plans	(2.94)	(7.78)	(10.72)
Income tax impact	-	0.78	0.78
Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")	26.94	-	26.94
Income tax impact	-	-	-
Other comprehensive Income that will not be reclassified to profit or loss in subsequent periods	24.00	(7.00)	17.00
Total Comprehensive Income for the year, net of tax	(158.23)	5,211.57	5,053.34

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated statement of Cash Flows for the year ended 31st March, 2022

Particulars	For the year ended 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	For the year ended 31st March, 2022 (Restated)
Net cash flows from / (used in) operating activities (A)	(0.15)	10,263.83	10,263.68
Net cash flows from / (used in) investing activities (B)	(5,192.04)	6,578.13	1,386.09
Net cash flows from / (used in) financing activities (C)	5,199.62	(16,381.89)	(11,182.27)

Statement of Reserve Reconciliation on Amalgamation of wholly owned subsidiary companies as at 1st April, 2021

Particulars	Security Premium	Retained Earnings	Capital Reserve	Equity Component of liability	Total
APML	1,345.53	2,685.55	-	-	4,031.08
APRL	-	335.30	-	-	335.30
UPCL	-	143.86	-	-	143.86
APMuL	3,273.56	(14,353.96)	(106.00)	-	(11,186.40)
REGL	-	(3,396.50)	2,526.59	1,019.29	149.38
REL	644.28	(10,308.79)	-	3,964.90	(5,699.61)
Total (a)	5,263.37	(24,894.54)	2,420.59	4,984.19	(12,226.39)

Elimination / Adjustments between the Company and WOS

APML	(1,345.53)	(16.28)	-	-	(1,361.81)
UPCL	-	300.02	-	-	300.02
REGL	-	2,869.08	(2,030.77)	(1,019.29)	(180.98)
REL	(644.28)	10,061.14	533.78	(3,964.90)	5,985.74
APMuL	-	(48.10)	-	-	(48.10)
Total (b)	(1,989.81)	13,165.86	(1,496.99)	(4,984.19)	4,694.87
Total (a+b)	3,273.56	(11,728.68)	923.60	-	(7,531.52)

Note : All the disclosures for the comparative period for the / as at year ended 31st March, 2022 from note 41 to 75 have restated on account of scheme of amalgamation.

Notes to Standalone Financial Statements

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All amounts are in ₹ Crores, unless otherwise stated

65 Consequent to the amalgamation of the wholly owned subsidiaries into the Company with effect from appointed date 1st October, 2021, the current tax and deferred tax expenses for the year ended 31st March 2022 and for nine months ended 31st December 2022 as recognised in the books by the Company and merged subsidiaries, has been reassessed based on the special purpose financial statement of respective subsidiary company (ies) and the Company, respectively to give tax (credit) effect mainly on account of utilisation of carry forward tax losses and unabsorbed depreciation under the Income tax Act, 1961. Accordingly, tax expenses for the year ended 31 March 2023 of the Company include one-time deferred tax credit of ₹2,303.87 Crores and reversal of current tax provision of ₹768.33 Crores respectively.

During the year ended 31st March, 2023, Udupi TPP (erstwhile wholly owned subsidiary, Udupi Power Corporation Limited) has reassessed the deferred tax recoverable recognised since earlier years based on CERC tariff norms, as amount recoverable from beneficiaries. Based on such reassessment, the Company has fully reversed the recoverable amount of ₹215.43 Crores during the year ended 31st March, 2023 and corresponding deferred tax liabilities is also reversed.

66 No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries). Further, No funds have been received by the Company from any parties (Funding Parties) with the understanding that the Company shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the funding party or provide any guarantee, security or the like on behalf thereof.

67 During the year ended 31st March, 2023, a short seller report was published in which certain allegations were made involving Adani Group Companies, including the Company and its subsidiaries. A writ petition was filed in the matter with the Hon'ble Supreme Court ("SC"), and during hearing the Securities and Exchange Board of India ("SEBI") has represented to the SC that it is investigating the allegations made in the short seller report for any violations of the various SEBI Regulations. The SC in terms of its order dated 2nd March, 2023 has also constituted an expert committee to investigate and also advice into the various aspect of existing laws and regulations, and also directed the SEBI to consider certain additional aspects in its scope. During the year ended 31st March, 2023 and subsequent to year end, the Company has also provided responses to various queries by the SEBI and the Stock Exchanges. The above-mentioned investigations are in progress as of date.

To uphold the principles of good governance, the Adani Group has undertaken review of transactions referred in the short seller's report (including those pertaining to the Company and its subsidiaries) and obtained opinions from independent law firms in respect of evaluating relationships with parties having transaction with the Company and its subsidiaries. These opinions also confirm that the Company and its subsidiaries are in compliance with the requirements of applicable laws and regulations. Based on the foregoing and pending outcome of the investigations as mentioned above, the financial statements do not carry any adjustments.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions

a. List of related parties and relationship

Description of relationship	Name of Related Parties
Controlling Entity (through direct and indirect control)	S. B. Adani Family Trust (SBAFT)
Subsidiaries	Mahan Energen Limited (Formerly known as Essar Power MP Limited) (w.e.f 16th March, 2022)
	Adani Power (Jharkhand) Limited
	Adani Power Dahej Limited
	Pench Thermal Energy (MP) Limited
	Kutchh Power Generation Limited
	Adani Power Resources Limited
	Mahan Fuel Management Limited (w.e.f 28th February, 2022)
	Alcedo Infra Park Limited (w.e.f 2nd March, 2022)
	Chandenvalle Infra Park Limited (w.e.f 24th February, 2022)
	Emberiza Infra Park Limited (w.e.f 3rd March, 2022)
	Resurgent Fuel Management Limited (w.e.f 20th April, 2022)
	Support Properties Private Limited (w.e.f. 7th June, 2022 and upto 21st March, 2023)
	Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) (w.e.f. 7th June, 2022)
	Aviceda Infra Park Limited (w.e.f. 5th September, 2022)
Entities on which Controlling Entity or one or more Key Management Personnel ("KMP") have a significant influence / control	ACC Limited (w.e.f. 16th September, 2022)
	Adani Ahmedabad International Airport Limited
	Adani Australia Pty Limited
	Adani Bunkering Private Limited
	Adani Cement Industries Limited
	Adani Cementation Limited
	Adani Connex Private Limited
	Adani Digital Labs Private Limited
	Adani Electricity Mumbai Infra Limited
	Adani Electricity Mumbai Limited
	Adani Enterprises Limited
	Adani Estate Management Private Limited
	Adani Foundation
	Adani Global DMCC
	Adani Global FZE
	Adani Global PTE Limited
	Adani Green Energy Twenty Four C Limited

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Adani Green Energy (Tamilnadu) Limited
	Adani Green Energy (UP) Limited
	Adani Green Energy Limited
	Adani Hazira Port Limited
	Adani Hospitals Mundra Private Limited
	Adani Infra (India) Limited
	Adani Infrastructure Management Services Limited
	Adani Institute For Education and Research
	Adani Institute of Infrastructure Management
	Adani Kandla Bulk Terminal Private Limited
	Adani Krishnapatnam Port Limited
	Adani Logistics Limited
	Adani Petrochemicals Limited
	Adani Petronet (Dahej) Port Limited
	Adani Ports and Special Economic Zone Limited
	Adani Properties Private Limited
	Adani Rail Infra Private Limited
	Adani Resources Private Limited
	Adani Road Transport Limited
	Adani Shipping (India) Private Limited
	Adani Skill Development Centre
	Adani Solar Energy Four Private Limited
	Adani Solar Energy Kutchh Two Private Limited
	Adani Sportsline Private Limited
	Adani Total Gas Limited
	Adani Tracks Management Services Private Limited (Formerly known as Sarguja Rail Corridor Private Limited)
	Adani Transmission (India) Limited
	Adani Water Limited
	Adani Wilmar Limited
	Ambuja Cements Limited
	Barmer Power Transmission Service Limited
	Belvedere Golf and Country Club Private Limited
	Bikaner-Khetri Transmission Limited
	Adani Gangavaram Port Private Limited (Formerly known as Gangavaram Port Limited)
	Jamkhambaliya Transco Ltd
	Jash Energy Private Limited

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Kamuthi Solar Power Limited
	Karnavati Aviation Private Limited
	Kutch Copper Limited
	Lakadia Banaskantha Transco Limited
	Lucknow International Airport Limited
	Maharashtra Eastern Grid Power Transmission Company Limited
	Mangaluru International Airport Limited
	MPSEZ Utilities Limited
	Mundra Petrochem Limited
	Mundra Solar Energy Limited
	Mundra Solar PV Limited
	Mundra Solar Technology Limited
	Mundra Windtech Limited
	Parsa Kente Collieries Limited
	Prayatna Developers Private Limited
	Ramnad Solar Power Limited
	TN Urja Private Limited
	Vishakha Renewables Private Limited
	Wardha Solar (Maharashtra) Private Limited
	Wind One Renergy Limited
	WRSS XXI (A) Transco Limited
Key Management Personnel	Mr. Gautam S. Adani, Chairman
	Mr. Rajesh S. Adani, Director
	Mr. Anil Sardana, Managing Director
	Mr. S. B. Khyalia, Chief Executive Officer (w.e.f. 11th January, 2022)
	Mr. Shailesh Sawa, Chief Financial Officer
	Mr. Deepak S Pandya, Company Secretary
	Mr. Mukesh Shah, Non-Executive Director
	Mr. Raminder Singh Gujral, Non-Executive Director (up to 11th November, 2022)
	Ms. Gauri Trivedi, Non-Executive Director (up to 11th November, 2022)
	Mr. Sushil Kumar Roongta, Non-Executive Director (w.e.f 11th November, 2022)
	Mrs. Chandra Iyengar, Non-Executive Director (w.e.f 11th November, 2022)

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

b. Related party transactions are as follows:

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Borrowing Taken (Refer Note (ii) below)	57.38	6,051.19	-	138.30	2,184.89	-
Adani Infra (India) Limited	-	3,046.71	-	-	583.73	-
Adani Infrastructure Management Services Limited	-	1,916.81	-	-	1,051.87	-
Adani Properties Private Limited	-	69.61	-	-	534.43	-
Adani Rail Infra Private, Limited	-	1,018.05	-	-	14.86	-
Others	57.38	0.01	-	138.30	-	-
Borrowing Repaid Back	57.38	4,812.33	-	138.30	2,640.58	-
Adani Infra (India) Limited	-	2,890.24	-	-	1,209.04	-
Adani Infrastructure Management Services Limited	-	1,637.09	-	-	175.55	-
Adani Bunkering Private, Limited	-	-	-	-	285.99	-
Adani Properties Private Limited	-	-	-	-	970.00	-
Others	57.38	285.00	-	138.30	-	-
Interest Expense on Loan	2.12	544.55	-	0.63	447.26	-
Adani Infra (India) Limited	-	315.80	-	-	214.28	-
Adani Infrastructure Management Services Limited	-	132.64	-	-	85.84	-
Adani Properties Private Limited	-	69.67	-	-	99.67	-
Others	2.12	26.44	-	0.63	47.47	-
Interest Expense Others	-	23.02	-	-	21.23	-
Adani Ports & SEZ Limited	-	20.25	-	-	21.23	-
Adani Enterprises Limited	-	2.77	-	-	-	-
Loan Given	1,490.80	-	-	750.00	54.70	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	355.56	-	-	-	-	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Kutchh Power Generation Limited	125.57	-	-	144.44	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	275.50	-	-	600.57	-	-
Resurgent Fuel Management Limited	168.47	-	-	-	-	-
Support Properties Private Limited	546.90	-	-	-	-	-
Others	18.80	-	-	4.99	54.70	-
Loan received back	849.00	-	-	144.36	54.70	-
Kutchh Power Generation Limited	125.00	-	-	144.36	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	160.87	-	-	-	-	-
Support Properties Private Limited	546.90	-	-	-	-	-
Adani Infra (India) Limited	-	-	-	-	54.70	-
Others	16.23	-	-	-	-	-
Interest Income	231.23	1.99	-	75.45	0.39	-
Adani Power (Jharkhand) Limited	173.79	-	-	73.65	-	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	24.55	-	-	-	-	-
Others	32.89	1.99	-	1.80	0.39	-
Sale of goods (including power and trading goods)	356.75	6,182.02	-	-	4,103.91	-
Adani Enterprises Limited	-	5,966.71	-	-	3,928.01	-
Others	356.75	215.31	-	-	175.90	-
Purchase of Goods / Power	0.04	836.10	-	-	718.85	-
Adani Enterprises Limited	-	122.93	-	-	470.60	-
Adani Global Pte Limited	-	617.75	-	-	114.33	-
Parsa Kante Collieries Limited	-	90.33	-	-	133.57	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Others	0.04	5.09	-	-	0.35	-
Sale of Assets	0.20	0.03	-	-	0.75	-
Adani Power (Jharkhand) Limited	0.20	-	-	-	-	-
Jamkhambaliya Transco Limited	-	-	-	-	0.75	-
Others	-	0.03	-	-	-	-
Rendering of Service	1.29	14.18	-	-	2.79	-
Kutch Copper Limited	-	0.55	-	-	0.32	-
Adani Infrastructure Management Services Limited	-	10.02	-	-	-	-
Mundra Solar PV Limited	-	1.63	-	-	1.51	-
Others	1.29	1.98	-	-	0.96	-
Receiving of Services	-	810.52	-	-	723.68	-
Adani Infrastructure Management Services Limited	-	453.81	-	-	426.54	-
Adani Ports & SEZ Limited	-	253.50	-	-	265.32	-
Others	-	103.21	-	-	31.82	-
Deposit Received	-	1,250.00	-	-	-	-
Adani Connex Private Limited	-	1,250.00	-	-	-	-
Deposit Refunded	-	1,000.00	-	-	-	-
Adani Connex Private Limited	-	1,000.00	-	-	-	-
Deposit Given	-	28.85	-	-	1.30	-
MPSEZ Utilities Limited	-	28.85	-	-	-	-
Adani Logistics Limited	-	-	-	-	1.30	-
Deposit Received Back	-	28.85	-	-	-	-
MPSEZ Utilities Limited	-	28.85	-	-	-	-
Issue of Unsecured Perpetual Securities	-	-	-	-	600.00	-
Adani Infra (India) Limited	-	-	-	-	600.00	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Distribution to holder of Unsecured Perpetual Securities	-	661.17	-	-	589.83	-
Adani Infra (India) Limited	-	264.00	-	-	-	-
Adani Rail Infra Private Limited	-	397.17	-	-	589.83	-
Sale of CCPS	-	-	-	-	815.40	-
Adani Logistics Limited	-	-	-	-	815.40	-
Investment in Optionally Convertible Debenture	1,025.90	-	-	1,362.26	-	-
Adani Power (Jharkhand) Limited	737.20	-	-	1,243.56	-	-
Aviceda Infra Park Limited	164.13	-	-	-	-	-
Others	124.57	-	-	118.70	-	-
Investment in equity shares of Subsidiary	0.02	-	-	1.04	-	-
Aviceda Infra Park Limited	0.01	-	-	-	-	-
Resurgent Fuel Management Limited	0.01	-	-	-	-	-
Mahan Energen Limited	-	-	-	1.00	-	-
Others	-	-	-	0.04	-	-
Sale of Investment in Subsidiary	-	988.97	-	0.01	-	-
Adani Power Dahej Limited	-	-	-	0.01	-	-
Adani Connex Private Limited	-	988.97	-	-	-	-
Redemption of Debentures	2.10	-	-	-	-	-
Alcedo Infra Park Limited	2.10	-	-	-	-	-
Corporate social responsibility contribution	-	16.70	-	-	26.56	-
Adani Foundation	-	16.70	-	-	26.56	-
Financial Guarantee given	-	-	-	1,900.00	-	-
Mahan Energen Limited	-	-	-	1,900.00	-	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Director sitting fees	-	-	0.46	-	-	0.40
Mr. Mukesh Shah	-	-	0.17	-	-	0.16
Ms. Gauri Trivedi	-	-	0.11	-	-	0.13
Mr. Raminder Singh Gujral	-	-	0.07	-	-	0.11
Mrs. Chandra Iyengar	-	-	0.05	-	-	-
Mr. Sushil Kumar Roongta	-	-	0.06	-	-	-
Post-employment benefits	-	-	0.33	-	-	0.28
Mr. S. B. Khyalia, CEO	-	-	0.06	-	-	0.01
Mr. Deepak Pandya, CS	-	-	0.05	-	-	0.05
Mr. Shailesh Sawa CFO	-	-	0.22	-	-	0.22
Short-term benefits	-	-	8.31	-	-	5.19
Mr. S. B. Khyalia, CEO	-	-	3.53	-	-	0.74
Mr. Deepak Pandya, CS	-	-	0.52	-	-	0.47
Mr. Shailesh Sawa CFO	-	-	4.26	-	-	3.98

c. Related party balances are as follows:

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Borrowings (Refer Note (ii) below)	-	6,790.12	-	5,709.39
Adani Infra (India) Limited	-	2,834.76	-	2,678.29
Adani Infrastructure Management Services Limited	-	2,081.09	-	1,801.37
Adani Properties Private Limited	-	940.54	-	870.93
Adani Rail Infra Private Limited	-	933.73	-	200.68
Others*	-	-	-	158.12

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Interest Payable	-	2.77	-	-
Adani Enterprises Limited	-	2.77	-	-
Loans given	1,251.78	-	609.98	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	355.56	-	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	715.21	-	600.57	-
Resurgent Fuel Management Limited	163.12	-	-	-
Others	17.89	-	9.41	-
Interest Receivables	-	1.99	-	-
ACC Limited	-	1.99	-	-
Trade and other receivables	168.61	386.29	0.05	264.92
Adani Enterprises Limited	-	337.78	-	242.32
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	159.66	-	0.05	-
Others	8.95	48.51	-	22.60
Trade and Other Payables	5.11	647.33	0.06	1,067.75
Adani Global PTE Limited	-	86.10	-	432.20
Adani Infrastructure Management Services Limited	-	164.03	-	190.82
Adani Ports & SEZ Limited	-	314.15	-	322.03
Others	5.11	83.05	0.06	122.70
Security Deposit and Advances given	-	10.31	-	41.80
Adani Enterprises Limited	-	8.01	-	30.21
Adani Logistics Limited	-	1.30	-	1.30
Adani Transmission (India) Limited	-	-	-	8.50
Others	-	1.00	-	1.79
Security Deposit and Advances taken	-	250.01	-	-
Adani Connex Private Limited	-	250.00	-	-
Others	-	0.01	-	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Optionally Convertible Debentures	2,153.37	-	1,166.38	-
Adani Power (Jharkhand) Limited	1,816.61	-	1,120.36	-
Others	336.76	-	46.02	-
Unsecured Perpetual Securities (Issued)	-	13,215.00	-	13,215.00
Adani Infra (India) Limited	-	3,715.00	-	3,715.00
Adani Properties Private Limited	-	3,600.00	-	3,600.00
Adani Rail Infra Private Limited	-	5,900.00	-	5,900.00
Financial Guarantee given on behalf of Subsidiary	11,975.42	-	11,975.42	-
Adani Power (Jharkhand) Limited	10,075.42	-	10,075.42	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	1,900.00	-	1,900.00	-
Corporate Guarantee received	-	1,500.00	-	1,500.00
Adani Enterprises Limited	-	1,500.00	-	1,500.00

* loan waived off (refer note 20(4))

Notes:

- The amount outstanding are unsecured and will be settled in cash or Kind.
- Borrowings includes Interest accrued of ₹436.64 Crores (Previous year ₹372.41 Crores) added to borrowings as on reporting date as agreed as per contractual terms.
- Refer note 5 in respect of details relating security provided on behalf of subsidiaries of the Company.
- Material related party transactions and closing balances are disclosed separately.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
i) Current Ratio :					
Current Assets (a)		17,198.13	15,549.91		Not applicable
Current Liabilities (b)		14,580.10	15,279.55		
Current Ratio (a/b)	Times	1.18	1.02	15.91%	
Numerator - Total Current Assets					
Denominator - Total Current Liabilities (Excluding Deferred Government Grant and Financial guarantee obligation)					
ii) Debt-Equity Ratio:					
Non current debt (a)		27,231.28	33,376.16		Mainly due to prepayment of loans and increase in shareholders' equity on account of profit for the year.
Shareholders' Equity (b)		28,223.87	18,463.89		
Debt - Equity Ratio (a/b)	Times	0.96	1.81	(46.62%)	
Numerator - Total non current borrowings including current maturity + lease liabilities					
Denominator - Total Equity					
iii) Debt Service coverage Ratio :					
Earnings available for Debt service (a)		13,866.46	11,765.30		Mainly due to part pre-payment of borrowing
Debt Service (b)		9,187.18	5,480.18		
Debt Service coverage Ratio (a/b)	Times	1.51	2.15	(29.70%)	
Numerator -Net Profit after taxes + Depreciation and Amortisation Expenses + Unrealised Foreign Exchange Fluctuation loss (net) + Interest on non current borrowings + Loss on Property, Plant and Equipment Sold / Retired (net) (Including Capital Expenditure provided for) - Amortised Government Grant Income - Liabilities / Provision no Longer Required Written Back + Sundry balances written off + Stores and spares Provided for + Deferred tax - Amortisation Financial guarantee obligation + Interest on Lease liabilities					
Denominator - Interest on non current borrowings + Principal repayment of non current borrowings during the period (including net repayment of ICD, if any) + Interest on lease liabilities + lease payments					
iv) Return on Equity Ratio :					
Profit after Taxes (a)		8,994.50	3,838.69		
Average Shareholders' Equity (b)		8,018.49	1,382.62		

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022 (Contd.)

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
Return on Equity Ratio (a/b)	%	112%	277.64%	(59.60%)	Mainly due to increased profitability resulting into higher average of shareholders' equity.
Numerator - Profit after Taxes - Distribution on Unsecured Perpetual Securities (including undeclared)					
Denominator - Average Shareholders' Equity = (Opening Shareholders' Equity + Closing Shareholders' Equity)/2					
Shareholders' Equity = Equity share capital + Other equity - unpaid Distribution on Unsecured Perpetual Securities					
v) Inventory Turnover Ratio :					
Fuel Cost (a)		24,551.98	14,762.21		
Average Fuel Inventory (b)		1,798.41	1,678.29		
Inventory Turnover Ratio (a/b)	Times	13.65	8.80	55.21%	Mainly due to improved fuel inventory management
Numerator - Fuel Cost					
Denominator - (Opening Fuel Inventory + Closing Fuel Inventory)/2					
vi) Trade Receivables turnover Ratio :					
Net Credit Sales (a)		40,227.73	31,230.96		
Average Accounts Receivable (b)		10,436.73	10,709.35		
Trade Receivables turnover Ratio (a/b)	Times	3.85	2.92	32.17%	Mainly due to higher sales collection
Numerator - Revenue from Operations + carrying cost + Scrap sales + Guest House rent income + water income					
Denominator - (Opening trade receivable + Closing trade receivable)/2 (including contract assets)					
vii) Trade Payables turnover Ratio :					
Net Credit Purchases (a)		26,189.89	17,005.98		
Average Trade Payable (b)		2,917.97	3,626.21		
Trade Payables turnover Ratio (a/b)	Times	8.98	4.69	91%	Mainly on account of higher pay out during the year with better cashflow
Numerator - Fuel Cost + Closing Fuel Inventory - Opening Fuel Inventory + Transmission Cost + Purchases of Stock-in-trade / power for resale + Stores and Spares consumed + Closing Stores and Spares Inventory - Opening Stores and Spares Inventory + Repairs and Maintenance					
Denominator - (Opening trade payables + Closing trade payables)/2					

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022 (Contd.)

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
viii) Net Capital turnover Ratio :					
Net Sales (a)		40,863.39	31,457.80		
Average Working capital (b)		1,444.20	(402.35)		
Net Capital turnover Ratio (a/b)	Times	28.29	(78.19)	(136%)	Mainly due to higher average working capital
Numerator - Total Income i.e. Revenue from operations and other income (excluding Financial guarantee obligation (Amortised) and Amortised deferred government grant income) Denominator - Average working capital = (Opening working capital + Closing working capital) / 2 Working capital = Total current assets - Total current liabilities (excluding deferred government grant and Financial guarantee obligation)					
ix) Net Profit Ratio :					
Profit after Tax (a)		10,246.15	5,036.34		Mainly on account of higher profit for the year
Net Sales (b)		41,201.19	31,779.50		
Net Profit Ratio (a/b)	%	24.87%	15.85%	57%	
Numerator - Profit after tax					
Denominator - Total Income i.e. Revenue from operations and other income					
x) Return on Capital Employed :					
Earnings before Interest and Taxes (a)		10,696.18	10,788.80		Not applicable
Capital Employed (b)		60,924.39	61,061.99		
Return on Capital Employed (a/b)	%	17.56%	17.67%	(1%)	
Numerator - Profit before tax + Finance Costs					
Denominator - Tangible Net Worth + Total Debt + Total lease liabilities + Deferred Tax Liability Tangible Net Worth = Total equity - Intangible assets - Goodwill					
xi) Return on Investment :					
Income generated from mutual fund (a)		10.39	0.83		Higher income from investment in mutual funds
Time weighted average mutual fund investment (b)		199.60	25.78		
Return on Investment (a/b)	%	5.21%	3.22%	62%	
Numerator - Income generated from mutual fund					
Denominator - Time weighted average investment in mutual fund					

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

70 Disclosure of significant interest in subsidiaries:

Name of the subsidiaries	Country of incorporation	31st March, 2023	31st March, 2022
Adani Power Resources Limited ("APReL")	India	51%	51%
Adani Power (Jharkhand) Limited	India	100%	100%
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited (w.e.f 16th March, 2022)	India	100%	100%
Adani Power Dahej Limited	India	100%	100%
Pench Thermal Energy (MP) Limited	India	100%	100%
Kutchh Power Generation Limited	India	100%	100%
Mahan Fuel Management Limited (w.e.f 28th February, 2022)	India	100%	100%
Alcedo Infra Park Limited (w.e.f 2nd March, 2022)	India	100%	100%
Chandenvale Infra Park Limited (w.e.f 24th February, 2022)	India	100%	100%
Emberiza Infra Park Limited (w.e.f 3rd March, 2022)	India	100%	100%
Resurgent Fuel Management Limited (w.e.f 20th April, 2022)	India	100%	-
Aviceda Infra Park Limited (w.e.f 5th September, 2022)	India	100%	-
Support Properties Private Limited (w.e.f 7th June, 2022 to 21st March, 2023)	India	-	-
Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited) (w.e.f 7th June, 2022)	India	100%	-

71 Recent Pronouncements:

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 31st March, 2023, MCA amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from 1st April, 2023, as below:

Ind AS 1 – Presentation of Financial Statements

The amendments require companies to disclose their material accounting policies rather than their significant accounting policies. Accounting policy information, together with other information, is material when it can reasonably be expected to influence decisions of primary users of general purpose financial statements. The Company does not expect this amendment to have any significant impact in its financial statements.

Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a change in accounting estimates has been replaced with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Company does not expect this amendment to have any significant impact in its financial statements.

Ind AS 12 – Income Taxes

The amendments clarify how companies account for deferred tax on transactions such as leases and decommissioning obligations. The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12 (recognition exemption) so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. The Company does not expect this amendment to have any significant impact in its financial statements.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 72** The Company does not have any transaction to report against the following disclosure requirements as notified by MCA pursuant to amendment to Schedule III:
1. Crypto Currency or Virtual Currency
 2. Benami Property held under Benami Transactions (Prohibition) Act, 1988 (45 of 1988)
 3. Registration of charges or satisfaction with Registrar of Companies
 4. Related to Borrowing of Funds:
 - i. Wilful defaulter
 - ii. Utilization of borrowed fund and share premium
 - iii. Discrepancy in utilization of borrowings
 - iv. Discrepancy in information submitted towards borrowings obtained on the basis of security of current assets
- 73** In the matter of acquisition of Essar Power MP Limited ("EPMPL") through Insolvency and Bankruptcy Code, National Company Law Tribunal ("NCLT") has passed an order dated 1st November, 2021 approving the resolution plan. The Company acquired control over EPMPL w.e.f. 16th March 2022 on fulfilment of conditions precedent on infusion of agreed amount of equity capital of ₹ 1 Crore alongwith upfront payment of ₹600 crores to the lenders. Subsequent to the acquisition, the name of EPMPL has been changed to Mahan Energen Limited ("MEL"). Further, transaction cost added to investment is ₹1.69 Crores.
- 74** The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post employment benefits received Presidential assent in September 2020. The Code has been published in the Gazette of India. However, the date on which the Code will come into effect has not been notified and the final rules/interpretation have not yet been issued. The Company will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.
- 75** According to the management's evaluation of events subsequent to the balance sheet date, there were no significant adjusting events that occurred other than those disclosed / given effect to, in these financial statements as of 5th May, 2023.

As per our report of even date

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

For and on behalf of the Board of Directors

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Independent Auditor's Report

To the Members of Adani Power Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Adani Power Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") comprising of the consolidated Balance sheet as at March 31 2023, the consolidated Statement of Profit and Loss, including other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matters described in the 'Basis for Qualified Opinion' section of our report and based on the consideration of reports of other auditors on separate financial statements and on the other financial information of the subsidiaries, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2023, their consolidated profit including other comprehensive income, their consolidated cash flows and the consolidated statement of changes in equity for the year ended on that date.

Basis for Qualified Opinion

We refer to Note 71 of the consolidated financial statements. Pending completion of the ongoing investigations by Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023, in respect of the matter stated in the said note, we are unable to comment on the possible consequential effects thereof, if any, on these consolidated financial statements.

We conducted our audit of the consolidated financial statements in accordance with the Standards on

Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Consolidated Financial Statements' section of our report. We are independent of the Group in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the consolidated financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the 'Basis for Qualified Opinion' section we have determined the matters described below to be the key audit matters to be communicated in our report. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of audit procedures performed by us and by other auditors of components not audited by us, as reported by them in their audit reports furnished to us by the management, including those procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Key audit matters	How our audit addressed the key audit matter
Revenue recognition and assessment of recoverability of receivables related to change in law claims <i>(Also refer Notes 3(vi), 10 and 32 to the consolidated financial statements)</i>	
The Group, having Power Purchase Agreements (PPA) are eligible for compensation claims against various Change in Law events having cost implications on generation and supply of power such as additional duties and taxes, increased cost of power generation, etc., due to purchase of alternative coal in terms of the framework of supply of power as per PPA entered by the respective Thermal Power Plant/ Units with the various Discoms. The compensation claims (invoices) are raised by the Group upon approval of change in law event by the relevant Regulatory Authorities. The invoices for change in law claims are raised considering operational / cost parameters based on qualitative parameters approved in terms of the relevant Regulatory Authorities Orders and are subject to partial/ final acceptance of the claims by the respective Discoms. Considering that the methodology and the parameters of claims are subject to final acceptance by the respective Discoms, the revenue is recognised in the books of account based on the prudent parameters and methodology, till the respective matters are accepted / settled with the Discoms. Thus, the revenue/ receivables from Discoms are subject to adjustments to the extent there may be adverse impact on account of appeals with the regulatory authorities. In certain cases where the regulatory order(s) are subject matter of appeal with higher appellate forums / authorities, and the amount of claims are not ascertainable, revenues for change in law claims are not recognised, pending outcome of the final decision. In view of the complexity and judgement involved in estimation of the amounts of such claims and recoverability thereof, the same is considered as a key audit matter.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Group's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers" - Obtained understanding of the key controls that management has in place to monitor change in law events and related claims, status of various pending claims including under appeals and orders passed by various regulatory authorities. - Inspected the relevant state regulatory commission, CERC, appellate tribunal and court rulings and examined management assumptions / judgement relating to various parameters in terms of regulatory orders, for measuring / estimating the amount of such claims. - Examined the underlying parameters and assumptions / judgement used for measuring / computing the amounts of compensation claims as per regulatory orders through verification of historical information and other available internal and external data. - Tested on sample basis, the accuracy of the underlying data used for computation of such claims. - Tested the joint reconciliations for trade receivables performed by the Group with the respective Discoms, wherever available with underlying records. - Tested the status of the outstanding receivables and recoverability of the overdue / aged receivables through inquiry with management, and collection trends in respect of receivables. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".
Revenue recognition for regulated power generation business <i>(Also refer Note 32 to the consolidated financial statements)</i>	
In the regulated power generation business of Udupi Thermal Power Plant (Udupi TPP) (erstwhile known as Udupi Power Corporation Limited), the tariff is determined by the regulator based on cost plus return on equity basis wherein cost is subject to prudential norms. The Company invoices its customers on the basis of provisional approved tariff which is based on Tariff Regulation and is subject to true up adjustment. As the Company is entitled to tariff based on actual cost incurred for the year, at point of revenue recognition it recognises adjustments for the escalation/ de-escalation in the various parameters compared to the entitled parameters.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers". - Performed test of controls over revenue recognition and accruals through inspection of evidence of performance of these controls. - Performed the tests of details including the following key procedures: • Evaluated the key assumptions used by the Company by comparing it with the assumptions in provisional approved tariff order.

Key audit matters	How our audit addressed the key audit matter
Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and the prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. Further certain matters for disallowance of claims has been litigated by the Company before higher authorities. Revenue recognition and accrual of regulatory claims is a key audit matter considering the significant judgements involved in the determination thereof.	- For tariff orders (including updated tariff order) received by the Company, assessed the impact recognised by the Company and for matters litigated by the Company, also assessed the management's evaluation of the likely outcome of the dispute based on past precedents. - Tested the joint reconciliation for invoiced billed and approved tariff-based income performed by the Company with the Discoms, wherever available with underlying records and adjustments made in books of account as recoverable/ payable for the respective approved tariff periods. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".
Evaluation of impairment of property, plant and equipment <i>(Also refer Note 3(iv) and 51(c) to the consolidated financial statements)</i>	
As at March 31, 2023, the carrying value of the Property, Plant and Equipment (PPE) of the Company (Mundra Thermal Power Plant (TPP) Cash Generating Unit (CGU)) is ₹13,706.48 crores (net of government grant). To assess if there is an impairment in the carrying value of PPE of Mundra TPP CGU, the management conducts CGU level impairment tests annually or whenever changes in circumstances or events indicate that, the carrying value of PPE may require evaluation to verify recoverability. An impairment loss is recognised if the recoverable amount of PPE is lower than the carrying value. The recoverable amount of the Mundra TPP CGU is evaluated by calculating the value in use of the CGU to which carrying value of PPE is attributable along with the revised SPPA entered with Gujarat Urja Vikas Nigam Limited ("GUVNL") in terms of Settlement Deed with the said Discom dated January 4, 2022, which has been approved by Hon'ble Supreme Court. Further, the unit has also entered into Supplementary Power Purchase Agreement (SPPA) with Haryana discom in February 2023 and long term PPA with MPSEZ Utilities Limited ("MUL") to supply power from Mundra TPP in April 2023. This is a key audit matter as the testing of impairment of carrying value of Mundra TPP PPE is complex and involves significant judgement. The key assumptions involved in impairment test are projected revenue growth, tariff estimate, cost of coal, operating margins, estimated life of PPE and discount rates and terminal value.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - We have obtained an understanding the Management's internal controls over its annual impairment assessment and key assumptions applied such as revenue growth, operating margins, discount rates, estimated life of PPE and terminal growth rates; - We obtained CGU valuation model prepared by the management and engaged our valuation specialists to evaluate the appropriateness of valuation methodology applied in impairment testing and to test the key assumptions around expected long term growth parameters, discount rates etc. - We discussed potential changes in key drivers with management in order to evaluate the suitability of inputs and assumptions used in the cash flow forecasts and performed sensitivity analysis around the key assumptions used by management. - We have obtained an understanding of impact of the revised agreement entered with GUVNL dated March 30, 2022, Haryana discom for supplying the power dated February 28, 2023 and long term PPA entered with MUL for supply of power dated April 14, 2023 having impact on the valuation model. - Assessed the disclosures in accordance with the requirements of Ind AS 36 "Impairment of Assets".

Information Other than the Financial Statements and Auditor's Report Thereon

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated statement of changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the company (ies) included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of their respective company (ies) and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation

of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of their respective company (ies) to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the respective company (ies) or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of their respective company (ies).

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the

override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group of which we are the independent auditors and whose financial information we have audited, to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

- (a) We did not audit the financial statements and other financial information, in respect of twelve subsidiaries, whose financial statements include total assets of ₹16,259.53 crores as at March 31, 2023, and total revenues of ₹173.46 crores and net cash inflows of ₹141.41 crores for the year ended on that date. These financial statement and other financial information have been audited by other auditors, which financial statements, other financial information and auditor's reports have been furnished to us by the management. Our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the report(s) of such other auditors.
- (b) The accompanying consolidated financial statements include unaudited financial statements and other unaudited financial information in respect of one subsidiary, which was acquired and disposed off during the year,

whose financial statements and other financial information reflect total assets of ₹ Nil crores as at March 31, 2023, and total revenues of ₹ Nil and net cash inflows of ₹0.03 crores for the year ended on that date. These unaudited financial statements and other unaudited financial information have been furnished to us by the management. Our opinion, in so far as it relates amounts and disclosures included in respect of these subsidiaries, and our report in terms of sub-sections (3) of Section 143 of the Act in so far as it relates to the aforesaid subsidiaries, is based solely on such unaudited financial statements and other unaudited financial information. In our opinion and according to the information and explanations given to us by the Management, these financial statements and other financial information are not material to the Group.

Our opinion above on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements and other financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of the subsidiary companies, incorporated in India, as noted in the 'Other Matter' paragraph we give in the "Annexure 1" a statement on the matters specified in paragraph 3(xxi) of the Order.
2. As required by Section 143(3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, as noted in the 'other matter' paragraph we report, to the extent applicable, that:
 - (a) We/the other auditors whose report we have relied upon have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the

aforesaid consolidated financial statements;

- (b) Except for the matter(s) described in the Basis for Qualified Opinion paragraph, in our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidation of the financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors;
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Consolidated Cash Flow Statement and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the consolidated financial statements;
- (d) Except for the effects of the matter(s) described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) The matter described in the Basis for Qualified Opinion paragraph above, in our opinion, may have an adverse effect on the functioning of the Company;
- (f) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2023 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary companies, none of the directors of the Group's companies, incorporated in India, is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- (g) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion paragraph above;
- (h) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements of the Holding Company and its subsidiary companies, incorporated in India, and the operating effectiveness of such controls,

refer to our separate Report in "Annexure 2" to this report;

- (i) In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries, the Holding Company and its subsidiaries, has not paid / provided the managerial remuneration for the year ended March 31, 2023 to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements as also the other financial information of the subsidiaries, as noted in the 'Other matter' paragraph:
 - i. The consolidated financial statements disclose the impact of pending litigations on its consolidated financial position of the Group, in its consolidated financial statements – Refer Note 43 to the consolidated financial statements;
 - ii. Provision has been made in the consolidated financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiaries, incorporated in India during the year ended March 31, 2023.
 - iv. a) The respective managements of the Holding Company and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of its knowledge and belief, as disclosed in the note 69 to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any

other sources or kind of funds) by the Holding Company or any of such subsidiaries to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the respective Holding Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

- b) The respective managements of the Holding Company and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of its knowledge and belief, as disclosed in the note 69 to the consolidated financial statements, no funds (which are material either individually or in the aggregate) have been received by the Holding Company or any of such subsidiaries from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company or any of such subsidiaries shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- c) Based on the audit procedures that has been considered reasonable and appropriate in the circumstances performed by us and those performed by the auditors of the subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other

auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (a) and (b) contain any material mis-statement.

- v) The dividend on compulsory redeemable preference shares in respect of the same declared for the previous years and paid by the Company during the year, is in accordance with section 123 of the Companies Act 2013 to the extent it applies to payment of dividend.

As stated in note 63 of the consolidated financial statements, the Board of Directors of the Company have proposed dividend on compulsory redeemable preference shares for the year which is subject to the approval of members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

- vi) As proviso to rule 3(1) of the Companies

(Accounts) Rules, 2014 is applicable for the company only w.e.f. April 1, 2023, reporting under this clause is not applicable

For **S R B C & CO LLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYWZ7357

Place of Signature: Ahmedabad

Date: May 5, 2023

Annexure 1 referred to in paragraph 1 under the heading “Report on Other Legal and Regulatory Requirements” of our Independent Auditor’s Report of even date on the Consolidated Financial Statements of Adani Power Limited

1. Qualifications or adverse remarks by the respective auditors in the Companies (Auditors Report) Order (CARO) reports of the companies included in the consolidated financial statements are:

S. No.	Name	CIN	Holding company/ subsidiary	Clause number of the CARO report which is qualified or is adverse
1.	Adani Power Limited	L40100GJ1996PLC030533	Holding Company	Clause i (c) Clause xi (a) and (c) Clause (xiii)
2.	Mahan Energen Limited	U40100DL2005PLC201961	Wholly Owned Subsidiary Company	Clause i (c) Clause xi (a) and (c) Clause (xiii)
3.	Kutch Power Generation Limited	U40100GJ2009PLC057562	Wholly Owned Subsidiary Company	Clause xvii
4.	Adani Power Dahej Limited	U40100GJ2006PLC047672	Wholly Owned Subsidiary Company	Clause xvii
5.	Adani Power Resources Limited	U40100GJ2013PLC077749	Subsidiary Company	Clause xvii
6.	Innovant Buildwell Private Limited (formerly known as Eterenus Real Estate Private Limited)	U60231MH2007PTC177037	Wholly Owned Subsidiary Company	Clause xvii
7.	Resurgent Fuel Management Limited	U14290GJ2022PLC131210	Wholly Owned Subsidiary Company	Clause xvii

The report of the following component included in the consolidated financial statements have not been issued by its auditor till the date of our auditor’s report:

S. No.	Name	CIN	Subsidiary / associate / joint venture
1.	Support Properties Private Limited	U70102MH2007PTC175633	Subsidiary (from 7 June, 2022 till 21 March, 2023)

For **S R B C & CO LLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYWZ7357

Place of Signature: Ahmedabad

Date: May 5, 2023

Annexure 2 to the Independent Auditor's Report of even date on the Consolidated Financial Statements of Adani Power Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated financial statements of Adani Power Limited as of and for the year ended March 31, 2023, we have audited the internal financial controls over financial reporting of Adani Power Limited (hereinafter referred to as the "Holding Company") and its subsidiary companies, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding Company, its subsidiary companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the company's internal financial controls over financial reporting with reference to these consolidated financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over

Financial Reporting (the "Guidance Note") and the Standards on Auditing, both, issued by Institute of Chartered Accountants of India, and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls over financial reporting with reference to these consolidated financial statements and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting with reference to these consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our qualified audit opinion on the internal financial controls over financial reporting with reference to these consolidated financial statements.

Meaning of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated Financial Statements

A company's internal financial control over financial reporting with reference to these consolidated

financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting with reference to these consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting with reference to these consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these consolidated financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, pending completion of

the ongoing investigations of Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023 as stated in the 'Basis for Qualified Opinion' paragraph of our audit report, and the consequential impact it may have on Company's processes and internal controls including related party transactions and compliance with applicable laws and regulations, to that extent we are unable to comment on whether there is any material weakness in the Company's internal controls as at March 31, 2023.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis.

In our opinion, except for the possible effects of the material weakness described above on the achievement of the objectives of the control criteria, the Company has maintained, in all material respects, adequate internal financial controls over financial reporting with reference to these Consolidated financial statements and such internal financial controls over financial reporting with reference to these Consolidated financial statements were operating effectively as of March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Explanatory paragraph

We also have audited, in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act, the consolidated financial statements of Adani Power Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") comprising of the consolidated Balance sheet as at March 31 2023, the consolidated Statement of Profit and Loss, including

other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information, and our report dated May 5, 2023, expressed a qualified opinion.

Other Matters

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting with reference to these consolidated financial statements of the Holding Company, insofar as it relates to these twelve subsidiary companies, which are companies

incorporated in India, is based on the corresponding reports of the auditors of such subsidiary, incorporated in India.

For **S R B C & CO LLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYWZ7357

Place of Signature: Ahmedabad

Date: May 5, 2023

Consolidated Balance Sheet

as at 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	As at 31st March, 2023	As at 31st March, 2022
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	4.1	50,543.80	53,071.62
(b) Capital Work-In-Progress	4.1	12,879.54	10,269.74
(c) Investment property	4.2	704.94	-
(d) Goodwill	4.3	190.61	190.61
(e) Other Intangible Assets	4.4	12.03	11.98
(f) Financial Assets			
(i) Investments	5	42.51	0.01
(ii) Other Financial Assets	6	779.71	856.04
(g) Other Non-current Assets	7	1,115.13	1,352.95
Total Non-current Assets		66,268.27	65,752.95
Current Assets			
(a) Inventories	8	3,075.20	2,258.27
(b) Financial Assets			
(i) Investments	9	611.54	183.24
(ii) Trade Receivables	10	11,529.36	9,560.92
(iii) Cash and Cash Equivalents	11	349.23	782.37
(iv) Bank balances other than (iii) above	12	1,524.42	1,582.31
(v) Loans	13	3.19	7.62
(vi) Other Financial Assets	14	557.50	308.28
(c) Other Current Assets	15	1,902.56	1,545.06
Total Current Assets		19,553.00	16,228.07
Total Assets		85,821.27	81,981.02
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	16	3,856.94	3,856.94
(b) Unsecured Perpetual Securities	17	13,215.00	13,215.00
(c) Other Equity	18	12,803.72	1,631.50
Equity attributable to equity holders of the parent		29,875.66	18,703.44
(d) Non - Controlling Interests	41	*	*
Total Equity		29,875.66	18,703.44
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	19	33,702.60	37,871.32
(ia) Lease Liabilities	20	88.32	94.36
(ii) Other Financial Liabilities	21	-	960.37
(b) Provisions	22	226.95	220.87
(c) Deferred Tax Liabilities (Net)	23	-	2,499.78
(d) Other Non-current Liabilities	24	4,183.15	4,487.21
Total Non-current Liabilities		38,201.02	46,133.91
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	25	8,549.45	10,924.36
(ia) Lease Liabilities	26	9.16	8.39
(ii) Trade Payables	27		
- total outstanding dues of micro enterprises and small enterprises		95.76	57.59
- total outstanding dues of creditors other than micro enterprises and small enterprises		2,983.69	3,450.62
(iii) Other Financial Liabilities	28	2,461.58	1,167.32
(b) Other Current Liabilities	29	3,622.82	861.36
(c) Provisions	30	21.64	28.71
(d) Current Tax Liabilities (Net)	31	0.49	645.32
Total Current Liabilities		17,744.59	17,143.67
Total Liabilities		55,945.61	63,277.58
Total Equity and Liabilities		85,821.27	81,981.02

(Figures below ₹50,000 are denominated with *)

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Consolidated Statement of Profit and Loss

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Income			
Revenue from Operations	32	38,773.30	27,711.18
Other Income	33	4,267.22	3,975.29
Total Income		43,040.52	31,686.47
Expense			
Fuel Cost		25,480.85	14,762.21
Purchase of Stock-in-trade / Power for resale	34	214.14	545.56
Transmission Charges		519.61	642.77
Employee Benefits Expense	35	569.99	470.31
Finance Costs (net)	36	3,333.50	4,094.78
Depreciation and Amortisation Expense	4.1, 4.2 and 4.4	3,303.68	3,117.54
Other Expenses	37	1,944.05	1,476.17
Total Expenses		35,365.82	25,109.34
Profit before tax and Deferred tax (adjustable) / recoverable from future tariff		7,674.70	6,577.13
Tax (Credit) / Expenses			
Current Tax	38	0.58	768.34
Tax (credit) adjusted relating to earlier years	38 and 66	(768.18)	(0.11)
Deferred Tax (credit) / Charge (including ₹2,303.87 Crores adjustment relating to earlier years (Previous year ₹ Nil))	38 and 66	(2,499.77)	976.57
Total Tax (Credit) / Expenses		(3,267.37)	1,744.80
Add : Deferred tax (adjustable) / recoverable from future tariff (net of tax)	66	(215.43)	79.25
Profit for the year		10,726.64	4,911.58
Other Comprehensive Income			
(a) Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plan	59	(5.90)	(10.73)
Income tax impact	23	-	0.78
Net Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")		-	26.94
Income tax impact		-	-
Other comprehensive (loss) / Income that will not be reclassified to profit or loss in subsequent periods		(5.90)	16.99
(b) Items that will be reclassified to Profit or Loss in subsequent periods			
Net movement on Effective portion of Cash Flow Hedges		39.64	26.64
Income tax impact		-	-
Other comprehensive Income that will be reclassified to profit or loss in subsequent periods		39.64	26.64
Other Comprehensive Income for the year, net of tax (a+b)		33.74	43.63
Total Comprehensive Income for the year, net of tax		10,760.38	4,955.21
Net Income for the year attributable to:			
Equity holders of the parent		10,726.64	4,911.58
Non - Controlling interest		*	*
Other Comprehensive Income for the year attributable to:			
Equity holders of the parent		33.74	43.63
Non - Controlling interest		-	-
Total Comprehensive Income for the year attributable to:			
Equity holders of the parent		10,760.38	4,955.21
Non - Controlling interest		*	*
Earnings Per Share (EPS)			
Basic and diluted, computed on the basis of profit for the year attributable to equity holders of the Parent Company (₹) (Face Value ₹10 Per Share)	39	24.57	9.63
(Figures below ₹50,000 are denominated with *)			

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Consolidated Statement of Changes in equity

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Equity Share Capital		Unsecured Perpetual Securities	Reserves and Surplus						Other Comprehensive Income (OCI)			Non - Controlling Interests	Total Equity
	Equity Share Capital			Deemed Equity Contribution	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Effective portion of Cash Flow Hedges	Equity instruments through OCI	Total other equity attributable to equity holders of the parent		
	No. of Shares	Amount												
Balance as at 1st April, 2021	3,85,69,38,941	3,856.94	12,615.00	1,772.93	1,389.40	7,409.83	9.04	-	(13,921.23)	(19.32)	-	Amount (3,359.35)	Amount 0.01	Amount 13,112.60
Profit for the year	-	-	-	-	-	-	-	-	4,911.58	-	-	4,911.58	*	4,911.58
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	(9.95)	-	-	(9.95)	-	(9.95)
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net gain on sale of investment classified at FVTOCI, net of tax	-	-	-	-	-	-	-	-	-	-	26.94	26.94	-	26.94
Net gain on Effective portion of Cash Flow Hedges, net of tax	-	-	-	-	-	-	-	-	-	26.64	-	26.64	-	26.64
Total comprehensive income for the year	-	-	-	-	-	-	-	-	4,901.63	26.64	26.94	4,955.21	*	4,955.21
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares Issued during the year (Refer Note 64)	-	-	-	-	-	-	-	246.55	-	-	-	246.55	-	246.55
Addition on account of acquisition of Subsidiary (Refer note 42)	-	-	-	-	378.92	-	-	-	-	-	-	378.92	-	378.92
Gain on sale of Compulsory Convertible Preference Shares (CCPS) transferred to Retained Earnings	-	-	-	-	-	-	-	-	26.94	-	(26.94)	-	-	-
Unsecured Perpetual Securities (Refer note 17)	-	-	600.00	-	-	-	-	-	-	-	-	-	-	600.00
Issued during the year	-	-	-	-	-	-	-	-	(589.83)	-	-	(589.83)	-	(589.83)
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31st March, 2022	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,768.32	7,409.83	9.04	246.55	(9,582.49)	7.32	-	1,631.50	*	18,703.44
Balance as at 1st April, 2022	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,768.32	7,409.83	9.04	246.55	(9,582.49)	7.32	-	1,631.50	*	18,703.44

Consolidated Statement of Changes in equity

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Equity Share Capital	Unsecured Perpetual Securities	Other Equity						Non - Controlling Interests	Total Equity		
			Deemed Equity Contribution	Reserves and Surplus				Other Comprehensive Income (OCI)			Total other equity attributable to equity holders of the parent	
				Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Effective portion of Cash Flow Hedges	Equity instruments through OCI		
Profit for the year	-	-	-	-	-	-	-	10,726.64	-	-	10,726.64	* 10,726.64
Other Comprehensive Income for the year												
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	(5.90)	-	-	(5.90)	(5.90)
Net gain on Effective portion of Cash Flow Hedges, net of tax	-	-	-	-	-	-	-	-	39.64	-	39.64	39.64
Total comprehensive Income for the year	-	-	-	-	-	-	-	10,720.74	39.64	-	10,760.38	* 10,760.38
External Commercial Borrowing (ECB) liability written back (Refer note 19(4))	-	-	1,073.01	-	-	-	-	-	-	-	1,073.01	1,073.01
Unsecured Perpetual Securities (Refer note 17)												
Issued during the year	-	-	-	-	-	-	-	-	-	-	-	566.49 (566.49)
Settled on account of disposal of subsidiary (Refer note 32(vi))	-	-	-	-	-	-	-	(661.17)	-	-	(661.17)	(661.17)
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31st March, 2023	3,85,69,38,941	13,215.00	2,845.94	1,768.32	7,409.83	9.04	246.55	477.08	46.96	-	12,803.72	* 29,875.66

(Figures below ₹50,000 are denominated with *)

*Net loss for the year of ₹103.81 Crores (Previous year net gain of ₹77.37 Crores) was recycled from cash flow hedge reserve to statement of profit and loss.

The accompanying notes are an integral part of these Consolidated financial statements.

For and on behalf of the Board of Directors

As per our report of even date

For S R B & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Consolidated Statement of Cash Flows

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(A) Cash flow from operating activities		
Profit before tax	7,674.70	6,577.13
Adjustments to reconcile profit before tax to net cash flows:		
Depreciation and Amortisation Expense	3,303.68	3,117.54
Unrealised Foreign Exchange Fluctuation Loss (net)	101.61	61.55
Income from Mutual Funds	(13.10)	(0.83)
Loss on Property, Plant and Equipment Sold / Retired (net)	51.68	67.25
Amortised Government Grant Income	(304.06)	(304.06)
Liabilities no Longer Required Written Back	(41.37)	(21.82)
Gain on sale of Investment	(694.45)	-
Finance Costs	3,333.50	4,094.78
Interest income	(3,607.19)	(3,558.27)
Derecognition of Mine retirement obligation	-	39.44
Stores and Spares provided for	12.13	79.33
Bad debts, capital expenditure / sundry balance written off / provided for	42.65	0.42
Operating profit before working capital changes	9,859.78	10,152.46
Changes in working capital:		
(Increase) in Inventories	(829.06)	(262.29)
(Increase) / Decrease in Trade Receivables	(2,995.25)	980.98
(Increase) in Other Financial Assets	(51.20)	(215.37)
(Increase) in Other Assets	(233.11)	(358.75)
(Decrease) in Trade Payables	(423.16)	(368.06)
Increase in Other Financial Liabilities	414.57	140.95
Increase in Other Liabilities and Provisions	2,766.61	387.15
	(1,350.60)	304.61
Cash flows from operation activities	8,509.18	10,457.07
Less : Income tax (Paid) / Tax deducted at sources (net)	(78.65)	(224.34)
Net cash flows from operating activities (A)	8,430.53	10,232.73
(B) Cash flow from investing activities		
Capital expenditure on payment towards Property, Plant and Equipment, including capital advances and capital work-in-progress and intangible assets	(3,243.68)	(3,434.55)
Proceeds from Sale of Property, Plant and Equipment	0.83	1.24
Payment towards investment in Optionally Convertible Debenture of Others	(42.50)	-
Payment towards acquisition of subsidiaries	(727.16)	(1.00)
Payment towards Current investments (net)	(415.20)	(162.32)
Receipt against disposal of subsidiary	988.90	-
Bank / Margin Money Deposits withdrawn / (placed) (net)	151.07	(214.85)
Proceeds from Loans given to related party	4.83	0.99
Proceeds from sale of investment in Compulsory Convertible Preference Shares	-	81.54
Interest received (including carrying cost)	4,827.34	4,301.06
Net cash flows from investing activities (B)	1,544.43	572.11
(C) Cash flow from financing activities		
Payment of principal portion of lease liabilities	(5.83)	(5.95)
Proceeds from Non-current borrowings	21,205.41	13,332.16
Repayment of Non-current borrowings	(26,948.43)	(17,896.16)
(Repayment) of Current borrowings (net)	(1,200.05)	(1,831.58)
Proceeds from issue of Unsecured Perpetual Securities	566.49	600.00
Distribution to holders of Unsecured Perpetual Securities	(661.17)	(589.83)
Finance Costs Paid (Including interest on lease obligations)	(3,364.88)	(3,946.50)
Net cash (used in) financing activities (C)	(10,408.46)	(10,337.86)
Net (Decrease) / Increase in cash and cash equivalents (A)+(B)+(C)	(433.50)	466.98
Addition on acquisition of subsidiaries (Refer note 32(vi), 42 and 67)	0.36	202.35
Cash and cash equivalents at the beginning of the year	782.37	113.04
Cash and cash equivalents at the end of the year	349.23	782.37

Consolidated Statement of Cash Flows

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Notes to Cash flow Statement :		
Cash and cash equivalents as per above comprise of the following :		
Cash and cash equivalents (Refer note 11)	349.23	782.37
Balances as per statement of cash flows	349.23	782.37

Notes:

- Interest accrued of ₹436.64 Crores (Previous year ₹453.07 Crores) on Inter Corporate Deposit ("ICD") taken from related parties and others, have been converted to the ICD balances as on reporting date in terms of the Contract.
- The Cash Flow Statement has been prepared under the 'Indirect Method' set out in Ind AS 7 'Statement of Cash Flows'.
- Disclosure of changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, are given below:

Particulars	As at 1st April, 2022	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Addition on account of acquisition of subsidiary	Others *	As at 31st March, 2023
Non-current borrowings (including current maturities)	41,555.31	(5,743.02)	170.39	(163.30)	-	805.94	(44.85)	36,580.47
Current borrowings	7,240.37	(1,200.05)	-	(11.90)	192.50	-	(549.34)	5,671.58
Interest accrued	31.54	(2,494.57)	3,030.75	-	-	-	(481.02)	86.70
Leases Liabilities	102.75	(14.68)	9.41	-	-	-	-	97.48
	48,929.97	(9,452.32)	3,210.55	(175.20)	192.50	805.94	(1,075.21)	42,436.23

Particulars	As at 1st April, 2021	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Addition on account of acquisition of subsidiary***	Others **	As at 31st March, 2022
Non-current borrowings (including current maturities)	42,727.95	(4,564.00)	33.65	(80.11)	-	3,291.90	145.92	41,555.31
Current borrowings	9,683.32	(1,831.58)	-	12.55	(663.50)	-	39.58	7,240.37
Interest accrued	64.81	(3,360.04)	3,862.27	-	-	-	(535.50)	31.54
Leases Liabilities	107.41	(15.26)	10.60	-	-	-	-	102.75
	52,583.49	(9,770.88)	3,906.52	(67.56)	(663.50)	3,291.90	(350.00)	48,929.97

* Others mainly include impact of loan waiver of ₹1,073.01 Crores. (Refer note 19(4))

** Others mainly include non cash transaction of equity component of Non-cumulative Compulsory Redeemable Preference Shares (NCRPS) of ₹246.55 Crores.

*** Includes net amount after elimination of Optionally Convertible debentures of ₹118.70 Crores.

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

1 Corporate information

Adani Power Limited (the "Company" or "APL") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India having its registered office at "Adani Corporate House", Shantigram, Near Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad-382421, Gujarat, India. Its shares are listed on two recognised stock exchanges in India.

The Company, together with its subsidiaries, currently has multiple power projects located at various locations with a combined installed and commissioned capacity of 14,450 MW and another 800 MW under commissioning as of year end. The parent company, Adani Power Limited and the subsidiaries (together referred to as "the Group") sell power generated from these projects under a combination of long term Power Purchase Agreements ("PPA"), Medium term PPA, Short term PPA and on merchant basis and also engaged in trading, investment and other business activities. Information on the Group's structure is provided in Note 40.

As at 31st March, 2023, S. B. Adani Family Trust ("SBFAT") together with entities controlled by it, has the ability to control the Group. The Group gets synergetic benefit of the integrated value chain of Adani group.

The consolidated financial statements were approved for issue in accordance with a resolution of the directors on 5th May, 2023.

2 Significant accounting policies

2.1 Basis of preparation

The consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) read with section 133 of Companies Act, 2013 and presentation requirements of Division II of schedule III to the Companies Act, 2013 (Ind AS compliant Schedule III), on the historical cost basis except for certain financial instruments that are measured at fair values, as explained in the accounting policies below.

The Group's consolidated financial statements are presented in INR (₹), which is also the parent company's functional currency and all values are rounded to the nearest Crores, except when otherwise indicated.

2.2 Basis of consolidation

a Subsidiaries

The consolidated financial statements incorporate the financial statements of the Company and its subsidiaries, being the entities controlled by it as at 31st March, 2023. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Company considers all relevant facts and circumstances in assessing whether or not the Company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Company, other vote holders or other parties;

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- rights arising from other contractual arrangements; and
- The contractual arrangement with the other vote holders of the investee.

Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control until the date when the Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income or loss are attributed to the owners of the Company and to the non-controlling interests. Total comprehensive income or loss of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member's financial statements in preparing the consolidated financial statements to ensure conformity with the Group's accounting policies.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the parent company, i.e. year ended on 31 March.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interests in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group's losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to owners of the Company.

When the Group loses control of a subsidiary, a gain or loss is recognised in profit or loss and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to profit or loss or transferred to another category of equity as specified/permitted by applicable Ind AS).

2.3 Summary of significant accounting policies

a Property, plant and equipment

Property, plant and equipment are stated at original cost grossed up with the amount of tax / duty benefits availed, less accumulated depreciation and accumulated impairment losses, if any. Other Indirect expenses relating to the project activities, incurred during the project development period, net of income earned during the period till commercial operation date of the project, are recorded as indirect project expenses and disclosed as a part of Capital Work-in-Progress. Properties / projects in the course of construction are carried at cost, less any recognised impairment losses. All costs, including borrowing costs incurred up to the date the asset is ready for its intended use, is capitalised along with respective asset. Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives.

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Items of stores and spares that meet the definition of property, plant and equipment are capitalized at cost and depreciated over their useful life.

In respect of Power Plants covered under part A of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) less their residual values over their useful lives, using the straight-line method in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The useful life of property, plant and equipment is considered based on life prescribed in schedule II to the Companies Act, 2013 except in case of power plant assets, where the life has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the assets and the current operating condition of the assets. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Major inspection / overhauling including turnaround and maintenance cost are depreciated over the period of 5 years. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Assets class wise useful life of the assets are mentioned below :

Assets Class	For all power plants other than udupi thermal power plant ("Udupi TPP") (In years)
Land - Freehold	N.A
Right-of-Use Assets - over the lease term	3 to 99
Buildings	1 to 60
Plant and Equipment	3 to 25
Furniture and Fixtures	1 to 10
Railway Sidings	5 to 15
Computer Hardware	3 to 6
Office Equipments	3 to 5
Vehicles	1 to 25

In respect of Power Plant covered under part B of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) at the rates as well as methodology notified by the Central Electricity Regulatory Commission ("CERC") (Terms and Conditions of Tariff) Regulations, 2019 in the statement of profit and loss unless such expenditure forms part of carrying value of another asset under construction. In case of assets with useful life lesser than the project life, the useful life of these assets has been considered for the purpose of calculation of depreciation as per the provisions of the Companies Act, 2013 and subsequent amendments thereto.

In case of Udupi TPP, assets class wise depreciation rates are mentioned below:

Assets Class	For Udupi TPP (In %)
Land - Freehold	N.A
Right-of-Use Assets - over the lease term	5.00 to 20.00
Buildings	3.34 to 25.00
Plant and Equipment	5.28 to 20.00
Furniture and Fixtures	6.33 to 60.00
Railway Sidings	N.A
Computer Hardware	15.00
Office Equipments	6.33 to 60.00
Vehicles	9.50

Payments / provision towards compensation, rehabilitation and resettlement (R & R) activities and other

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expenses relating to land in possession are treated as cost of land. Provision for R&R costs are provided at the present value of expected costs to settle the obligation using estimated cash flows and are recognised as part of the cost of the land. The cash flows are discounted at a current pre-tax rate that reflects the risks specific to the R&R liability. The unwinding of the discount as well as payments made/adjustments is expensed as incurred cost and recognised in the statement of profit and loss. The estimated future costs of R&R are reviewed annually and adjusted as appropriate.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in statement of profit and loss.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred. Subsequent costs are depreciated over the residual life of the respective assets. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

b Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and any accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The Group has intangible assets in the nature of Computer software having useful life of 5 years. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

c Investment properties

Recognition and initial measurement

Investment properties are held to earn rentals or for capital appreciation, or both. Investment properties are measured initially at their cost of acquisition. The cost comprises purchase price, borrowing cost if capitalization criteria are met and directly attributable cost of bringing the asset to its working condition for the intended use. Any trade discount and rebates are deducted in arriving at the purchase price. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Though the Group measures investment property using cost-based measurement, the fair value of investment property is disclosed in the notes. Fair values are determined based on an annual valuation performed by an accredited external independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued.

Subsequent measurement (depreciation and useful lives)

Depreciation on investment properties is provided on the straight-line method, computed on the basis of useful lives prescribed in Schedule II to the Companies Act, 2013. In case of leasehold properties, the same is depreciated over the lease period.

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De-recognition

Investment properties are derecognised either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised as other operating income in statement of profit and loss in the period of de-recognition.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset is available for immediate sale in its present condition and the sale is highly probable. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Property, plant and equipment and intangible assets are not depreciated or amortised once classified as asset held for sale. Assets classified as held for sale are presented separately from other items in the balance sheet.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and their fair value less costs to sell.

e Current versus non-current classification

The Group presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The group has identified twelve months as its operating cycle.

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f Financial Instruments

A Financial Instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in consolidated statement of profit and loss.

g Financial assets

Initial recognition and measurement

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis i.e. the date that the Group commits to purchase or sell the assets. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within a timeframe established by regulation or convention in the market place (regular way trades).

Subsequent measurement

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of Financial assets

Financial assets measured at amortised cost

Financial assets that meet the following conditions are subsequently measured at amortised cost using effective interest method ("EIR") (except for debt instruments that are designated as at fair value through profit or loss on initial recognition):

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The effective interest method is a method of calculating the amortised cost of financial assets and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and transaction costs and other premiums or discounts) through the expected life of the financial assets, or where appropriate, a shorter period, to the net carrying amount on initial recognition.

Interest is recognised on an effective interest basis for debt instruments other than those financial assets classified as at Fair Value through Profit and Loss (FVTPL).

Financial assets at fair value through other comprehensive income (FVTOCI)

Financial assets that meet the following conditions are measured initially as well as at the end of each reporting date at fair value, recognised in other comprehensive income (OCI).

- a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The contractual terms of the asset that give rise on specified dates to cash flows that represent solely payment of principal and interest.

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Financial assets at fair value through profit or loss (FVTPL)

Financial assets that do not meet the amortised cost criteria or FVTOCI criteria are measured at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit and loss incorporates any dividend or interest earned on the financial asset.

Reclassification of Financials Assets

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If the Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

Impairment of Financials Assets

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, trade receivables and other contractual rights to receive cash or other financial asset.

Expected credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

Derecognition of financial assets

The Group derecognizes a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party or when it has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in consolidated other comprehensive income and accumulated in equity, is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in the statement of profit and loss on disposal of that financial asset.

h Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by the Group are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

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An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received, net of direct issue costs.

Unsecured Perpetual Securities

Unsecured perpetual securities ("securities") are the securities with no fixed maturity or redemption and the same are callable only at the option of issuer. These securities are ranked senior only to the equity share capital of the Company and the issuer does not have any redemption obligation hence these securities are recognised as equity as per Ind AS 32.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and in the case of financial liabilities at amortised cost, net of directly attributable transaction costs.

Subsequent Measurement

All financial liabilities are measured at amortised cost using the effective interest method or at FVTPL.

Classification of Financial liabilities

Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term.

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in profit or loss incorporates any interest paid on the financial liability.

Fair values are determined in the manner described in note 'o'.

Financial liabilities measured at amortised cost

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance costs' line item in consolidated statement of profit and loss.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and costs paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Trade and other payables are recognised at the transaction cost, which is its fair value, and subsequently measured at amortised cost. Similarly, interest bearing loans, trade credits and borrowings are subsequently measured at amortised cost using effective interest rate method. Further, trade credits include Buyer's credit, Foreign Letter of Credit and Inland Letter of Credit.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and

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the consideration paid / payable is recognised in the statement of profit and loss. In case of derecognition of financial liabilities relating to promoters contribution, the difference between the carrying amount of the financial liability derecognised and the consideration paid / payable is recognised in other equity.

i Derivative financial instruments

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks as borrowings / purchase, including foreign exchange forward contracts, interest rate swaps and cross currency swaps, Principal only Swap, coupon only swap etc. Further details of derivatives financial instruments are disclosed in note 53.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately, except for the effective portion of cash flow hedges, which is recognised in OCI and later reclassified to profit or loss.

Embedded derivatives

Derivatives embedded in non-derivative host contracts that are not financial assets within the scope of Ind AS 109 "Financial Instruments" except for the effective portion of cash flow hedges are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL. These embedded derivatives are measured at fair value with changes in fair value recognised in profit and loss.

Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

j Hedge Accounting

The Group designates certain hedging instruments, which mainly includes derivatives in respect of foreign currency risk, as cash flow hedges. To qualify for hedge accounting, the hedging relationship must meet all of the following requirements :

- there is an economic relationship between the hedged items and the hedging instruments,
- the effect of credit risk does not dominate the value changes that result from that economic relationship,
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the entity actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument is highly effective in offsetting changes in fair value or cash flows of the hedged item attributable to the hedged risk.

Cash flow hedges

Changes in the fair value of derivatives / hedging instruments that are designated and qualify as cash flow hedges are deferred in the "Cash Flow Hedge Reserve".

The effective portion of the gain or loss on the hedging instrument is recognised in OCI while any ineffective portion is recognised immediately in the statement of profit and loss. The Effective portion of cash flow hedges is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The Group uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in finance costs.

The Group designates only the spot element of a forward contract as a hedging instrument. The forward

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element is recognised in OCI.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability.

For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

k Inventories

Inventories are stated at the lower of cost or net realisable value after providing for obsolescence and other losses where considered necessary. Costs include all non-refundable duties and all charges incurred in bringing the goods to their present location and condition. Cost is determined on First in First out (FIFO) for coal inventory and on weighted average basis for other than coal inventory. Net realisable value represents the estimated selling price for inventories less all estimated costs necessary to make the sale.

l Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

m Business combinations and Goodwill

Acquisitions of business are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interest issued by the Group in exchange of control of the acquiree. Acquisition related costs are recognised in profit and loss as incurred.

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Ind AS 103. Such transactions are accounted for using the pooling-of-interest method. The assets and liabilities of the acquired entity are recognised at their carrying amounts of the Company's financial statements. No adjustments are made to reflect fair values or recognise any new assets or liabilities. The components of equity of the acquired companies are added to the same components within the Company's equity. The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves. The Company's shares issued in consideration for the acquired companies are recognized from the moment the acquired companies are included in these financial statements and the financial statements of the commonly controlled entities would be combined, retrospectively, as if the transaction had occurred at the beginning of the earliest reporting period presented.

Purchase consideration paid in excess / shortfall of the fair value of identifiable assets and liabilities including contingent liabilities and contingent assets, is recognised as goodwill / capital reserve respectively, except in case where different accounting treatment is specified in the court approved scheme.

Deferred tax assets or liabilities, and liabilities or assets related to employee benefits arrangements

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are recognised and measured in accordance with Ind AS 12 "Income Taxes" and Ind AS 19 "Employee Benefits" respectively.

Potential tax effects of temporary differences and carry forwards of an acquiree that exist at the acquisition date or arise as a result of the acquisition are accounted in accordance with Ind AS 12.

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

n Foreign currency translations

In preparing the financial statements of the Group, transactions in currencies other than the entity's functional currency are recognised at the rate of exchange prevailing at the date of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit and loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The Group has elected to continue the policy adopted for accounting for exchange differences arising from translation of long-term foreign currency monetary items outstanding and recognised in the financial statements for the period ending immediately before the beginning of the first Ind AS financial reporting period i.e. 31st March, 2016 as per the previous GAAP.

o Fair value measurement

The Group measures financial instruments, such as, derivatives and mutual funds at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the financial asset or settle the financial liability takes place either:

- In the principal market, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic

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best interest.

The Group's management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

External valuers are involved for valuation of significant assets, such as unquoted financial assets and financial liabilities and derivatives.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

p Government grants

The Group recognises government grants only when there is reasonable assurance that the conditions attached to them will be complied with, and the grants will be received. Where Government grants relates to non-monetary assets, the cost of assets are presented at gross value and grant significantly complied thereon is recognised as income in the statement of profit and loss over the useful life of the related assets in proportion in which depreciation is charged.

Grants related to income are recognised in the statement of profit and loss in the same period as the related cost which they are intended to compensate are accounted for.

q Contract Balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional. Contract assets are subject to impairment assessment.

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional i.e. only the passage of time is required before payment of consideration is due and the amount is billable. (Refer note 3(vii))

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group

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has received consideration from the customer. Contract liabilities are recognised as revenue when the Group performs obligations under the contract.

r Revenue recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and other incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes or other amounts collected from customers.

The disclosure of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3 (vi).

The specific recognition criteria described below must also be met before revenue is recognised.

i Revenue from Power Supply

The Group's contracts with customers for the sale of electricity generally include one performance obligation. The Group has concluded that revenue from sale of electricity should be recognised at the point in time when electricity is transferred to the customer.

Revenue from operations on account of Force Majeure / change in law events in terms of PPAs with customers (Power Distribution Utilities) is accounted for by the Group based on the orders / reports of Regulatory Authorities, best management estimates, wherever needed and reasonable certainty to expect ultimate collection.

In case of PPA under section 62 of Electricity Act, 2003, revenue from sale of power is recognised based on the most recent tariff order approved by the CERC, as modified by the orders of Appellate Tribunal for Electricity ("APTEL"), to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Where the tariff rates are yet to be approved, provisional rates are adopted considering the applicable CERC Tariff Regulations.

ii) Sale of traded goods

Revenue from the sale of traded goods is recognised at the point in time when control of the goods is transferred to the customers, which generally coincides with the delivery of goods.

iii) Carrying cost in respect of claims for change in law of taxes and duties, additional cost incurred on procurement of alternative coal and on other claims are recognised upon approval by relevant regulatory authorities, best management estimates and based on reasonable certainty to expect ultimate collection.

iv) Interest income is recognised on time proportion basis at the effective interest rate ("EIR") applicable.

v) Dividend income from investments is recognised when the Group's right to receive payment is established.

vi) Late payment surcharge on delayed payment for power supply is recognised based on receipt / collection from customers or on acceptance / acknowledgement by the customers whichever is earlier.

s Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, that necessarily take a substantial period of time to get ready for their intended use or sale, are capitalised as part of the cost of the asset, until such time as the assets are substantially ready for their intended

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use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred. Borrowing cost consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing cost.

t Employee benefits

i) Defined benefit plans:

The Group has obligations towards gratuity, a defined benefit retirement plan covering eligible employees (in some cases funded through Group Gratuity Scheme of Life Insurance Corporation of India). The Group accounts for the liability for the gratuity benefits payable in future based on an independent actuarial valuation carried out using Projected Unit Credit Method.

Defined benefit costs in the nature of current and past service cost and net interest expense or income are recognized in the statement of profit and loss in the period in which they occur. Remeasurement, comprising of actuarial gains and losses, the effect of changes to the asset ceiling (excluding amounts included in net interest or the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability) are recognised immediately in the balance sheet with corresponding debit or credit to retained earnings through OCI in the period in which it occurs. Remeasurement are not classified to statement of profit and loss in subsequent periods. Past service cost is recognised in statement of profit and loss in the period of a plan amendment.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognises the following changes in the net defined benefit obligation as an expense in the consolidated statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

ii) Defined contribution plan:

Retirement Benefits in the form of Provident Fund and Family Pension Fund which are defined contribution schemes are charged to the statement of profit and loss for the period in which the contributions to the respective funds accrue as per relevant statutes.

iii) Compensated Absences:

Provision for Compensated Absences and its classifications between current and non-current liabilities are based on independent actuarial valuation. The actuarial valuation is done as per the projected unit credit method as at the reporting date.

iv) Short term employee benefits:

These are recognised at an undiscounted amount in the Statement of Profit and Loss for the year in which the related services are rendered.

u Leases

The Group as lessor

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the

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risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is generally recognised on a straight-line basis over the term of the relevant lease. Where the rentals are structured solely to increase in line with expected general inflation to compensate for the Company's expected inflationary cost increases, such increases are recognised in the year in which such benefits accrue. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

The Group as lessee

The Group recognises right-of-use assets and lease liabilities for all leases except for short-term leases and leases of low-value assets. The Group records the lease liability at the present value of the lease payments discounted at the incremental borrowing rate at the date of initial application and right of use asset at an amount equal to the lease liability adjusted for any prepayments/accruals recognised in the balance sheet.

The Group also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months at the date of initial application
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contains options to extend or terminate the lease

v Taxes on Income

Tax on Income comprises current tax and deferred tax. These are recognised in statement of profit and loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

Current tax

Tax including Minimum Alternative Tax ("MAT") on income for the current period is determined on the basis of estimated taxable income and tax credits computed in accordance with the provisions of the relevant tax laws and based on the expected outcome of assessments / appeals. Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted, at the reporting date. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax for the year. The deferred tax asset is recognised for MAT credit available only to the extent that it is probable that the Group will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Group recognizes MAT credit as an

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asset, it is created by way of credit to the statement of profit and loss and shown as part of deferred tax asset.

Deferred tax

Deferred tax is recognized for the future tax consequences of deductible temporary differences between the carrying values of assets and liabilities and their respective tax bases at the reporting date. Deferred tax liabilities are generally recognised for all taxable temporary differences except when the deferred tax liability arises at the time of transaction that affects neither the accounting profit or loss nor taxable profit or loss. Deferred tax assets are generally recognized for all deductible temporary differences, carry forward of unused tax credits and any unused tax losses, to the extent that it is probable that future taxable income will be available against which the deductible temporary differences and carry forward of unused tax credit and unused tax losses can be utilised, except when the deferred tax asset relating to temporary differences arising at the time of transaction affects neither the accounting profit or loss nor the taxable profit or loss. Deferred tax relating to items recognized outside the statement of profit and loss is recognized outside the statement of profit and loss, either in other comprehensive income or directly in equity. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantially enacted by the end of the reporting period.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable entity which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

w Earnings per share

Basic earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) as adjusted for the effects of dividend, interest and other charges relating to the dilutive potential equity shares by weighted average number of shares plus dilutive potential equity shares.

x Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of amount cannot be

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made.

Contingent liabilities may arise from litigation, taxation and other claims against the Group. Where it is management's assessment that the outcome is uncertain or cannot be reliably quantified, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote.

Contingent assets are not recognised but are disclosed in the notes where an inflow of economic benefits is probable.

A contingent liability recognised in a business combination is initially measured at its fair value. Subsequently, it is measured at the higher of the amount that would be recognised in accordance with the requirements for provisions above or the amount initially recognised less, when appropriate, cumulative amortisation recognised in accordance with the requirements for revenue recognition.

y Impairment of non-financial assets

At the end of each reporting period, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset or cash-generating unit ("CGU") is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

The Group bases its impairment calculation on detailed budget and forecast calculations, which are prepared separately for each of the Group's cash-generating unit to which the individual assets are allocated. For longer periods, a long term growth rate is calculated and applied to project future cash flows. To estimate cash flow projections beyond periods covered by the most recent budget / forecasts, the Company estimates cash flow projections based on estimated growth rate.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the consolidated statement of profit and loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in statement of profit and loss.

z Mine Development Expenditure :

- i) Expenditure incurred towards coal mines under construction are capitalised to 'Coal Mines under construction' as long as they meet the capitalisation criteria and is presented as capital work-in-progress. Upon commencement of production stage, the 'Coal Mines under construction'

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is capitalised and presented as 'Mining Rights' under Intangible Assets except in situation when the Company decide to surrender its rights in mine and amount is classified as recoverable from Nominated Authorities.

- ii) Mining Rights are amortised using unit-of-production method on the basis of proven and probable reserves on commencement of commercial production.

Mine Closure Obligations :

The liability for meeting the mine closure has been estimated based on the mine closure plan in the proportion of total area exploited to the total area of the mine as a whole. These costs are updated annually during the life of the mine to reflect the developments in mining activities. The mine closure obligations are included in Mining Rights under Intangible assets and amortised based on unit of production method.

3 Significant accounting judgements, estimates and assumptions

The preparation of the Group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The estimates and assumptions are based on historical experience and other factors that are considered to be relevant. The estimates and underlying assumptions are reviewed on an ongoing basis and any revisions thereto are recognised in the period of revision and future periods if the revision affects both the current and future periods. Uncertainties about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Key Sources of estimation uncertainty :

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

i) Useful lives of property, plant and equipment

In case of the power plant assets, where the life of the assets has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the asset and the current operating condition of the asset, depreciation on the same is provided based on the useful life of each component based on technical assessment, if materially different from that of the main asset.

ii) Fair value measurement of financial instruments

In estimating the fair value of financial assets and financial liabilities, the Group uses market observable data to the extent available. Where such Level 1 inputs are not available, the Group establishes appropriate valuation techniques and inputs to the model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in note 58.

iii) Defined benefit plans (gratuity benefits)

The cost of the defined benefit gratuity plan and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and

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its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining the present value of defined benefit obligations are disclosed in note 59.

iv) Impairment of non financial assets

Determining whether property, plant and equipments and goodwill are impaired, it requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, change in law claims, operational performance of the Plants, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management. (Refer note 51).

v) Taxes

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits under the Income Tax Act, 1961. Deferred tax assets is recognised to the extent of the corresponding deferred tax liability. (Also refer note 23).

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

vi) Income / Revenue

Revenue from Operations on account of Force Majeure / Change in Law events or Other Income on account of carrying cost in terms of Power Purchase Agreements with various State Power Distribution Utilities is accounted for / recognised by the Group based on best management estimates following principles of prudence, as per the orders / reports of Regulatory Authorities, and the outstanding receivables thereof in the books of account may be subject to adjustments on account of final orders of the respective Regulatory Authorities, Hon'ble Supreme Court of India ("Hon'ble Supreme Court") and final closure of the matters with the respective Discoms. (Refer note 32 and 33).

In certain cases, the Group has claimed compensation from the Discoms based on management's interpretation of the regulatory orders and various technical parameters, which are subject to final verification and confirmation by the respective Discoms, and hence, in these cases, the revenues have been recognised during various financial years / periods, on a prudent basis with conservative attributable parameters in the books. The necessary true-up adjustments for revenue claims (including carrying cost / delayed payment surcharge) are made in the books on final acknowledgement / regulatory orders / settlement of matters with respective Discoms or eventual recovery of the claims, whichever is earlier.

In case of Udupi TPP, Revenue from sale of power is recognised upon judgement by the management for recoverability of the claims based on the relevant contractual terms / provisional tariff rates as provided by the regulator / governing tariff regulations, to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangement with the customers, which may be subject to adjustments in future years, on receipt of final orders of the respective Regulatory Authorities or final closure of the matter with the customers. (Refer note 32 and 33).

vii) Classification of Trade Receivables :

In cases of circumstances / matters where there are pending litigations on regulatory matters / change in law claims, the classification of disputed / undisputed trade receivables is a matter of judgement based on facts and circumstances. The Group has evaluated the fact pattern and circumstances, including ongoing discussions with the Discoms, for each such regulatory matter pending to be adjudicated by the relevant authority.

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In cases, where rule of law and principles of economic restitution have already been established by APTEL / Supreme Court in similar matters, the revenues are recognised on prudent and conservative technical parameters, significant amounts have been recovered already and the management does not perceive any downside risks in future on final adjudication by Supreme Court and settlement of matter with Discoms, the related receivables are classified as undisputed.

In cases, where discussions with Discoms have not made reasonable progress and matters are sub-judice, the related receivables are classified as disputed, even though the management is reasonably confident of recovering the dues in full, backed by the regulatory orders in favour of the Group.

The management will continue to monitor the developments on regulatory claims.

viii) **Mega Power Status :**

One of the thermal power plant has availed exemption of customs / excise duty in pursuance to terms of the provisional mega power policy as notified by the Government of India. The Group has not recognised for the reduction in cost to property, plant and equipment as a grant, pending compliance of terms of Mega Power Status which needs to be attained within 156 months, from the date of import of plant and equipment as per approval by the Ministry of Power ("MoP"), Government of India vide amendment dated 7th April, 2022. The management is of the view that the Group will comply with the grant conditions within the specified time. The Group will recognise grant to the extent of the duty waiver availed in the year of receipt of final mega power status to said thermal power plant or corresponding liability if any on expiry of the time lines specified in the MoP approval.

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All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-in-Progress (Refer Note 51)

Description of Assets

	Land - Freehold	Right-of-Use Assets (Refer note (ix) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Tangible Assets					Total	Capital Work-In-Progress (Refer note (xiii) and (xiv) below)
					Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles		
I. Cost											
Balance as at 1st April, 2021	873.89	695.36	1,724.83	66,252.06	33.52	473.91	38.57	56.48	23.09	70,171.71	6,439.42
Additions	1.42	97.20	37.98	185.80	3.51	-	8.19	14.43	2.82	351.35	4,149.63
Effect of foreign currency exchange differences Loss (net)	-	-	-	148.83	-	-	-	-	-	148.83	-
Transfer (out) / in	-	-	(187.93)	187.95	-	-	-	-	(0.02)	-	(55.57)
Disposals / Discarded / Adjustments	-	-	(113.33)	0.31	(1.26)	(0.14)	(1.67)	(2.20)	(1.35)	(119.64)	(263.74)
Additions on account of acquisition of subsidiary (Refer note 42)	141.87	35.30	171.86	2,817.37	0.32	5.15	0.27	0.40	0.13	3,172.67	-
Balance as at 31st March, 2022	1,017.18	827.86	1,633.41	69,592.32	36.09	478.92	45.36	69.11	24.67	73,724.92	10,269.74
Additions	68.21	86.29	267.70	211.59	4.55	1.56	17.61	22.22	10.44	690.17	3,227.13
Effect of foreign currency exchange differences Loss (net)	-	-	-	108.14	-	-	-	-	-	108.14	-
Transfer (out) / in	-	-	-	(0.50)	-	-	-	-	0.50	-	-
Disposals / Discarded / Adjustments	-	-	(1.42)	(119.34)	(5.34)	-	(4.07)	(5.66)	(2.53)	(138.36)	(617.33)
Balance as at 31st March, 2023	1,085.39	914.15	1,899.69	69,793.21	35.30	480.48	58.90	85.67	32.08	74,384.87	12,879.54
II. Accumulated depreciation and amortisation											
Balance as at 1st April, 2021	-	46.68	73.61	17,125.53	18.31	254.57	23.91	40.77	13.09	17,596.47	
Depreciation / Amortisation charge for the year (Refer note (iii) below)	-	23.80	55.50	3,001.12	2.90	23.40	5.42	3.37	2.30	3,117.81	
Transfer (out) / in	-	-	(4.69)	4.69	-	-	-	-	-	-	
Disposals / Adjustments	-	-	(113.33)	58.22	(1.11)	(0.07)	(1.55)	(1.90)	(1.24)	(60.98)	
Balance as at 31st March, 2022	-	70.48	20.47	20,180.18	20.10	277.90	27.78	42.24	14.15	20,653.30	
Depreciation / Amortisation charge for the year (Refer note (iii) below)	-	24.90	68.18	3,137.07	2.88	23.78	7.39	5.91	2.47	3,272.58	
Transfer (out) / in	-	-	-	(0.23)	-	-	-	-	0.23	-	
Disposals / Adjustments	-	-	(0.18)	(68.00)	(5.06)	-	(3.86)	(5.30)	(2.41)	(84.81)	
Balance as at 31st March, 2023	-	95.38	88.47	23,249.48	17.92	301.68	31.31	42.85	13.98	23,841.07	

Description of Assets

	Land - Freehold	Right-of-Use Assets (Refer note (ix) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Tangible Assets					Total	Capital Work-In-Progress (Refer note (xiii) and (xiv) below)
					Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles		
Carrying amount :											
As at 31st March, 2022	1,017.18	757.38	1,612.94	49,412.14	15.99	201.02	17.58	26.87	10.52	53,071.62	10,269.74
As at 31st March, 2023	1,085.39	818.77	1,811.22	46,543.73	17.38	178.80	27.59	42.82	18.10	50,543.80	12,879.54

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All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

- i) For charge created on aforesaid assets, refer note 19 and 25.
- ii) In case of Mundra thermal power plant ("Mundra TPP"), the Company has availed tax and duty benefit in the nature of exemptions from Custom Duty, Excise Duty, Service Tax, VAT and CST on its project procurements. The said benefits were availed by virtue of SEZ approval granted to the Power Plant in December 2006, in terms of the provisions of the Special Economic Zones Act, 2005 (hereinafter referred to as the 'SEZ Act') and the Special Economic Zone Rules, 2006 which entitled the Power Plant to procure goods and services without payment of taxes and duties as referred above.

The Company in respect of Tiroda thermal power plants ("Tiroda TPP") and Kawai thermal power plants ("Kawai TPP") have availed tax and duty benefit in the nature of exemptions from Custom Duty and Excise Duty on its project procurements. The said benefits were availed by virtue of power plants being designated as Mega Power Project in accordance with the policy guidelines issued in this regard by the Ministry of Power, Government of India which entitled Tiroda TPP and Kawai TPP to procure goods and services without payment of taxes and duties as referred above.

Since, the procurement of goods and services during the project period were done by availing the exemption from payment of aforesaid taxes and duties, the amount capitalised for the said power plant as on the put to use date, is cost of property, plant and equipment (PPE) net off tax and duty benefit availed. In compliance with Ind AS 20 – "Government Grant", Mundra TPP, Kawai TPP and Tiroda TPP have opted to gross up the value of its PPE by the amount of tax and duty benefit / credit availed after considering the same as government grant. The amount of said government grant (net off accumulated depreciation) as on the transition date has been added to the value of PPE with corresponding credit made to the deferred government grant. The amount of grant is amortised over useful life of PPE along with depreciation on PPE. The amount of deferred liability is amortised over the useful life of the PPE with credit to statement of profit and loss classified under the head "Other Income".

The Group has Government grant balance (net) of ₹4,487.33 Crores till 31st March, 2023 (Previous year ₹4,791.40 Crores).

- iii) In case of Adani Power (Jharkhand) Limited ("APJL") and Pench Thermal Energy (MP) Limited ("PTEML"), Depreciation of ₹2.67 Crores and ₹0.88 Crores (Previous year ₹2.96 Crores and ₹0.76 Crores) respectively relating to project assets have been allocated to Capital Work in Progress.
- iv) During the year, finance cost of ₹828.49 Crores (Previous year: ₹686.14 Crores) relating to qualifying assets have been added to Capital Work in Progress.
- v) Cost of Property Plant and Equipment includes carrying value recognised as deemed cost as of 1st April, 2015, measured as per previous GAAP and cost of subsequent additions.
- vi) During the year, Capital work in Progress includes indirect cost of ₹241.05 Crores (net of ₹220.65 Crores of trial run power generation and other income) (Previous Year ₹176.87 Crores (net of ₹4.52 Crores of other income)) on account of Project Development Expenditure.
- vii) During the year, an amount of ₹33.97 Crores was expensed out of carrying amount of Capital Work in Progress towards impairment of project cost.
- viii) During the previous year, an amount of ₹55.57 Crores was transferred from balance of Capital Work in Progress to Other non current financials assets - Others. (Refer Note 6)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

ix) Right of use assets

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Cost :				
Balance as at 1st April, 2021	686.76	0.85	7.75	695.36
Additions	96.45	0.36	0.39	97.20
Additions on account of acquisition of subsidiary	35.30	-	-	35.30
Balance as at 31st March, 2022	818.51	1.21	8.14	827.86
Additions	86.29	-	-	86.29
Balance as at 31st March, 2023	904.80	1.21	8.14	914.15
Accumulated amortisation :				
Balance as at 1st April, 2021	43.14	0.56	2.98	46.68
Amortisation for the year	21.84	0.20	1.76	23.80
Balance as at 31st March, 2022	64.98	0.76	4.74	70.48
Amortisation for the year	23.32	0.24	1.34	24.90
Balance as at 31st March, 2023	88.30	1.00	6.08	95.38
Carrying amount :				
As at 31st March, 2022	753.53	0.45	3.40	757.38
As at 31st March, 2023	816.50	0.21	2.06	818.77

- x) The Company in case of Tiroda TPP, Kawai TPP, Mundra TPP, Raipur TPP, Raigarh Thermal Power Plant ("Raigarh TPP"), solar bitta plant, Adani Power Jharkhand Limited ("APJL"), Adani Power Dahej Limited ("APDL"), Aviceda Infra Park Limited ("AIPL") and Pench Thermal Energy (MP) Limited ("PTEML") have obtained Land under lease from various parties for a lease period of 2 to 99 years. The Group is restricted from assigning and subleasing the said leased assets.
- xi) In November 2007, the Company obtained Land under lease from Karnataka Industrial Areas Development Board (Lessor) for its Udupi TPP for 11 years from the date of agreement whose validity period of Lease Agreement was further extended from Lessor till 11th September, 2022. As at year end, in terms of lease agreement, the Company is in the process to exercise its option to get the lease deed converted to sale deed as the terms and conditions of land allotment has been fulfilled. Since the entire amount of ₹76.64 Crores which was considered in Lease-cum-Sale Agreement is considered as a sale consideration on expected.
- xii) During the F.Y. 2009-10 to F.Y. 2013-14, Mahan Energen Limited ("MEL") had obtained Land under lease from Government of Madhya Pradesh amounting to ₹38.75 Crores which will remain leasehold for 99 years from the date of agreement. The Group is restricted from assigning and subleasing the said leased assets.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

xiii) Break up of Capital-work-in-progress is as below:-

Particulars	As at 31st March, 2023	As at 31st March, 2022
Land and Site development expense	15.60	15.94
Building and other civil work	2,958.18	2,251.48
Plant and equipments	7,130.02	6,299.67
Project development expenses		
Employee Benefits Expense	145.48	105.06
Finance Costs	2,054.43	1,225.94
Other Expenses	819.15	394.31
Trial Run and Other Income	(243.32)	(22.66)
Total	12,879.54	10,269.74

xiv) Capital Work-In-Progress Ageing schedule:

a. as at 31st March 2023

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	2,802.93	3,855.11	4,104.56	2,104.68	12,867.28
Projects temporarily suspended	-	-	-	12.26	12.26
Total	2,802.93	3,855.11	4,104.56	2,116.94	12,879.54

b. as at 31st March 2022

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	3,920.52	4,107.25	1,867.22	295.88	10,190.87
Projects temporarily suspended	-	0.03	1.06	77.78	78.87
Total	3,920.52	4,107.28	1,868.28	373.66	10,269.74

The Company do not have any capital-work-in progress whose completion is overdue or has exceeded its cost compared to its original plan except below.

c. Details of the project whose completion is overdue as at 31st March 23: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	59.16	-	-	59.16
Total	-	59.16	-	-	59.16

d. Details of the project whose completion is overdue as at 31st March 22: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	-	92.86	-	92.86
Total	-	-	92.86	-	92.86

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

Note :

The capital assets in the nature of Railway Siding for Raigarh TPP forming part of Capital Work-In-Progress have become overdue compared to the original completion plan as the Company is in process of acquiring additional land for completing the asset under development. The Management expects to acquire additional land from the government authorities and has already obtained in principle approval from railway authorities for the said project. Post acquisition of the additional land, the management will update the estimate and assumption of the original completion plan of the assets. Further, given that demand of power is expected to be higher compared with generation capacity available in the industry, the development of asset forming part of Capital Work-In-Progress will have economic viability for the Company.

Further, during the year, the Company has expensed cost of Capital Work in Progress of ₹33.97 Crores.

e. Details of the project temporarily suspended as at 31st March 23: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects temporarily suspended - Power plant project	12.26	-	-	-	12.26
Total	12.26	-	-	-	12.26

f. Details of the project temporarily suspended as at 31st March 22: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects temporarily suspended - Power plant project	78.87	-	-	-	78.87
Total	78.87	-	-	-	78.87

4.2 Investment Properties

Particulars	Leasehold Land	Building	Total
I. Gross carrying amount			
Balance as at 1st April, 2021	-	-	-
Additions	-	-	-
Transfer	-	-	-
Balance as at 31st March, 2022	-	-	-
Addition on account of acquisition of subsidiaries (Refer note 32(vi) and 67)	1,530.89	1.20	1,532.09
Additions	25.48	-	25.48
Disposals (Refer note 32(vi))	(835.70)	(1.20)	(836.90)
Balance as at 31st March, 2023	720.67	-	720.67
II. Accumulated Depreciation			
Balance as at 1st April, 2021	-	-	-
Amortisation for the year	-	-	-
Disposals	-	-	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.2 Investment Properties (Contd.)

Particulars	Leasehold Land	Building	Total
Balance as at 31st March, 2022	-	-	-
Amortisation for the year	30.75	0.03	30.78
Disposals (Refer note 32(vi))	(15.02)	(0.03)	(15.05)
Balance as at 31st March, 2023	15.73	-	15.73

Particulars	Leasehold Land	Building	Total
Carrying amount :			
As at 31st March, 2022	-	-	-
As at 31st March, 2023	704.94	-	704.94

The Company have obtained Investment Properties under lease for a period of 37 to 43 years and are amortised over a period of lease.

The fair value of Investment property approximates the carrying value presented where the fair valuation has been done by a reputed independent valuer.

Particulars	Leasehold Land	Building	Total
Fair value :			
As at 31st March, 2022	-	-	-
As at 31st March, 2023	750.00	-	750.00

4.3 Goodwill

Goodwill of ₹6.95 Crores arose on acquisition of Tiroda TPP during the FY 2012-13 on account of amalgamation of Growmore Trade and Investment Private Limited with erstwhile Adani Power Maharashtra Limited (Now amalgamated with the Company) and ₹183.66 Crores upon acquisition of erstwhile Udupi Power Corporation Limited (now amalgamated with the Company) during the FY 2015-16.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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4.4 Intangible Assets

Particulars	Computer Software	Mining Rights	Total
I. Cost			
Balance as at 1st April, 2021	28.46	73.14	101.60
Additions	3.12	-	3.12
Disposals / other adjustments (Refer note (ii) below)	(2.15)	(73.14)	(75.29)
Balance as at 31st March, 2022	29.43	-	29.43
Additions	3.92	-	3.92
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	33.31	-	33.31
II. Accumulated amortisation and impairment			
Balance as at 1st April, 2021	16.15	-	16.15
Amortisation for the year	3.45	-	3.45
Disposals	(2.15)	-	(2.15)
Balance as at 31st March, 2022	17.45	-	17.45
Amortisation for the year	3.87	-	3.87
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	21.28	-	21.28
Particulars	Computer software	Mining Rights	Total
Carrying amount :			
As at 31st March, 2022	11.98	-	11.98
As at 31st March, 2023	12.03	-	12.03

i) For charge created on aforesaid assets, refer note 19 and 25.

ii) The Company, in case of its Raipur TPP has surrendered mining rights for Talabira Mine and thus decapitalised the mining rights during the previous year and amount recoverable from nominated authority has been shown under Other Financial Assets.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments

	As at 31st March, 2023	As at 31st March, 2022
Unquoted Investments (fully paid) (Valued at amortised cost)		
(a) Investment in Optionally Convertible Cumulative Debentures ("OCCD")		
Sal Technologies and Solutions Limited	42.50	-
4,25,00,000 (Previous year - Nil) 0.001% Optionally Convertible Cumulative Debenture of ₹10 each (Refer note (i) below)		
(b) Investment in Government Securities (unquoted) (Valued at cost)		
National Saving Certificate (lying with government authority)	0.01	0.01
(c) Investments in Equity Instruments (at fair value through OCI)		
Adani Naval Defence Systems and Technologies Limited (Refer note (ii) below)		
4,500 Shares (Previous year - 4,500 Shares)	*	*
Total	42.51	0.01

(Figures below ₹50,000 are denominated with *)

Notes :

- During the year, the Group has invested ₹42.50 Crores into OCCD of Sal Technologies and Solutions Limited. These OCCD shall be optionally converted into equity share capital or will be redeemed at the discretion of holder at any time within 10 years from the date of issue. Further, the Group has entered into an agreement with Sal Technologies and Solutions Limited ("SAL") for purchase of land and building wherein remaining amount of ₹22.50 Crores is to be paid to SAL as at 31st March 2023.
- Investments at Fair Value Through Other Comprehensive Income (FVTOCI) reflect investment in unquoted equity instruments. These equity shares are designated as FVTOCI as they are not held for trading purpose, thus disclosing their fair value change in profit and loss will not reflect the purpose of holding.

6 Other Non-current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022
Bank balances held as Margin money (security against borrowings and others) (Refer note 19 and 25)	333.03	424.01
Fixed deposits with banks	-	2.20
Derivative assets (net) (Refer note (i) below)	72.71	67.61
Interest accrued but not due	9.51	5.66
Security deposits	87.64	166.50
Others (Refer note 43, 47 and 48)	276.82	190.06
Total	779.71	856.04

Notes:

- Interest rate swap of ₹20.75 Crores (Previous year ₹67.61 Crores) and Principal only swap of ₹51.96 Crores (Previous year ₹ Nil) of instruments designated as cash flow hedges.
- The fair value of Other Non-current Financial Assets approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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7 Other Non-current Assets

	As at 31st March, 2023	As at 31st March, 2022
Capital advances (including towards land acquisition)	357.43	427.64
Advances for goods and services	247.74	286.55
Advance tax including tax deducted at source (Net of provision)	322.79	50.91
Deposit with government authorities	173.53	135.33
Gratuity fund (net) (Refer note 59)	-	11.28
Advance to employee	1.83	1.39
Contract assets (Unbilled receivable Including Deferred tax recoverable)	-	262.29
Prepaid expenses	11.81	14.33
Other receivables (Refer note 49)	-	163.23
Total	1,115.13	1,352.95

8 Inventories

	As at 31st March, 2023	As at 31st March, 2022
(At lower of cost and net realisable value)		
Fuel (in transit ₹656.07 Crores (Previous year ₹520.55 Crores))	2,525.11	1,778.80
Stores and spares	550.09	479.47
Total	3,075.20	2,258.27

Notes:

- For charges created on inventories, refer note 19 and 25.
- Net off ₹91.46 Crores (Previous year - ₹79.33 Crores) towards write-down of inventory.

9 Current Investments

Unquoted Investments (Fully Paid) (At FVTPL)

	As at 31st March, 2023	As at 31st March, 2022
Investment in Mutual Funds (Unquoted)		
17,26,837.11 Units (Previous year Nil Units) SBI Liquid Fund Direct Growth	608.42	-
8,557.76 Units (Previous year 529,376.32 Units) SBI Overnight Fund Direct Growth	3.12	183.24
Total	611.54	183.24

- For charges created on investments, refer note 19 and 25.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

10 Trade Receivables

	As at 31st March, 2023	As at 31st March, 2022
Secured, considered good	1,821.42	1,385.98
Unsecured, considered good (Refer notes below)	9,707.94	8,174.94
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables - Credit impaired	-	-
Total	11,529.36	9,560.92

Notes:

i) For charges created on Trade Receivables, (Refer note 19 and 25).

ii) Credit concentration

As at 31st March, 2023, out of the total trade receivables 93.81% (Previous year - 97.17%) pertains to dues from State Electricity Distribution Companies under contractual agreement through Power Purchase Agreements ("PPAs"), including receivables on account of claims under Force Majeure / Change in Law matters, carrying cost thereof etc. and remaining receivables from related parties (Refer note 72) and others.

iii) Expected Credit Loss (ECL)

The Group is having majority of receivables against power supply from State Electricity Distribution Companies ("Discoms") which are Government undertakings.

The Group is regularly receiving its normal power sale dues from Discom and in case of regulatory revenue claims, the same is recognised on conservative basis based on best management estimates following principles of prudence, as per the binding regulatory orders. In case of delayed payments apart from carrying cost on settlement of claims, the Group is entitled to receive interest as per the terms of PPAs. Hence they are secured from credit losses in the future.

iv) Trade receivables includes Customers' bills discounted of ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores).

v) Also refer note 32 and 55.

vi) The fair value of Trade receivables approximate the carrying value presented. (Also refer note 57)

11 Cash and Cash equivalents

	As at 31st March, 2023	As at 31st March, 2022
Balances with banks		
In current accounts	344.40	399.57
Fixed deposits (with original maturity for three months or less) (Refer note (ii) below)	-	382.80
Cheques on hand	4.83	-
Total	349.23	782.37

Notes :

i) For charges created on Cash and Cash equivalents, refer note 19 and 25.

ii) The fair value of Fixed deposits approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

12 Bank balances (Other than cash and cash equivalents)

	As at 31st March, 2023	As at 31st March, 2022
Bank balances held as Margin money (With original maturity for more than three months)	1,524.42	1,577.87
Fixed deposits (With original maturity for more than three months)	-	4.44
Total	1,524.42	1,582.31

Notes:

- For charges created on Bank balances (Other than cash and cash equivalents), refer note 19 and 25.
- The fair value of Bank balances (Other than cash and cash equivalents) approximate the carrying value presented. (Also refer note 57)

13 Current Loans

	As at 31st March, 2023	As at 31st March, 2022
(Unsecured, considered good)		
Loans to related parties (Refer Note 72)	-	4.83
Loans to employees	3.19	2.79
Total	3.19	7.62

Note:

- The fair value of Loans approximate the carrying value presented. (Also refer note 57)

14 Other Current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022
Interest accrued but not due	40.12	44.76
Contract Assets (Unbilled Revenue)	0.18	2.34
Security deposits	211.31	160.20
Derivative assets (net) (Refer note (i) below)	299.27	89.03
Other receivables	6.62	11.95
Total	557.50	308.28

Notes:

- Includes Option contracts of ₹ Nil (Previous year ₹84.27 Crores), Principal Rate Swap ₹202.92 Crores (Previous year ₹ Nil), Forward contracts of ₹0.05 Crores (Previous year ₹ Nil) and interest rate swap of ₹96.30 Crores (Previous year ₹4.76 Crores) of instruments designated as cash flow hedges.
- The fair value of Other Current Financial Assets approximate the carrying value presented. (Also refer note 57).

15 Other Current Assets

	As at 31st March, 2023	As at 31st March, 2022
Advances for goods and services	1,691.85	1,357.60
Prepaid expenses	106.56	108.04
Advance to Employees	0.79	0.71
Others (Recoverable from Government authorities)	103.36	69.02
Other Receivables	-	9.69
Total	1,902.56	1,545.06

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for the year ended 31st March, 2023

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16 Share Capital

	As at 31st March, 2023	As at 31st March, 2022
Authorised Share Capital (Refer Note 65)		
2480,00,00,000 (Previous Year - 450,00,00,000) equity shares of ₹10 each	24,800.00	4,500.00
50,00,00,000 (Previous Year - 50,00,00,000) Cumulative Compulsory Convertible Participatory Preference shares of ₹10 each	500.00	500.00
750,00,00,000 (Previous Year - Nil) Compulsory Convertible Preference shares of ₹10 each	750.00	-
10,00,00,000 (Previous Year - Nil) Redeemable Preference shares of ₹100 each	1,000.00	-
9,50,00,000 (Previous Year - Nil) Preference shares of ₹100 each	950.00	-
Total	28,000.00	5,000.00
Issued, Subscribed and Fully paid-up equity shares		
3,85,69,38,941 (Previous year - 3,85,69,38,941) fully paid up equity shares of ₹10 each	3,856.94	3,856.94
Issued, Subscribed and Fully paid-up Preference shares		
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	415.86	415.86
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 18 & 19)	(415.86)	(415.86)
Issued, Subscribed and Partly paid-up Preference shares		
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each and ₹60/- each paid up	300.00	300.00
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 18 & 19)	(300.00)	(300.00)
Total	3,856.94	3,856.94

a. (i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Equity Shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94
Issued during the year	-	-	-	-
Outstanding at the end of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94

a. (ii) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Preference shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	9,15,86,207	715.86	4,15,86,207	415.86
Issued during the year (Refer note 64)	-	-	5,00,00,000	300.00
Outstanding at the end of the year	9,15,86,207	715.86	9,15,86,207	715.86

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

16 Share Capital (Contd.)

b. Terms / rights attached to equity shares

- i) The Company has only one class of equity shares having par value of ₹10 per share. Each holder of equity shares is entitled to one vote per share.
- ii) In the event of liquidation of the Company the holders of the equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders.

c. Terms/rights attached to preference shares

- i) The preference shares rank ahead of the equity shares in the event of a liquidation.
- ii) The terms of the preference shares and segregation into liability and equity portions of these shares are explained in note 63 and 64.

d. Details of shareholders holding more than 5% shares in the Company

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	No. of Shares	% holding in the class	No. of Shares	% holding in the class
Equity shares of ₹10 each fully paid				
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	140,51,79,633	36.43%
Adani Tradeline Private Limited*	37,71,80,885	9.78%	-	-
Adani Tradeline LLP*	-	-	37,71,80,885	9.78%
OPAL Investment Private Limited	#	#	21,32,36,910	5.53%
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	19,28,46,900	5.00%
Afro Asia Trade and Investments Limited	26,54,85,675	6.88%	26,54,85,675	6.88%
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	44,21,86,652	11.46%
	269,93,12,565	69.98%	289,61,16,655	75.08%

During the year, shares held by OPAL Investment Private Limited has been reduced to 4.69% and hence the disclosure is not applicable in the current year.

e. Details of shares held by promoters

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	1.17%
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	-	-	(100.00%)
Adani Tradeline Private Limited*	37,71,80,885	9.78%	100.00%
Adani Tradeline LLP*	-	-	(100.00%)
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-

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All amounts are in ₹ Crores, unless otherwise stated

16 Share Capital (Contd.)

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

As at 31st March, 2022

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	140,51,79,633	36.43%	-
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	1,64,32,820	0.43%	-
Adani Tradeline LLP*	37,71,80,885	9.78%	-
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

* During the current financial year, Adani Tradeline LLP has been converted into Private Limited Company with the name Adani Tradeline Private Limited w.e.f. 6th July, 2022.

17 Unsecured Perpetual Securities

	As at 31st March, 2023	As at 31st March, 2022
At the beginning of the year	13,215.00	12,615.00
Add: Issued during the year	566.49	600.00
Less: Reduction on account of sale of subsidiary (Refer note 32(vi))	(566.49)	-
Outstanding at the end of the year	13,215.00	13,215.00

Notes:

- The Group has issued Unsecured Perpetual Securities ("Securities"), which are perpetual in nature with no maturity or redemption and are callable only at the option of the issuer. The distribution on these Securities are cumulative at 9% to 10.67% p.a. (Previous year 9% to 11% p.a.) and at the discretion of the issuer. As these securities are perpetual in nature and ranked senior only to the Equity Share Capital of the respective entities and the issuer does not have any redemption obligation, these are considered to be in the nature of equity instruments.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

18 Other Equity

	As at 31st March, 2023	As at 31st March, 2022
Capital Reserve	1,768.32	1,768.32
Securities Premium	7,409.83	7,409.83
General Reserve	9.04	9.04
Cash flow hedge reserve	46.96	7.32
Deemed Equity Contribution (Refer note 19(4))	2,845.94	1,772.93
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	246.55	246.55
Equity instruments through OCI	-	-
Retained earnings	477.08	(9,582.49)
Total	12,803.72	1,631.50

Particulars	As at 31st March, 2023	As at 31st March, 2022
a. Capital Reserve		
Opening Balance	1,768.32	1,389.40
Add: Addition on account of acquisition of subsidiary (Refer note 42)	-	378.92
Closing Balance	1,768.32	1,768.32
b. Deemed Equity Contribution (Refer note (v) below)		
Opening Balance	1,772.93	1,772.93
Add: Changes during the year (Refer note 19(4))	1,073.01	-
Closing Balance	2,845.94	1,772.93
c. Equity Component of Non-cumulative Compulsory Redeemable Preference Shares		
Opening Balance	246.55	-
Add : Issued during the year (Refer note 64)	-	246.55
Closing Balance	246.55	246.55
d. Equity instruments through OCI		
Opening Balance	-	-
Add : Net gain on sale of Investment classified at FVTOCI, net of tax	-	26.94
Less : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Closing Balance	-	-
e. Cash flow hedge reserve		
Opening Balance	7.32	(19.32)
Add: Recognised during the year		
Gain / (Loss) on fair value of principal only swap	67.09	(120.51)
Gain on fair value of cross currency interest rate swap	76.36	69.78
Add : Recycled to profit and loss account	(103.81)	77.37
Closing Balance	46.96	7.32
f. Retained earnings		
Opening Balance	(9,582.49)	(13,921.23)
Add : Distribution to holders of unsecured perpetual securities	(661.17)	(589.83)
Add : Profit for the year	10,726.64	4,911.58
Add : Transferred to Retained Earnings on Sale of CCPS	-	26.94
Add: Remeasurement (loss) on defined benefit plans, net of tax	(5.90)	(9.95)
Closing Balance	477.08	(9,582.49)

Notes :

- i) (a) Capital Reserve includes ₹359.80 Crores created due to amalgamation of Growmore Trade and Investment Private Limited with the Company (erstwhile Adani Power Maharashtra Limited) in the financial year 2012-13. As per the order of the Hon'ble High Court of Gujarat, the capital reserve created on amalgamation shall be treated as free reserve of the Company.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

18 Other Equity (Contd.)

- (b) Capital reserve of ₹1,029.60 Crores was created on acquisition of Raipur TPP and Raigarh TPP during the financial year 2019-20.
- (c) Capital reserve of ₹378.92 Crores was created on acquisition of subsidiary namely, Mahan Energen Limited during the previous year (Refer note 42).
- ii) Securities premium represents the premium received on issue of shares over and above the face value of equity shares. The reserve is available for utilisation in accordance with the provisions of the Companies Act, 2013.
- iii) General reserve of ₹9.04 Crores was created in the FY 2015-16 due to merger of solar power undertaking acquired from Adani Enterprises Limited, as per the scheme of arrangement approved by order of the Hon'ble High Court of Gujarat.
- iv) Equity instruments through Other Comprehensive Income : The Company has elected to recognise changes in the fair value of certain investments in equity instruments in other comprehensive income. These changes in equity instruments are accumulated through Other Comprehensive Income within equity. The Company transfers amounts from this reserve to retained earnings when the relevant equity instruments are derecognised.
- v) Deemed equity contribution represents the difference between the fair value of financial instruments and consideration paid / payable as promoters' contribution.
- vi) Retained earnings represent the amount that can be distributed as dividend considering the requirements of the Companies Act, 2013. During the year, no dividends are distributed to the equity shareholders by the Company.
- vii) The cash flow hedge reserve represents the cumulative gains or losses arising on changes in fair value of designated effective portion of hedging instruments entered for cash flow hedges. The same will be recycled to statement of profit and loss only when the hedged transaction affects the profit or loss.

19 Non-current Borrowings

	As at 31st March, 2023		As at 31st March, 2022	
	Non-Current	Current	Non-Current	Current
Secured Borrowings - at amortised cost				
Term Loans				
From Banks	14,827.62	2,010.49	20,342.89	2,617.36
From Financial Institutions and Assets Reconstruction Companies ("ARCs")	8,384.83	867.38	7,157.09	1,066.63
Trade Credits				
From Banks	3,531.07	-	3,543.26	-
	26,743.52	2,877.87	31,043.24	3,683.99
Unsecured Borrowings - at amortised cost				
Loans From Related Parties (Refer Note 72)	6,790.13	-	5,952.06	-
Loans From Others	-	-	721.59	-
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	106.89	-	97.18	-
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each (Refer note 64)	62.06	-	57.25	-
	6,959.08	-	6,828.08	-
	33,702.60	2,877.87	37,871.32	3,683.99
Amount disclosed under the head Current Borrowings	-	(2,877.87)	-	(3,683.99)
Total	33,702.60	-	37,871.32	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

19 Non-current Borrowings (Contd.)

Notes:

1. The security details for the borrowing balances:

- a. Rupee Term Loans from Banks aggregating to ₹15,584.15 Crores (Previous year ₹20,726.08 Crores), Rupee Term Loans from Financial Institutions and ARCs aggregating to ₹3,391.23 Crores (Previous year ₹3,617.94 Crores), Foreign Currency Loans from Banks aggregating to ₹763.04 Crores (Previous year ₹1,516.93 Crores), Foreign Currency Loans from Financial Institutions aggregating to ₹506.04 Crores (Previous year ₹1,513.46 Crores) carry annual weighted average interest rate of 9.14% p.a. and are secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udupi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

- b. In case of Mundra TPP, Rupee Term Loan from Banks and Trade credits (current borrowing) aggregating to ₹5,491.57 Crores (Previous year - ₹6,772.03 Crores) are further secured by pledge of 764,426,421 equity shares of the Company held by S.B. Adani Family Trust (Previous year 764,426,421) as a First charge.
- c. In case of APJL, Rupee Term Loans from Financial Institutions aggregating to ₹4,696.38 Crores (Previous year ₹2,079.26 Crores) carry annual weighted average interest rate of 10.84% p.a. and are secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis..
- d. In case of APJL, Trade credit from bank aggregating to ₹3,531.07 Crores (Previous year ₹3,543.26 Crores) carry annual weighted average interest rate of 3.84% p.a. and are secured by Letter of comfort of Power Finance Corporation Limited and Rural Electrical Corporation Limited. In turn the said letter of comfort is secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis.
- e. In case of MEL, Borrowings from Banks, Financial institutions and Asset Reconstruction Companies (ARC) aggregating to ₹1,250.00 Crores (Previous year ₹1,900.00 Crores) carry annual weighted average interest rate of 9.07% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of MEL's 1200 MW power project at Bandhora plant (Madhya Pradesh) on paripassu basis. These borrowings are further secured by pledge of 51% Equity shares of MEL, held by the Company on paripassu basis.

2. Repayment schedule for the Secured borrowing balances:

- a. In case of the Company, the secured term loans from Banks aggregating to ₹13,791.10 Crores (Previous year ₹19,634.88 Crores) and from Financial Institutions aggregating to ₹2,869.65 Crores (Previous year ₹4,114.12 Crores) respectively are repayable over a period of next 12 years in quarterly / half yearly / yearly from Financial Year 2023-24 to Financial year 2034-35. During the year, the Company has also made prepayments of ₹4,755.45 Crores.

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19 Non-current Borrowings (Contd.)

- b. In case of Raipur TPP, Rupee Term Loans and Foreign Currency Loans from Banks and Financial Institution aggregating to ₹2,767.75 Crores (Previous year ₹2,746.53 Crores) are repayable in 3 equal annual installments starting from 30th June, 2026.
- c. In case of Raigarh TPP of the Company, the secured term loans from Banks aggregating to ₹674.87 Crores (Previous year ₹726.92 Crores) and from Financial Institutions aggregating to ₹141.09 Crores, including ₹71.92 Crores from ARCs (Previous year ₹151.95 Crores, including ₹77.46 Crores from ARCs) respectively are repayable in structured quarterly instalments from Financial year 2023-24 to Financial year 2026-27.
- d. In case of APJL, Rupee Term Loans from Financial Institutions aggregating to ₹4,696.38 Crores (Previous year ₹2,079.26 Crores) are repayable on equally monthly installments over a period of next 14 years from Financial year 2023-24 to Financial year 2037-38 and Trade Credit from Bank aggregating to ₹3,531.07 Crores (Previous year ₹3,543.26 Crores) are repayable on maturity up to Financial year 2024-25.
- e. In case of MEL, The restructured debt of ₹1,250.00 Crores shall be paid in 2 instalments; in March 2024 ₹500.00 Crores and March 2025 ₹750.00 Crores.

Further, for related party transactions Refer note 72.

3. Repayment schedule for the Unsecured borrowing balances:

- a. Unsecured loans from related parties of ₹6,790.13 Crores (Previous year ₹5,160.06 Crores) and from others of ₹Nil (Previous year ₹721.59 Crores) are repayable on agreed dates over a period of 2 to 4 years starting from Financial year 2024-25 to Financial year 2026-27.
 - b. up to 5% Non-cumulative Compulsory Redeemable Preference Shares aggregating to ₹ 300.00 Crores recognised at discounted value of ₹62.06 Crores (Previous year ₹57.25 Crores) are redeemable in Financial year 2041-42.
 - c. 0.01% Compulsory Redeemable Preference shares aggregating to ₹415.86 Crores (Previous year ₹415.86 Crores) recognised at discounted value of ₹106.89 Crores (previous year ₹97.18 Crores) are redeemable in structured 3 equal annual instalments from Financial year 2036-37 to Financial year 2038-39.
4. During the year, Mahan Energen Limited ("MEL") wholly owned subsidiary of the Company and Raipur TPP, since merged, have received consent letters from Emerging Market Investment DMCC and Adani Global DMCC respectively, being related parties of the Group for waiver of assigned interest free External Commercial Borrowings ("ECBs"). Since the ECBs were accounted at fair value on initial recognition on acquisition of MEL and Raipur TPP, the outstanding portion of debt component of ₹893.84 Crores in MEL and ₹179.17 Crores in Raipur TPP have been accounted as equity contribution in the books of the respective Companies.
5. The amount disclosed in security details in note 1 above and repayment schedule in note 2 above are gross amount excluding adjustments towards upfront fees.

20 Non-Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Lease liabilities	88.32	94.36
Total	88.32	94.36

Note:

The fair value of Lease Liabilities approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

21 Other Non-current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Retention money payables	-	951.06
Derivative Liabilities (net) (Refer note (i) below)	-	9.31
Total	-	960.37

Notes:

- Includes ₹ Nil (Previous year ₹9.31 Crores) of instruments designated as cash flow hedges.
- The fair value of Other Non-current Financial Liabilities are approximate the carrying value presented. (Also refer note 57)

22 Non-current Provisions

	As at 31st March, 2023	As at 31st March, 2022
Provision for Mine Closure Obligations (Refer note 45)	42.07	39.44
Provision for obligation incidental to land acquisition (Refer note 46)	65.66	78.64
Provision for Employee Benefits		
Provision for Gratuity (Refer note 59)	81.46	68.30
Provision for Leave Encashment	37.76	34.49
Total	226.95	220.87

23 Deferred Tax Liabilities (Net) (Refer Note 66)

(a) Deferred Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022
Deferred Tax Liabilities		
Property, Plant and Equipment	4,409.07	8,165.38
Others	-	0.18
Gross Deferred Tax Liabilities Total (A)	4,409.07	8,165.56
Deferred Tax Assets		
Provision for employee benefits	33.13	27.85
Expenses disallowed claimable in future years	804.37	91.76
On unabsorbed depreciation / carried forward losses	3,571.57	5,546.17
Gross Deferred Tax Assets Total (B)	4,409.07	5,665.78
Net Deferred Tax Liabilities Total (A-B)	-	2,499.78

At the current year end, the Company and each of its subsidiaries have recognised Deferred Tax Assets on unabsorbed depreciation / carried forward losses to the extent of their respective Deferred Tax Liability. (Also refer note 66)

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23 Deferred Tax Liabilities (Net) (Contd.)

(b) Movement in deferred tax liabilities (net) for the year ended 31st March, 2023

	Opening Balance as at 1st April, 2022	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Closing balance as at 31st March, 2023
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	8,165.38	(3,756.31)	-	4,409.07
Others	0.18	(0.18)	-	-
Total - (a)	8,165.56	(3,756.49)	-	4,409.07
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	27.85	5.28	-	33.13
Expenses disallowed claimable in future years	91.76	712.61	-	804.37
Unabsorbed depreciation	5,546.17	(1,974.60)	-	3,571.57
Total - (b)	5,665.78	(1,256.71)	-	4,409.07
Deferred Tax Liabilities (Net) Total - (a-b)	2,499.78	(2,499.78)	-	-

(c) Movement deferred tax liabilities (net) for the year ended 31st March, 2022

	Opening Balance as at 1st April, 2021	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Addition on account of acquisition of subsidiary (Refer note 42)	Closing balance as at 31st March, 2022
Tax effect of items constituting Deferred Tax Liabilities :					
Property, Plant and Equipment	5,169.13	2,800.34	-	195.91	8,165.38
Others	0.18	-	-	-	0.18
Total - (a)	5,169.31	2,800.34	-	195.91	8,165.56
Tax effect of items constituting Deferred Tax Assets:					
Employee Benefits	24.94	2.13	0.78	-	27.85
Expenses disallowed claimable in future years	23.68	68.08	-	-	91.76
Unabsorbed depreciation	3,792.61	1,753.56	-	-	5,546.17
Total - (b)	3,841.23	1,823.77	0.78	-	5,665.78
Deferred Tax Liabilities (Net) Total - (a-b)	1,328.08	976.57	(0.78)	195.91	2,499.78

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

23 Deferred Tax Liabilities (Net) (Contd.)

23.1 Unrecognised deductible temporary differences and unused tax losses.

Deductible temporary differences and unused tax losses for which no Deferred Tax Assets have been recognised are attributable to the following :

	As at 31st March, 2023	As at 31st March, 2022
Unrecognised tax losses and unused tax credit (Revenue in nature) (Refer note (i) below)	329.99	13,454.35
Unabsorbed depreciation (Refer note (ii) below)	22,029.70	23,820.38
Property, Plant and Equipment	3,353.98	167.09
Provision for Employee benefits	9.96	3.29
Others	71.86	-
Total	25,795.49	37,445.11

Notes:

- Out of above unutilised tax losses of ₹329.99 Crores, ₹230.82 Crores will expire in AY 2028-29, ₹99.17 Crores will expire in AY 2029-30.
- Unabsorbed depreciation of ₹22,029.70 Crores do not have expiry in respect of the Company and MEL.
- No Deferred Tax Asset has been recognised on the above unutilised tax losses, depreciation and tax credits as there is no reasonable certainty as of year end that sufficient taxable profit will be available in the near future years against which such credits can be utilised by the Group.

24 Other Non-current Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Deferred Government Grant (Refer note 4.1(ii))	4,183.15	4,487.21
Total	4,183.15	4,487.21

25 Current Borrowings

	As at 31st March, 2023	As at 31st March, 2022
Secured Borrowings - at amortised cost		
Working Capital Demand Loans From Banks	2,036.27	1,978.36
Trade Credits From Banks (Refer note 19(1)(b))	1,951.85	3,051.12
Cash Credit From Banks	490.96	661.55
Customers' Bills Discounted (recourse basis)	1,192.50	1,000.00
Current maturities of Non-Current borrowings (Refer note 19)	2,877.87	3,683.99
	8,549.45	10,375.02
Unsecured Borrowings - at amortised cost		
Loans From Related Parties (Refer note 72)	-	549.34
	-	549.34
Total	8,549.45	10,924.36

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25 Current Borrowings (Contd.)

Notes:

- i) Working Capital Demand Loans, Trade Credits, Cash Credits and Customers' Bills Discounted provided by Bank (Working Capital Facilities) aggregating to ₹5,671.58 Crores (Previous year ₹6,571.23 Crores) carry annual weighted average interest rate of 5.75% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udipi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

- ii) In case of APJL, Secured trade credits of ₹ Nil (Previous year ₹119.80 Crores) are secured by letter of Comfort received from Power Finance Corporation Limited and Rural Electrification Corporation Limited. In turn the said letter of comfort is secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis.

26 Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Lease liabilities	9.16	8.39
Total	9.16	8.39

Note:

The fair value of Lease Liabilities approximate the carrying value presented. (Also refer note 57)

27 Trade Payables

	As at 31st March, 2023	As at 31st March, 2022
Acceptances	192.26	195.86
Other than acceptances		
- total outstanding dues of micro enterprises and small enterprises	95.76	57.59
- total outstanding dues of creditors other than micro enterprises and small enterprises (Refer note 72 for related party dues)	2,791.43	3,254.76
Total	3,079.45	3,508.21

Notes:

- i) Trade payables mainly include amount payable to coal suppliers and operation and maintenance vendors in whose case credit period allowed is 0-180 days. The Group usually opens usance letter of credit in favour of the coal suppliers.
- ii) The fair value of trade payables approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

27 Trade Payables (Contd.)

iii) Ageing schedule:

a. As at 31st March, 2023

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	95.76	-	-	-	-	95.76
2	Others	346.45	98.15	2,316.78	78.94	38.56	79.72	2,958.60
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.68	4.60	3.25	12.56	25.09
	Total	346.45	193.91	2,321.46	83.54	41.81	92.28	3,079.45

b. As at 31st March, 2022

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	57.59	-	-	-	-	57.59
2	Others	263.05	1,070.26	1,332.98	540.06	64.80	159.06	3,430.21
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.60	3.25	3.59	8.97	20.41
	Total	263.05	1,127.85	1,337.58	543.31	68.39	168.03	3,508.21

28 Other Current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Interest accrued but not due (Refer note (i) of cash flow statement)	86.70	31.54
Payable towards purchase of Property, Plant and Equipment (including retention money)	1,520.00	683.90
Derivative Liabilities (net) (Refer note (i) below)	7.04	18.61
Truing Up / Tariff revenue adjustment (Refund Liability)	547.16	418.14
Other financial liabilities (Refer note (iii) below)	300.68	15.13
Total	2,461.58	1,167.32

Notes :

- Includes Forward contracts of ₹7.04 Crores (Previous year ₹11.27 Crores), interest rate swap of ₹ Nil (Previous year ₹4.18 Crores) of instruments not designated as cash flow hedges, ₹ Nil (Previous year ₹3.16 Crores) of instruments designated as cash flow hedges.
- The fair value of Other Current Financial Liabilities approximate the carrying value presented. (Also refer note 57)
- Includes refundable amount as per the agreement.

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All amounts are in ₹ Crores, unless otherwise stated

29 Other Current Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Statutory liabilities	140.69	135.64
Advance from Customers	32.73	53.26
Deferred Government Grant (Refer note 4.1(ii))	304.18	304.19
Others (Refer note (i) below)	3,145.22	368.27
Total	3,622.82	861.36

Note :

- i) Includes ₹50.87 Crores (Previous year ₹50.87 Crores) on account of Fair Valuation of contingent liabilities on acquisition of Raipur TPP and ₹3,046.98 Crores (Previous year ₹315.87 Crores) as liability towards additional cost of procurement of coal based on future power supply, as may be required.

30 Current Provisions

	As at 31st March, 2023	As at 31st March, 2022
Provision for obligation incidental to land acquisition (Refer note 46)	6.20	6.49
Provision for Employee Benefits		
Provision for Gratuity (Refer note 59)	0.13	8.35
Provision for Leave Encashment	15.31	13.87
Total	21.64	28.71

31 Current Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022
Income-tax payable (Net of advance tax)	0.49	645.32
Total	0.49	645.32

32 Revenue from Operations

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue from Power Supply (Refer notes below)	37,830.00	27,165.50
Revenue from trading goods	165.69	487.90
Sale of services	27.34	1.50
Other Operating Revenue		
Sale of Fly Ash and Others	55.82	56.28
Gain on Sale of Investments (Refer note (vi) below)	694.45	-
Total revenue from contracts with customers	38,773.30	27,711.18

Notes:

- (i) In respect of Tiroda TPP
- (a) Maharashtra Electricity Regulatory Commission ("MERC") vide its order dated 6th September, 2019 had allowed relief on account of use of alternative coal for non-availability of coal due to cancellation of Lohara coal block for the Company's 800 MW power generation capacity at Tiroda TPP. The relief was

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Revenue from Operations (Contd.)

upheld by the Appellate Tribunal for Electricity ("APTEL") vide its order dated 5th October, 2020, although the Maharashtra State Electricity Distribution Company Limited ("MSEDCL") had filed an appeal in the Hon'ble Supreme Court against the APTEL order. The Hon'ble Supreme Court after issuing interim relief order dated 31st January, 2022 passed the final order dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order. Pursuant to said Hon'ble Supreme Court order, the Company has reassessed the compensation claims recognised till date and recognised an additional revenue of ₹321.71 Crores (net off reversal of Carrying Cost of ₹10.98 Crores) at the year end (including ₹201.21 Crores pertaining to earlier period).

The total tariff compensation claim recognised for year ended 31st March, 2023 is ₹3,916.48 Crores (including carrying cost ₹487.15 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (b) In a matter relating to tariff compensation claim (including carrying costs thereon) for additional costs incurred by the Company for 2500 MW power generation capacity at Tiroda TPP, due to shortfall in availability of domestic coal under New Coal Distribution Policy ("NCDP") and Scheme of Harnessing and Allocating Koyala (Coal) Transparently in India ("SHAKTI") policy of the government, the Company had earlier received favorable orders from MERC, based on which the Company has recognised claims and carrying cost thereon in earlier years, on best estimate basis. Subsequently, APTEL vide its orders dated 14th and 28th September, 2020 provided further clarity on the various claim parameters to be considered in computing tariff compensation claims. However, MSEDCL had filed an appeal with the Hon'ble Supreme Court against the aforesaid orders of APTEL. The Hon'ble Supreme court after issuing interim relief order dated 31st January, 2022 passed its final order dated 3rd March 2023 and 20th April, 2023 upheld all the matters which were concluded in the APTEL orders towards compensation claims relating to NCDP and SHAKTI policy respectively. Pursuant to said Hon'ble Supreme Court orders the Company has derecognised claim of ₹90.26 Crores (net off recognition of carrying cost of ₹178.38 Crores) at the year end (including claim reversal of ₹90.26 Crores pertaining to prior period).

The tariff compensation claim recognised for the year ended 31st March, 2023 is ₹5,063.12 Crores (including carrying cost of ₹1,131.94 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (c) Apart from above, in one of the matters relating to cost factor for computation of tariff compensatory claim based on claim amount billed by the Company, MSEDCL is also in appeal with APTEL although the Company has favorable order from MERC in the matter. The management does not expect any adverse impact of the matter. Currently, the Company has recognised the compensation claim on the best estimate basis pending settlement of appeal.

- (ii) In respect of Kawai thermal power plant ("Kawai TPP")

The Company, for recognition of tariff compensation claims for additional coal costs incurred for power generation due to shortfall in availability of domestic linkage coal under Shakti Policy of the Government, the Company has relied on the favourable order of Hon'ble Supreme Court dated 31st August, 2020 in which Hon'ble Supreme Court has admitted all tariff compensation claims and the Company continues to realise the claim amount towards compensation. The Company has recognised tariff compensation claims on best estimate basis which management expects to fully realise such claims from the discoms.

- (iii) In respect of Udupi TPP

The Company raises invoices on its customers ("Karnataka Discoms") based on the most recent tariff order / provisional tariff approved by the Central Electricity Regulatory Commission ("CERC"), as modified by the orders of Appellate Tribunal for Electricity ("APTEL") / CERC to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Such tariff orders are subject to conclusion of final tariff order in terms of Multiyear Tariff ("MYT") Regulations at end of tariff period of every 5 years.

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Revenue from Operations (Contd.)

- (iv) Revenue from operations for the year ended 31st March, 2023, (including the amounts disclosed separately elsewhere in other notes) includes ₹2,377.24 Crores (net) recognised pertaining to prior years upto 31st March, 2022 (Previous year - ₹465.40 Crores pertaining to prior years upto 31st March, 2021), based on the orders received from various regulatory authorities such as MERC / CERC, APTEL, Hon'ble Supreme Court and reconciliation with discoms relating to various claims towards change in law events, carrying cost thereon and delayed payment interest.
- (v) For regulatory claims / change in law claims, the management recognises income on conservative parameters, since the same are under litigation / pending final settlement with Discoms. The differential adjustments on account of such claims are recognised on resolution of the litigation / final settlement of matter with Discoms, including carrying cost / late payment surcharge.
- (vi) On 7th June, 2022, the Company has acquired 100% equity shares of Support Properties Private Limited ("SPPL") for a consideration of ₹280.10 Crores and it also settled the liability of ₹485.24 Crores towards the existing debt of SPPL. Hence, this Company become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. SPPL hold land parcel at Navi Mumbai which the Company proposed to develop for Infrastructure facilities as part of its trading, investment and other business activities (a company's business segment). The acquisition is classified as investment property in the Consolidated Financial Statements. Further, transaction cost added to investment in SPPL is ₹54.43 Crores. On 22nd March, 2023, the Company has disposed off its investment held in SPPL by execution of share purchase agreement with Adani Connex Private Limited and received a consideration of ₹988.97 Crores (excluding debt component of ₹485.24 Crores) which has been arrived at on arm's length basis. The net income on such sale of investment amounting to ₹694.45 Crores is accounted as other operating revenue pertaining to trading, investment and other activities segment in the financial statements.

33 Other Income

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest income (Refer note (i) below)	3,607.19	3,558.27
Income from Mutual Funds	13.10	0.83
Sale of Scrap	20.83	20.46
Amortised Government Grant Income	304.06	304.06
Liability no longer required written back	41.37	21.82
Miscellaneous Income (Refer note (ii) below)	280.67	69.85
Total	4,267.22	3,975.29

Notes:

- i) Interest income of ₹3,607.19 Crores (Previous year - ₹3,558.27 Crores) mainly includes Interest income in nature of Late payment surcharge / carrying cost of ₹3,499.93 Crores (Previous year ₹3,475.88 Crores) from DISCOMs towards change in claims and over due receivables and interest income on fixed deposit of ₹86.65 Crores (Previous year ₹71.01 Crores).
- ii) Miscellaneous income mainly includes ₹61.84 Crores (Previous year - ₹Nil) towards GST refund and ₹150.08 Crores (Previous year - ₹Nil) towards credit of transmission charges which were expensed off in earlier years.

34 Purchase of Stock in trade / Power for resale

It includes purchase of traded goods of ₹110.15 Crores (Previous year ₹483.34 Crores) and purchase of Power for resale of ₹103.99 Crores (Previous year ₹62.22 Crores).

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

35 Employee benefits expense

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Salaries, Wages and Allowances	504.91	417.63
Contribution to Provident and Other Funds	27.41	21.69
Staff Welfare Expenses	37.67	30.99
Total	569.99	470.31

36 Finance Costs

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(a) Interest Expense on :		
Loans and Debentures	2,755.14	3,539.68
Working Capital, Trade Credits and Others (Refer note (i) below)	285.02	332.30
Total (a)	3,040.16	3,871.98
(b) Other borrowing costs :		
(Gain) on Derivative Contract (net)	(142.03)	(6.17)
Bank Charges and Other Borrowing Costs	179.27	145.91
Total (b)	37.24	139.74
(c) Net loss on foreign currency transactions and translation (to the extent considered as finance cost)	256.10	83.06
Total (c)	256.10	83.06
Total (a+b+c)	3,333.50	4,094.78

Note :

i) Includes interest on lease liabilities (net of capitalisation) of ₹9.32 Crores (Previous year ₹9.71 Crores) and unwinding of interest on preference shares of ₹14.63 Crores (Previous year ₹12.64 Crores).

37 Other Expenses

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Consumption of Stores and Spares	381.94	345.26
Repairs and Maintenance Expenses	591.98	527.40
Expenses related to short term leases	10.60	5.69
Rates and Taxes	185.99	69.34
Legal and Professional Expenses	133.23	75.68
Directors' Sitting Fees	0.47	0.41
Insurance Expenses	124.43	88.65
Bad debts / sundry balances written off	8.68	0.39
Provision for Capital work in progress	33.97	0.03
Provision of Mine closure obligation	-	39.44
Foreign Exchange Fluctuation Loss (Net)	114.67	44.12
Miscellaneous Expenses	285.75	183.68
Loss on Sale / Retirement of Property, Plant and Equipment and capital asset written off (Net)	51.68	67.25
Donations	2.11	1.00
Corporate Social Responsibility expenses	18.55	27.83
Total	1,944.05	1,476.17

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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38 Income Tax

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit and Loss section		
Current Tax:		
Current Income Tax Charge	0.58	768.34
Reversal of tax provision relating to earlier years	(768.18)	(0.11)
Total (A)	(767.60)	768.23
Deferred Tax		
Deferred Tax (credit) / charge relating to earlier years, reversed during the year (refer note 66)	(2,499.77)	976.57
Total (B)	(2,499.77)	976.57
Current tax netted off with Deferred tax recoverable from future tariff	(46.86)	16.78
Total (C)	(46.86)	16.78
OCI section		
Deferred tax related to items recognised in OCI during the year (D)	-	(0.78)
Total (A+B+C+D)	(3,314.23)	1,760.80

The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit before tax as per Statement of Profit and Loss	7,674.70	6,577.13
Income tax using the company's domestic tax rate @ 25.168% (Previous year rate @ 25.168%)	1,931.57	1,655.33
Tax Effect of :		
i) Deferred Tax asset not created on temporary differences / unabsorbed depreciation	-	190.75
ii) Unabsorbed Depreciation / brought forward losses utilised	(1,834.68)	(0.76)
iii) Deferred tax asset not recognised for Minimum Alternate Tax (MAT) credit	-	47.47
iv) (Reversal) of / Recognition of MAT on Deferred Tax Recoverable on which deferred tax asset not recognised	(46.86)	16.78
v) Income-taxes related to prior years, reversal of provision	(768.18)	(0.11)
vi) Tax Impact on Distribution to holders of Unsecured Perpetual Securities	(166.40)	(148.45)
vii) Non Deductible Expenses	98.58	29.63
viii) Non Taxable Income	(52.58)	(44.66)
ix) Profit taxable at different tax rates and impact of tax rate differences	24.09	25.61
x) Change in estimate of taxability of certain items pertaining to earlier years	-	(10.01)
xi) Others	-	(0.78)
xii) Reversal of Deferred tax liabilities created in earlier years, refer note 66	(2,499.77)	-
Income tax recognised in Statement of Profit and Loss Total	(3,314.23)	1,760.80

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

39 Earnings per share

		For the year ended 31st March, 2023	For the year ended 31st March, 2022
Basic and Diluted EPS			
Profit after tax for the year	₹ in Crores	10,726.64	4,911.58
Less : Distribution on Unsecured Perpetual Securities (including paid - ₹661.17 Crores (Previous year - ₹589.83 Crores))	₹ in Crores	1,251.65	1,197.95
Profit attributable to equity shareholders after impact of distribution on Unsecured Perpetual Securities	₹ in Crores	9,474.99	3,713.63
Weighted average number of equity shares outstanding during the year	No.	3,85,69,38,941	3,85,69,38,941
Nominal Value of equity share	₹	10	10
Basic and Diluted EPS	₹	24.57	9.63

40 Details of Subsidiaries:

The consolidated financial statements comprise the financial statements of the parent company, Adani Power Limited and the following subsidiaries.

Name of the subsidiaries	Country of incorporation	Effective ownership in subsidiary as at	
		31st March, 2023	31st March, 2022
Adani Power Resources Limited ("APReL")	India	51%	51%
Adani Power (Jharkhand) Limited	India	100%	100%
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited (Refer note 42) (w.e.f 16th March, 2022)	India	100%	100%
Adani Power Dahej Limited	India	100%	100%
Pench Thermal Energy (MP) Limited	India	100%	100%
Kutchh Power Generation Limited	India	100%	100%
Mahan Fuel Management Limited (w.e.f 28th February, 2022)	India	100%	100%
Alcedo Infra Park Limited (w.e.f 2nd March, 2022)	India	100%	100%
Chandenville Infra Park Limited (w.e.f 24th February, 2022)	India	100%	100%
Emberiza Infra Park Limited (w.e.f 3rd March, 2022)	India	100%	100%
Resurgent Fuel Management Limited (w.e.f 20th April, 2022)	India	100%	-
Aviceda Infra Park Limited (w.e.f 5th September, 2022)	India	100%	-
Support Properties Private Limited (w.e.f 7th June, 2022 to 21st March, 2023)	India	-	-
Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited) (w.e.f 7th June, 2022)	India	100%	-

Note:

The principal activity of these Subsidiaries is generation of power and other related activities except in case of the subsidiaries viz. Alcedo Infra Park Limited, Aviceda Infra Park Limited, Chandenville Infra Park Limited, Emberiza Infra Park Limited, Support Properties Private Limited and Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited), for which the principal activity is to acquire land parcel and simultaneously develop infrastructure facilities as a part of trading, investment and other business activities.

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41 Non-Controlling Interest (NCI)

Non controlling interest relate to APReL as on 31st March, 2023. NCI holds 49% shares in APReL.

The table below shows summarised financial information of subsidiaries of the Group that have non-controlling interests.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Non-current assets	-	0.01
Current assets	0.02	0.01
Non-current liabilities	0.01	0.01
Current liabilities	-	-
Net Assets	0.01	0.01
Equity attributable to owners of the group	0.01	0.01
Non-controlling interest	*	*

(Figures below ₹50,000 are denominated with *)

42 Business Combinations

Acquisition of Mahan Energen Limited ("MEL")

National Company Law Tribunal ("NCLT") vide its order dated 1st November, 2021, approved the Company's resolution plan in respect of corporate insolvency resolution process of MEL. The Company acquired control over MEL w.e.f. 16th March 2022 on fulfilment of conditions precedent as per resolution plan and on infusion of agreed amount of equity capital of ₹1 crores along with upfront payment of ₹600 crores to the lenders. The business acquisition accounting of this transaction has been done under Ind AS 103 "Business Combinations" w.e.f. 31st March, 2022 using practical expedient. Accordingly, the assets and liabilities of MEL as at 31st March, 2022 have been considered for consolidation with the Group.

The business acquisition accounting of this transaction has been done in terms of Ind AS 103 "Business Combinations". The acquisition was accounted for in the books, using the acquisition method and accordingly, all the assets and liabilities were measured at their fair values as on the acquisition date.

This has resulted in capital reserve aggregating to ₹378.92 Crores in consolidated financial statements of Adani Power Limited.

The fair value of the identifiable assets and liabilities of MEL as at 31st March, 2022 based on audited accounts of MEL were:

Particulars	Amount
ASSETS	
Non-current Assets	
(a) Property, Plant and Equipment (including RoU assets)	3,172.67
(b) Other Non-current Assets	309.38
Total Non-Current Assets	3,482.05
Current Assets	
(a) Inventories	50.20
(b) Financial Assets	
(i) Trade Receivables (Refer note (i) below)	70.91
(ii) Cash and Cash Equivalents	202.35
(iii) Bank balances other than (ii) above	139.00
(iv) Other Financial Assets	0.58

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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42 Business Combinations (Contd.)

Particulars	Amount
(c) Other Current Assets	183.12
Total Current Assets	646.16
Total Assets	4,128.21
LIABILITIES	
Non-current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	2,760.61
(b) Long Term Provisions	79.05
(c) Deferred Tax Liabilities (Net)	195.91
Total Non- Current Liabilities	3,035.57
Current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	649.99
(ii) Trade Payables	52.96
(b) Other Current Liabilities	3.28
(c) Short Term Provisions	6.49
Total Current Liabilities	712.72
Total Liabilities	3,748.29
Net Assets of the Company (Total Assets Less Total Liabilities)	379.92
Equity Infusion	1.00
Capital Reserve on Acquisition	378.92

- (i) Gross contractual value and fair value of trade receivables are not materially different as MEL is regularly receiving dues from its customers. Hence, there are no ECL related to trade receivable.

Net cash flow arising on acquisition during the year ended 31st March, 2022 is as below:

Particulars	Amount
Total equity infusion	1.00
Net cash acquired through the subsidiary (included in cash flows from investing activities)	202.35
Net cash inflow on acquisition	201.35

Details of Total Income and Profitability have been considered for Consolidated financial statement as if MEL was acquired on 1st April, 2021

Particulars	Amount
Total Income	1,775.49
Profit for the year	175.52

Transaction cost incurred for acquisition of MEL recognised in statement of profit and loss for the year ended 31st March, 2022 as per below :

Particulars	Amount
Legal and Profession Expenses	1.33
Other Borrowing Cost	0.36
Total Transaction cost	1.69

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

43 Contingent Liabilities and Commitments (to the extent not provided for) :

(a) Contingent Liabilities :

Particulars	As at 31st March, 2023	As at 31st March, 2022
i) Claims against the Group not acknowledged as debts in respect of:		
a. Income Tax demands (under appeal)	27.74	69.04
b. Entry Tax (under appeal)	1.65	1.51
c. Custom Duty (Refer note 1(a) and 2 below)	1,220.51	1,220.51
d. Transmission Line Relinquishment (Refer note 1(b) below)	154.50	154.50
e. Electricity Duty (Refer note 3 below)	-	25.19
f. Central Sales Tax (under appeal)	13.10	-
g. Value Added Tax (Refer note 4 below)	1.51	-
h. Additional Penalty towards Water Charges (Refer note 5 below)	75.35	-
i. Transmission Line Relinquishment (Refer note 6 below)	184.90	-
Total	1,679.26	1,470.75

Note:

- In Case of Raipur TPP, The Ministry of Power, Government of India vide letter dated 8th September, 2011 had granted Provisional Mega Power Status Certificate under the Mega Power Policy for construction of its 1,370 MW Thermal based Power Plant. In terms of the same, the Company has availed exemptions of duty of customs and excise duty upon submission of bank guarantees worth ₹960.01 Crores and pledge of margin money deposits of ₹59.67 Crores. The grant of final Mega power status of Raipur TPP is dependent upon plant achieving tie up for supply of power for 70% of its installed capacity through long term Power Purchase Agreements by way of competitive bidding and the balance through regulated market within stipulated time. The time period to achieve tie up for supply of power as prescribed in Mega Power Policy has been further extended to 156 months from the date of Import, till 12th September, 2024, by the Ministry of Power, Government of India vide amendment dated 7th April, 2022. The Management expects to comply the conditions and hence no adjustments are made.
 - In case of Raipur TPP, the Company had entered into a bulk power transmission agreement ('BPTA') with Power Grid Corporation of India Limited ('PGCIL') dated 31st March, 2010 as per which the Company was granted Long term Access ('LTA') of 816 MW. However, owing to non-availability of PPA, which as per management is beyond the control of the Company, Raipur TPP was not in a position to utilise the LTA and has accordingly sought for surrender of the LTA, for which PGCIL has raised demand of ₹154.50 Crores towards relinquishment charges on the Company. However, the said claim will be subject to the outcome of the petition dated 7th September, 2020 filed by the Company before the APTEL.
- For the Company's Udupi TPP and Tiroda TPP, matter on Custom Duty relating to March 2012 to February 2013 is contested at Customs, Excise and Service Tax Appellate Tribunal ("CESTAT").
- In case of Raigarh TPP, Chief Electrical Inspector, Government of Chhattisgarh ('CEIG'), has raised demand for electricity duty on auxiliary power consumption @15% of tariff instead of @ 10% as per the circular dated 12th August, 2016 from January 2015 to December 2021 along with interest. During the current year, the Company has received favourable order from Chief Electrical Inspector, Raipur Office in the matter dated 1st June, 2022.
- For company's Tiroda TPP, Joint Commissioner of State Tax (Adm), Nagpur Division, has raised demand of Value added tax relating to FY 13-14 along with interest.
- In case of APJL, Water resource department ("WRD"), Jharkhand has charged penalty on the amount of penalty on water charges which has not been accepted by APJL as per the terms of agreement and the matter is under discussion with WRD to reconsider the demand.
- In case of MEL, MEL relinquished the long-term transmission agreement for supply of power through Mahan – Sipat transmission line in April 2017, which was accepted by Central Transmission Utility Ltd ("CTUIL"). In this regard, CERC vide its tariff determination order dated 14th March, 2022 imposed

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All amounts are in ₹ Crores, unless otherwise stated

43 Contingent Liabilities and Commitments (to the extent not provided for) : (Contd.)

additional transmission charges on account of change in technical configuration of the transmission line. Subsequently, MEL filed a review petition stating that no additional charges are leviable, as the transmission line was relinquished. Moreover, MEL also filed an appeal in this matter with the APTEL. While the matter is pending final adjudication, APTEL vide its interim order dated 24th January, 2023 instructed MEL to make interim payments, till the appeal is finally disposed of wherein MEL has made payment of ₹86.76 Crore under protest, till the reporting date. During Corporate Insolvency Resolution Process ("CIRP") of MEL, no claim on the matter has been ascertained by NCLT while approving the Scheme filed by the Company. As per legal opinion obtained by MEL, it has a fair case on merit. Accordingly, no impact towards the said claim has been given in the books of account.

- ii) Apart from above, the Development Commissioner, Mundra has issued a show cause notice to the Company in case of Mundra TPP for the period FY 2009-10 to FY 2014-15 in relation to custom duty on raw materials used for generation of electricity supplied from SEZ to DTA, which amounts to ₹963.94 Crores. The Company has contested the said show cause notice. Further, the management is of the view that such duties on raw material are eligible to be made good to Mundra TPP under the PPA with Discoms or are refundable from the Authorities. Hence, the Company has not considered this as contingent liabilities.
- iii) The Group has assessed that it is only possible, but not probable, that outflow of economic resources will be required in respect of above matters.

(b) Commitments :

	As at 31st March, 2023	As at 31st March, 2022
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	8,674.54	2,193.51
Total	8,674.54	2,193.51

As at 31st March, 2023, capital commitment mainly includes commitment relating to Flue Gas Desulphurisation project.

Others:

- (i) The Company has given a commitment to lenders of Mahan Energen Limited ("MEL") that it will not transfer its 49% equity holding in MEL outside the Adani Power Group, except with the prior approval of lenders.

44 Leases

The Group has lease contracts for land, Building and computer hardware used in its operations. Leases of these items have lease terms between 2 to 99 years. The Group is restricted from assigning and subleasing the leased assets.

The weighted average incremental borrowing rate applied to lease liabilities is 8.50%.

(i) The following is the movement in Lease liabilities.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	102.75	107.41
Add : Addition on account of new lease arrangements during the year	-	0.74
Add : Finance cost incurred for the year	9.41	9.86
Less : Payment of Lease Liabilities	(14.68)	(15.26)
Closing Balance (Refer note 20 and 26)	97.48	102.75

(ii) Classification of Lease Liabilities:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Current Lease Liabilities	9.16	8.39
Non-current Lease Liabilities	88.32	94.36

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44 Leases (Contd.)

(iii) Disclosure of expenses related to Lease:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest on lease liabilities (net of capitalisation)	9.32	9.71
Depreciation expense on Right-of-use assets	24.90	23.80
Expense Related to Short Term Leases and Leases of Low Value	10.60	5.69

(iv) Amount recognised in statement of Cash Flows:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Payment of lease liability (including interest paid (net of capitalisation) ₹9.32 Crores (previous year - ₹9.71 Crores))	14.68	15.26

(v) The additions to the Rights-of-use asset during the year and its carrying value - Refer note 4.1 (ix)

(vi) The undiscounted maturity analysis of lease liabilities over the remaining lease term is as follows:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Less than 1 year	15.54	14.61
1 to 5 years	47.85	51.36
More than 5 year	308.94	319.64

45 Provision for Mine Closure Obligation

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	39.44	45.72
Add: Interest on account of unwinding of Provision	2.63	-
Less: Remeasurement impact (net)	-	(6.28)
Closing Balance (Refer note 22)	42.07	39.44

Note :

In case of Raipur TPP, the mine closure obligation has been remeasured based on the management estimate for the cost likely to be incurred on mine closure.

46 Provision for obligation incidental to land acquisition

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	85.13	-
Add : Addition on account of acquisition of subsidiary (Refer note 42)	-	85.13
Less: Amount utilised during the year	(6.34)	-
Less: Amount (adjusted)/charged in statement of profit and loss	(6.93)	-
Closing Balance (Refer note 22 and 30)	71.86	85.13

Note :

The company has capitalised R&R expenditure incurred till 31st March 2013 towards land owners with cost of land, as assessed and estimated by the management. As per IND AS 16 post acquisition of land, R&R expenses is charged to the Statement of Profit and Loss.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 47** The Company has incurred cost of ₹103.75 Crores for the development of Jitpur Coal Block mine in the earlier years and had also given performance bank guarantee of ₹92.90 Crores to the government authorities.

Considering the long pendency of the matter relating to development of mine, the Company applied for surrender of the coal block to Nominated Authority and requested for refund of the costs incurred and release of the performance bank guarantee. The Nominated Authority vide its letter dated 17th September, 2021, accepted the surrender petition by the Company and ordered for invocation of bank guarantee along with obligation to fulfil antecedent liability. On 29th September 2021, the Hon'ble Delhi High Court, in response to petition filed by the Company, has stayed the invocation of the said performance bank guarantee and restrained the Nominated Authority from taking any coercive steps in the matter. Further the Hon'ble Delhi High Court vide its order dated 3rd March, 2022, instructed the Nominated authority that the said performance bank guarantee shall be returned within one week from the date of execution of "Letter of Intent of Coal Mines Production and Development Agreement" with a new bidder. The Nominated Authority has concluded the fresh e-auction of Jitpur Coal Block on 13th September, 2022 and allotted mine to new bidder on 13th September, 2022.

Earlier, the Company has submitted the details of costs / expenditure incurred towards development of mine with Nominated Authority, however based on allotment of mine to a new bidder, the Company expects a favourable resolution relating to cost realisation of Jitpur mine with Nominated Authority. The Company has also obtained legal opinion basis which it is reasonably confident to get compensation realised of the entire costs incurred towards the development of the coal mine in the subsequent period.

- 48** The Company through erstwhile subsidiary, Raipur Energen Limited ("REL") has incurred cost of ₹55.57 Crores and ₹30.75 Crores towards development of Talabira Coal mine and Ganeshpura Coal mine, respectively in the earlier years.

In the above matter, earlier the Company had filed two writ petitions with Hon'ble Delhi High Court requesting surrender of the said mines in view of Union of India's ("UoI") notification dated 16th April, 2015 stating capping of the fixed / capacity charges and also requested to refund the costs incurred along with the release of bid security. The Hon'ble Delhi High Court vide its single order dated 15th April, 2019 dismissed the petitions on the ground of delay in filing of writ petitions. Consequently, the Company filed petitions before Hon'ble Supreme Court to set aside the order of the Hon'ble Delhi High Court. Pending adjudication of the petitions, Hon'ble Supreme Court directed UoI and others vide its order dated 30th May, 2019 that no coercive action to be taken in these matters.

The management expects favourable resolution of these matters and is reasonably confident to realise the entire cost spent towards these coal mines as compensation in the subsequent periods.

- 49** The Government of India conducted bidding for allocation of coal blocks, under the coal block auction process whereby MEL acquired the rights of Tokisud Coal Block (in the state of Jharkhand) on 18th March, 2015. Subsequently, in the month of April 2015, by way of a notification, Ministry of Power put cap on the fixed/capacity charges due to which MEL had filed a writ petition in the High Court of Delhi for impugning the above referred notification and also offered to return the said coal block to the Government of India against return of the performance security in the form of Bank Guarantee of ₹261.76 Crores provided by MEL and moneys paid, without any penalty.

However, Hon'ble High Court vide its judgement dated 15th April 2019 dismissed the petition of MEL. Subsequently, MEL has filed Special Leave Petition (SLP) before the Hon'ble Supreme Court against the order of the Hon'ble High Court. Meanwhile, the bank guarantee of ₹261.76 Crores had been invoked by the Nominated Authority.

The Union Ministry of Coal has re-allocated the said coal block to National Mineral Development Corporation (NMDC) for commercial mining. MEL had incurred a total of ₹491.62 Crores towards development of tokisud coal mine. Nominated authority vide order dated 16th March, 2022 determined ₹163.23 crores being the total compensation payable by successful allottee (NMDC) to MEL. The said amount has been received during the year. During the pendency of the matter in Supreme Court, MEL has fully provided for the balance receivable of ₹328.41 crores during the previous year.